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Software

The Moat & The Journey – Assessing Software Durability + Growth in the Age of AI

Software is evolving to address the risks + opportunities from AI, just as it has in prior cycles. To assess implications, we introduce a Moat & Journey framework and come away with conviction on MSFT, PANW, CRWD, NET, DDOG, SNOW, and SHOP and assume coverage of CRM/INTU at EW and ADBE/WDAY at UW.

Key Takeaways

- The software industry is maturing, but we think the market has become too negative on the group. We consider 5 key debates and introduce an industry framework.
- Moat and Journey - moats are important, but are not enough standalone. The journey is key to who has best positioned themselves for coming industry changes.
- Software tends to follow a buy then build cycle. We are in the build phase today with infra & cyber already benefitting, while apps remain a later cycle play.
- We establish a valuation framework based on maturity - for mature software we focus on GAAP P/E, while growth software we use EV/gross profit vs. Rule of 40.
- Our key OWs best positioned across these themes are MSFT, PANW, CRWD, SHOP, NET, NOW, DDOG and SNOW.

With this report, Adam Wood assumes coverage of 9 large-cap software stocks (ADBE, CRM, INTU, IOT, MSFT, NOW, SHOP, TEAM, WDAY). See [Exhibit 8](#) for more details.



Tech Diffusion
A Morgan Stanley Research
Key Theme of 2026

Software Is Changing...Yet Again. Over the course of multiple decades, the software industry has undergone multiple evolutions, not just as a result of technological advancement (via more and more abstraction) but also in terms of distribution and business model changes. However, market perception on this evolution of software has skewed more negative as questions of terminal value have

become embedded in many valuations (e.g., S&P North American Technology Software Index has underperformed the NASDAQ 100 by 40% and the S&P 500 by 30% over the last 2 years). For the software space as a whole, we see 5 major questions striking at the heart of the current investor debate: **1) Where does AI**

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SOFTWARE		
North America		
Industry View		Attractive

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value accrue?, 2) Can software companies effectively capture value outside of seats?, 3) Do gross margins move structurally lower?, 4) Is going headless inevitable or will closed ecosystems continue to exist? and 5) How will the end of token subsidization and the rise of "Tokenomics" impact growth in the industry? In this report, we tend to agree with the investor perception that the industry has become more mature, but think there are more opportunities than investors currently believe (we maintain an Attractive industry view on Software). To identify these risks and opportunities in this next era, we introduce an evaluation framework that assesses both business durability as well as the prospects for growth in the era of AI. We conclude that **Microsoft, Palo Alto Networks, CrowdStrike, Cloudflare, Datadog, ServiceNow, Snowflake** and **Shopify** represent our highest conviction Overweights offering the strongest combination of strong moat, businesses well setup for secular AI tailwinds and with nearer term growth inflection potential.

Please see attached [Slide Deck](#) for a deep dive into our framework and assumption of coverage.

Our Key Overweights: CRWD, DDOG, MSFT NET, NOW, PANW, SHOP, and SNOW.

At the company level, we marry our Moat & Journey framework with our segmented valuation approach while also taking into account nearer term growth prospects to determine our High-Conviction Overweights (OW) and Underweights (UW). Our focus list of Overweights have strong moats, mission-critical products, high customer embeddedness while also demonstrating shorter Journey characteristics such as platform breadth, AI readiness, high-quality R&D, and the ability to sustain or accelerate growth. In short, these are the companies that look both hard to disrupt today, are well-positioned to compound through the next cycle and are already poised to benefit from current demand trends.

Exhibit 1: Our High-Conviction Overweight Stocks Include Microsoft, Palo Alto Networks, CrowdStrike, Shopify, Cloudflare, ServiceNow, Datadog, and Snowflake

HIGH-CONVICTION OVERWEIGHTS



Source: Morgan Stanley Research

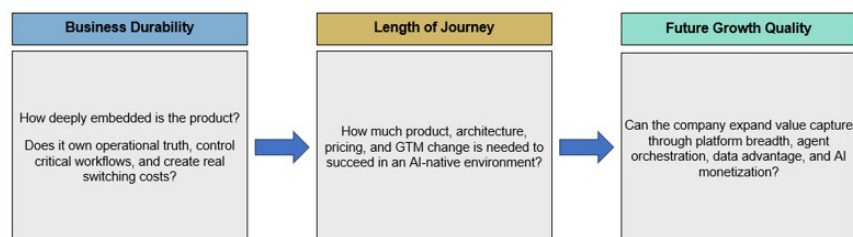
Companies That Currently Screen More Challenged:

- Adobe (Adam Wood assumes coverage at UW)
- Workday (Adam Wood assumes coverage at UW)
- Rapid7 (Downgrading to UW)
- PagerDuty (Downgrading to UW)
- C3.ai (UW)

Which Companies Are Most Debated? In several cases, we encounter companies who score admirably on Moat and/or Journey but growth has yet to meaningfully inflect and the market remains undecided on whether the company will emerge as a durable AI beneficiary. This list includes companies on which we are OW-rated as we believe growth will ultimately inflect but also companies on which we are Equal-weight (EW) rated where we share some of the market concerns.

- Atlassian (Adam Wood assumes coverage at OW)
- Intuit (Adam Wood assumes coverage at EW)
- Salesforce (Adam Wood assumes coverage at EW)
- Akamai (OW)
- Autodesk (OW)
- Hubspot (OW)
- MongoDB (OW)
- Okta (OW)
- Palantir (EW)
- SAP (OW)

Exhibit 2: Introducing Our Moat & the Journey Framework



Source: Morgan Stanley Research

"The Moat & The Journey" – Introducing a Framework to Assess Durability and Growth in the AI Era

The paradigm shift that AI represents requires a new framework to think through the emerging opportunities as well as the coming risks through both a fundamental as well as a valuation lens. At the individual company level, we introduce our framework to assess business risk and opportunity across two dimensions: 1) the Moat and 2) the Journey. This framework assesses long-term durability and identifies the effort required for each software company to achieve an attractive growth position. It separates current competitive durability from the work required to grow attractively into the next cycle, with the core idea that the best companies are not only hard to replace today but will also compound value with AI. We find the biggest dislocation between valuation and our framework stems from investors placing greater emphasis on moat than journey.

- **The Moat:** measures the durability of a company's current competitive

position taking into consideration how deeply embedded the software is in mission-critical workflows, whether it serves as a system of record, how difficult it would be to replicate or replace, and the extent to which regulatory requirements, proprietary data, domain expertise, installed base, network effects, engineering complexity, and pricing power reinforce defensibility.

- **The Journey:** measures how well positioned the company is for the next phase of software evolution. The analysis assesses whether the company can adapt to AI-native, agentic, API-driven, and outcome-based models through pricing evolution, platform breadth, technical readiness, R&D velocity, agent orchestration rights, proprietary AI/data advantages, financial flexibility and demonstrated AI monetization.

Our Playbook on How to Navigate the Industry

How Will the Cycle Play Out in Software? Much of the risk/opportunity analysis on software is static in that it focuses on whether a given company is an AI beneficiary or is AI challenged today (e.g. infrastructure and security software have outperformed SaaS by nearly 50% over the last year). While we believe there will be companies that do face longer term structural headwinds, a more dynamic analysis takes into account how the cycle within software will evolve by identifying categories that are benefiting today, others that will come online in the mid-term and others that will benefit later in the cycle. Applying such an approach, we have the following conclusions across the 3 major sub-industries of software...

- **Infrastructure Software:** SNOW and DDOG showing tailwinds today, MDB/NET/AKAM/DT/NTNX to follow, while GTLB and TEAM are later cycle...
- **Cybersecurity:** Firewall providers seeing benefits today but PANW and CRWD are multi-phase beneficiaries.
- **Application Software:** Prefer SHOP/NAVN/TOST today; NOW and TEAM to follow but CRM, INTU, SAP and WDAY are more later cycle.

Exhibit 3: Sequencing the Cycle: Infrastructure

		primary expected beneficiary	emerging / contested	mixed / watch	at risk	
Category / driver	Sell/buy thesis (illustrative)	Today	Mid-term	Later	Sequencing – what to watch	
Analytical data infrastructure <i>Data modernization & AI-readiness</i>	SNOW (Pret OW)				Earliest beneficiary – data modernization / AI-readiness initiatives.	
Observability <i>App & agent monitoring</i>	DDOG (Pret OW) DT				Benefits as AI apps and agentic initiatives hit production scale.	
Transactional databases <i>OLTP for agentic apps</i>	MDB (Debated OW) ORCL NTNX				Follows closely as production workloads scale; MDB nearer-term than ORCL.	
Compute / inference / agent infra <i>Edge & inference platforms</i>	NET (Pret OW) AKAM (Debated OW)				Follows closely – compute, inference and agent-infrastructure demand; NET higher conviction.	
Software development automation <i>Dev tooling / DevOps</i>	TEAM (debated OW) GTLB				Usage is already strong; monetization depends on a transition away from pure seat-based pricing.	
How to Position	Own preferred beneficiaries SNOW, DDOG and NET now. MDB and AKAM are debated OWs positioned to benefit as production workloads scale; dev-automation remains later-cycle and pricing-transition dependent.					

Source: Morgan Stanley Research

Exhibit 4: Sequencing the Cycle: Cybersecurity

primary expected beneficiary

emerging / contested

mixed / watch

at risk

Phase / focus	Deliverables (illustrative)	Today	Mid-term	Later	What it addresses – what to watch
Phase 1 - AI Modernization Upgrade to modern platforms; retire technical debt	PANW (Pref OW) FTNT; CRYP CSOD				Current phase — platform upgrades and immediate AI-threat modernization.
Phase 2 - AI Capabilities for Security Automate & assist the SOC	PANW, CRWD (Pref OWs)				Automates and assists the SOC for AI-driven attacks.
Phase 3 - Security for AI Secure enterprise data & new agentic identities	PANW, CRWD (Pref OWs) ORCA (debated OW) Rubrik (Not Covered)				Secures enterprise data and new agentic identities.

How to Position

Own PANW and CRWD now as preferred, multi-phase beneficiaries.

Source: Morgan Stanley Research

Exhibit 5: Sequencing the Cycle: Applications

primary expected beneficiary

emerging / contested

mixed / watch

at risk

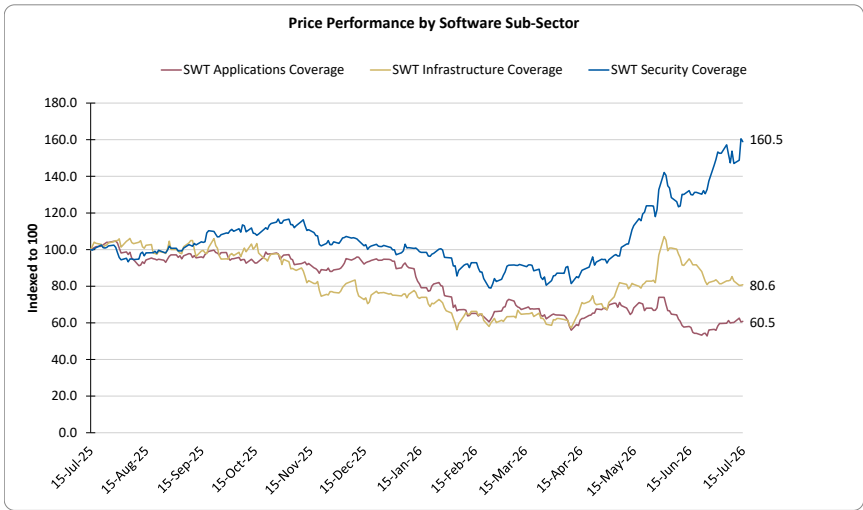
Application cohort / driver	Deliverables (illustrative)	Today	Mid-term	Later	Positioning / evidence gates
Vertical / transactional platforms Verticalize + payments + volume pricing	SHOP (Pref OW) NAVN (Pref OW) TOST (high-moat beneficiary)				SHOP/NAVN: govt OWs; TOST: high-moat beneficiary. Watch AI attach, volume monetization and GPDP leverage.
Enterprise workflow orchestration Agenda across IT, service, HR, ops	NOW (OW; closest to infection) TEAM (debated OW) APFN (category beneficiary)				NOW is the closest broad SaaS infection; TEAM pricing-gated; APFN category beneficiary.
Governed back-office systems High-gravity ERP / finance / HCM data	SAP (debated OW) INTU (OW) WDAY (OW)				Durable moat; timing and ratings vary. SAP has stronger governed-ecosystem opportunity; INTU/WDAY remain farther from infection.
Front-office / headless transition Front-office workflows + hybrid pricing	HUBS (debated OW) CRM				CRM owns a deep system of record but remains farther from infection; HUBS OW with pricing/CRM transition risk.
Content-generation exposure Model-job encroachment	ADBE (OW)				ADBE remains exposed to model-job encroachment in content generation.
Low moat / simple workflow point solutions Simple workflows / limited control	ASAN, GTM, RNG, LZ, PATH				Weak workflow ownership and greater structural risk.

How to Position

Maintain near-term preference for Infrastructure/Security. Apps: preferred SHOP/NAVN; NOW is closest broad SaaS infection and OW; SAP/TEAM/HUBS debated OWs; CRM/INTU EW; ADBE/WDAY UW.

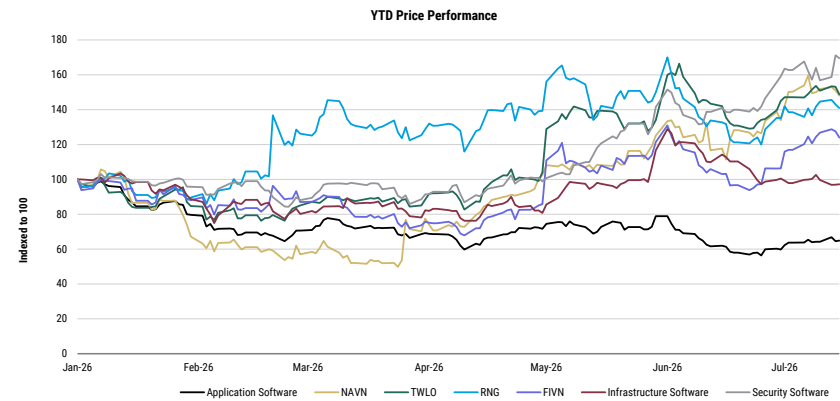
Source: Morgan Stanley Research

Exhibit 6: Infrastructure and Security Have Meaningfully Outperformed Applications Over the Last Year...



Source: FactSet, Morgan Stanley Research.

Exhibit 7: ...But There Are Emerging Winners Within Applications That Have Meaningfully Outperformed



Source: FactSet, Morgan Stanley Research

Key Ratings Changes

As part of our assessment utilizing our Moat & Journey framework, evaluating current growth trends and applying our updated valuation methodology, we make the following ratings changes.

Exhibit 8: Summary of Rating Actions

Company	Ticker	Analyst	Rating Action	Rating		Price Target			Current Price	New PT Upside
				New	Prior	New	Prior	% Chg		
Atlassian	TEAM	Adam Wood	Assuming Coverage	OW	OW	\$120	\$120	0%	\$93	29%
Microsoft	MSFT	Adam Wood	Assuming Coverage	OW	OW	\$600	\$650	-8%	\$394	52%
ServiceNow	NOW	Adam Wood	Assuming Coverage	OW	OW	\$180	\$180	0%	\$103	74%
Shopify	SHOP	Adam Wood	Assuming Coverage	OW	OW	\$192	\$192	0%	\$124	55%
Intuit	INTU	Adam Wood	Assuming Coverage	EW	OW	\$335	\$580	-42%	\$291	15%
Salesforce.com	CRM	Adam Wood	Assuming Coverage	EW	OW	\$185	\$287	-36%	\$171	8%
Samsara	IOT	Adam Wood	Assuming Coverage	EW	EW	\$43	\$53	-19%	\$38	12%
Adobe Systems	ADBE	Adam Wood	Assuming Coverage	UW	EW	\$240	\$365	-34%	\$237	1%
Workday	WDAY	Adam Wood	Assuming Coverage	UW	EW	\$145	\$185	-22%	\$145	0%
Elastic NV	ESTC	Sanjit Singh	Downgrade	EW	OW	\$66	\$73	-10%	\$62	7%
IFrog Ltd	FROG	Sanjit Singh	Downgrade	EW	OW	\$95	\$80	19%	\$89	7%
PagerDuty Inc	PD	Sanjit Singh	Downgrade	UW	EW	\$9	\$10	-10%	\$10	-13%
CrowdStrike	CRWD	Meta Marshall	No Change	OW	OW	\$227	\$172	32%	\$203	12%
Palo Alto Networks	PANW	Meta Marshall	No Change	OW	OW	\$387	\$320	21%	\$359	8%
Rapid7	RPD	Meta Marshall	Downgrade	UW	EW	\$9	\$9	0%	\$12	-26%
NICE Ltd	NICE	Elizabeth Porter	Downgrade	EW	OW	\$111	\$130	-15%	\$100	11%
Wix.com	WIX	Elizabeth Porter	Downgrade	EW	OW	\$60	\$112	-46%	\$51	17%
Blackline	BL	Chris Quintero	Downgrade	EW	OW	\$33	\$50	-34%	\$30	9%
Vertex Inc	VERX	Chris Quintero	Downgrade	EW	OW	\$15	\$19	-21%	\$13	17%
SPS Commerce	SPSC	Chris Quintero	Downgrade	UW	EW	\$57	\$70	-19%	\$66	-13%

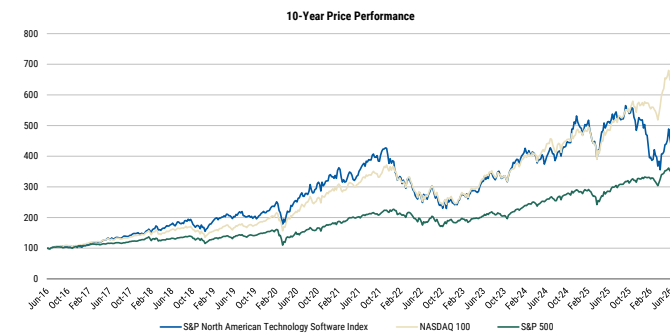
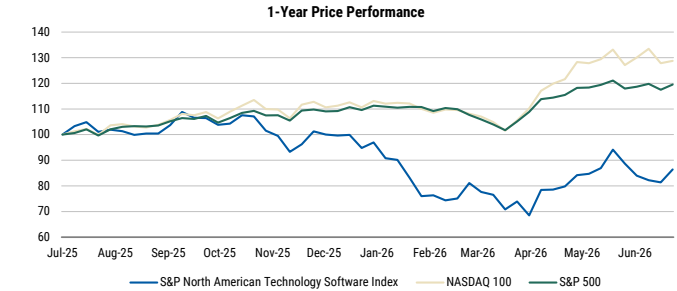
Source: Morgan Stanley Research

Executive Summary

The software industry is entering a new era in its decades-long history as AI creates both significant opportunities as well as new risks. Just 5 years ago, the software industry was in a golden age in terms of growth, with the median software company growing revenue ~20% as secular trends like digital transformation, cloud computing, and process automation spurred strong demand for the industry. Since then, a lot of the low hanging fruit utilizing traditional, deterministic automation has been captured, while IT budgets have come under pressure. Consequently, the software industry is now at a more mature stage of growth with the median software stock growing revenue ~10%.

However, with the huge leaps forward in artificial intelligence, a new innovation cycle has kicked off, presenting both opportunities and risks for software. **On the opportunity front,** AI represents the continuing expansion of what types of work and business processes software can now effectively automate – Large Language Models (LLMs) add the ability to contextually understand unstructured data, while Diffusion Models enable the creation of images and videos from just a text prompt. This expansion of capability has the potential to automate large new swathes of work – unstructured data represents >80% of the data in organizations today (emails, PowerPoints, PDFs, etc...), as well as, the totality of our verbal communications. In our initial work on GenAI, we estimated the technologies should be able to add ~\$400 billion to the broader Enterprise Software TAM by 2028, based on the type of work able to be automated, the labor cost associated with that work, the scope of automation and the resulting share of those productivity gains expected to accrue to the software vendors (see our note, [GenAI Monetization - Assessing the ROI Equation, 02/25/2025](#)).

On the risk front, this next era of software forces the industry to confront challenges in the form of: 1) new competitive threats from Do-It-Yourself efforts, AI-native startups, and LLM providers as the cost of creating software continues to decline; 2) business model risk as AI necessitates pricing and go-to-market changes to capitalize on growth opportunities; and 3) margin risk from the combination of more competition and higher infrastructure/token costs as software providers not only need to make margin on their cloud infrastructure spent but on their AI model spend as well. **At this current stage of the cycle, the market believes public software stocks are more at risk from AI as the S&P North American Technology Software Index is down -17% over the past year compared to the NASDAQ 100 up 29% and the S&P 500 up 20%.**

Exhibit 9: Software 10-Year Price Performance Vs. Market**Exhibit 10:** Software 1-Year Price Performance Vs. Market

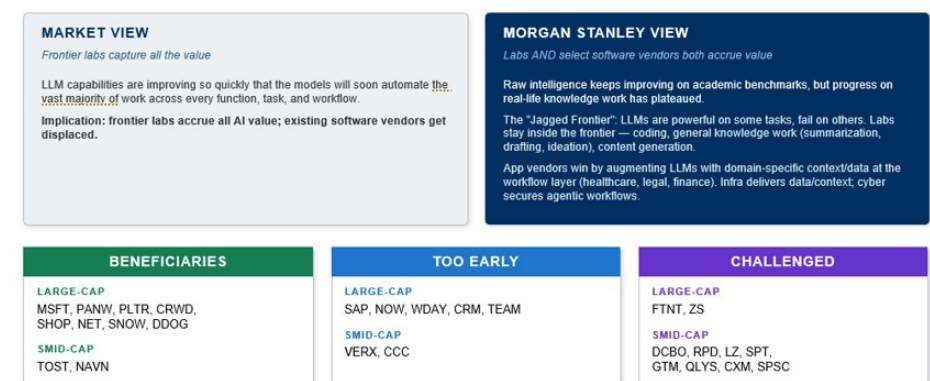
Key Industry Debates

At the industry level, there are 5 key debates we are addressing in this report:

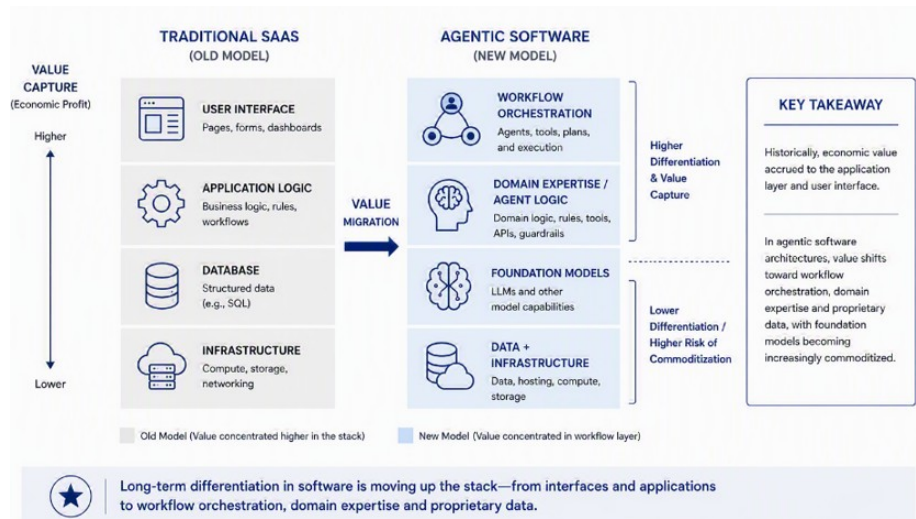
1. **Where Does AI Value Accrue?**
2. **Is Going Headless Inevitable Or Will There Be Closed Ecosystems Too?**
3. **Evolution Of Software Pricing - Can Software Vendors Effectively Capture Value Outside Of Seats?**
4. **Do Gross Margins Move Structurally Lower?**
5. **'Tokenomics': Should Software Vendors Brace For An AI Optimization Cycle?**

1) Where Does AI Value Accrue?

In this debate, we explore where large language models are more and less effective and what that means for value capture in an AI world. This debate is relevant for Application Software, Infrastructure Software, and Cybersecurity.

Exhibit 11: Debate #1

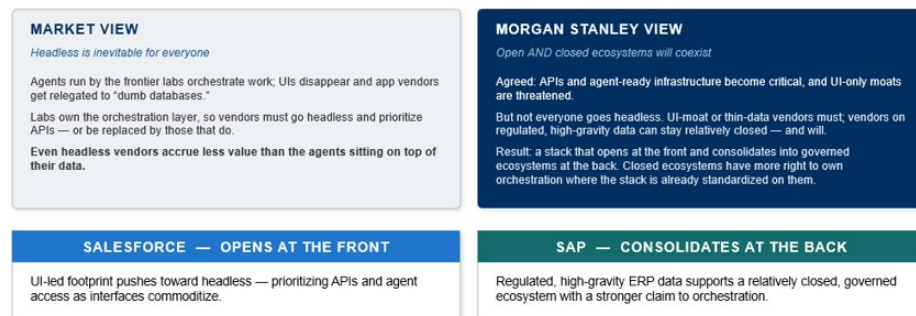
Source: Morgan Stanley Research

Exhibit 12: More Value Accrues to the Workflow Layer in an Agentic World

Source: Morgan Stanley Research

2) Is Going Headless Inevitable Or Will There Be Closed Ecosystems Too?

In this debate, we explore the two primary approaches emerging in the market as Application Software vendors adapt their infrastructure for an agentic world. This is more of a theoretical debate as there are limited data points on how successful or not some of these approaches are to date given they are still in their infancy. We leverage two major case studies in the space: Salesforce and SAP.

Exhibit 13: Debate #2

Source: Morgan Stanley Research

3) Can Software Vendors Effectively Capture Value Outside of Seats?

In this debate, we explore whether AI forces software pricing to evolve beyond seats as the unit of value shifts from users provisioned to work performed. Related, we assess the degree to which this transition expands the potential monetization opportunity for Software vendors, while raising execution risk around packaging, customer budget predictability, sales motions, disclosures, and the durability of traditional SaaS revenue models. Seat-based SaaS vendors are most exposed here given the need to execute through pricing / business model transformations.

Exhibit 14: Debate #3

MARKET VIEW <i>Seats erode; pricing power shifts to AI</i> AI labs and AI-native start-ups compress the cost of building software and move up into workflow automation, making differentiated functionality easier to replicate. As features commoditize and switching costs tied to UI familiarity erode, incumbents may keep systems of record but lose the user-facing control point — and pricing power — to agents and AI-native apps. With SaaS historically scaling on headcount, a weaker human-seat proxy for value leaves installed bases more vulnerable.	MORGAN STANLEY VIEW <i>Unit of value changes, economics don't</i> Evolving pricing isn't new: vendors and customers have always negotiated around value, workflow criticality, switching costs, and bargaining power. GenAI changes the unit of value, not software economics — owners of mission-critical workflows with measurable ROI keep pricing power. Expect a hybrid seat-plus-consumption model for seat-based vendors; pure-consumption vendors capture AI upside sooner. Implications: new disclosures to underwrite the shift, and more cyclicality as consumption mix rises.
BENEFICIARIES <i>Consumption-led models</i> SNOW, DDOG, MDB, NET, FROG, SHOP, TOST, KVYO, AMPL	CHALLENGED <i>Seat-based / lower pricing power</i> CRM, ADBE, TEAM, GTLB, ZS, WDAY Systems of record; point solutions / vendors with lower historical pricing power

Source: Morgan Stanley Research

4) Do Software Gross Margins Move Structurally Lower?

In this debate, we explore the directionality of gross margins as Software vendors scale AI products, assessing the degree to which AI structurally resets gross margins lower, or whether pricing, architecture, model-cost deflation, and AI-enabled OpEx leverage preserve the broader profitability model. Given the tie between potential gross margin degradation and pricing / packaging, we see this debate as most relevant for seat-based application SaaS providers which are undergoing pricing model transitions relating to AI products.

Exhibit 15: Debate #4

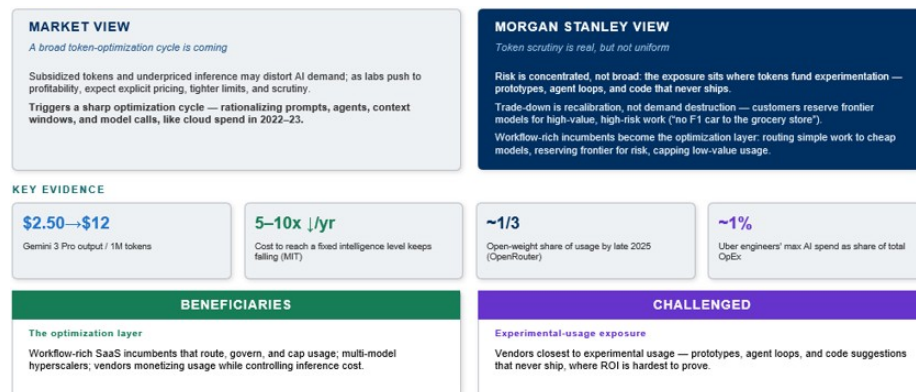
MARKET VIEW <i>AI resets gross margins structurally lower</i> AI reintroduces marginal cost into revenue investors underwrote as near-zero-cost: tokens, context, retrieval, tool calls, memory, and inference all scale with usage. GMs move structurally lower as AI mix grows — especially if vendors bundle AI into existing SKUs, overuse frontier models, or reinvest cost declines into quality over margin. OpEx leverage may help at the margin, but the market doubts it will be broad or persistent enough to offset rising AI COGS.	MORGAN STANLEY VIEW <i>GM pressure, but EBIT defended — flat to up</i> Perception over-focuses on GM dilution and underrates the levers to defend gross profit dollars and expand EBIT. Inference deflation, prompt caching, model routing, batching, open-weight and domain-specific models, and pricing all moderate AI COGS as products scale. Illustrative base case: -flat EBIT margins despite GM pressure, we lean bullish — architecture and pricing limit blended GM pressure while workflow-driven OpEx leverage expands EBIT. <i>Analogy: software-plus-payments — lower-GM revenue can still be attractive at EBIT when it isn't R&D/S&M intensive.</i>	
MORE INSULATED High switching-cost: MSFT, SAP, ORCL, WDAY, NTNX Payments / GMV models Application software priced on volumes	DEBATED Consumption models — GM impact depends on architecture, pricing, and inference-cost governance.	CHALLENGED Seat-based models with low pricing power: ASAN, MNDY

Source: Morgan Stanley Research

5) 'Tokenomics': Should Software Vendors Brace for an AI Optimization Cycle?

In this debate, we examine whether the next phase of AI software adoption shifts investor focus from usage growth to token-level economics, as subsidized inference gives way to more explicit pricing, budget scrutiny, and customer optimization. Related, we assess the extent to which this transition creates risk for vendors exposed to experimental AI consumption, or expands the opportunity for software platforms with deep workflow expertise to provide governance, optimization, and budget-control layers for enterprise AI usage.

Exhibit 16: Debate #5



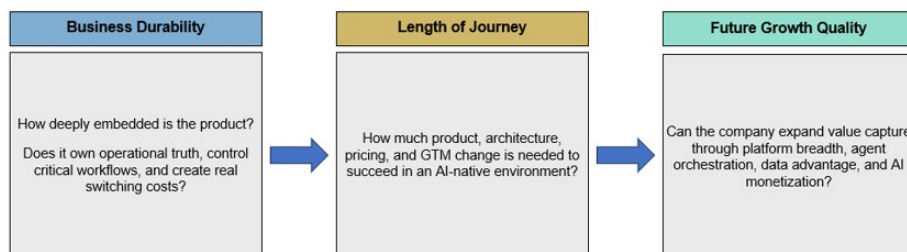
Source: Morgan Stanley Research

Introducing Our Moat & Journey Framework

Given this new landscape in software, the industry requires a new framework to think through these opportunities and risks through both a fundamental as well as valuation lens. At the individual company level, we introduce our new evaluation framework to assess business risk and opportunity from AI across two dimensions: Moat and Journey.

This framework assesses long-term durability and identifies the effort required for each software company to reach an attractive growth position. The framework separates current competitive durability from the work required to grow attractively into the next software cycle with the core idea being the best software companies are not only hard to replace today, but they will also compound value with AI.

Exhibit 17: Introducing Our Moat & the Journey Framework



Source: Morgan Stanley Research

Moat measures the durability of a company's current competitive position. How deeply embedded the software is in mission-critical workflows, whether it serves as a system of record, how difficult it would be to replicate or replace, and the extent to which regulatory requirements, proprietary data, domain expertise, installed base, network effects, engineering complexity, and pricing power reinforce defensibility.

Journey measures how well positioned the company is for the next phase of software evolution. Assessing whether the company can adapt to AI-native, agentic, API-driven, and outcome-based models through pricing evolution, platform breadth, technical readiness, R&D velocity, agent orchestration rights, proprietary AI/data advantages, financial flexibility, and demonstrated AI monetization.

Together, these dimensions separate companies that are merely protected by legacy switching costs from those that are both defensible today and positioned to compound through the next platform shift. The most attractive companies combine strong existing moats with a credible journey toward AI-enabled expansion and durable long-term growth.

Exhibit 18: Software AI-Readiness Framework: Moat vs Journey



Source: Morgan Stanley Research

A Best Athlete company is one that combines best-in-class durability with a compelling future growth path. These businesses have strong moats, mission-critical products, high customer embeddedness, and meaningful pricing power, while also demonstrating strong Journey characteristics such as platform breadth, AI readiness, high-quality R&D, and the ability to sustain or accelerate growth. In short, they are the companies that look both hard to disrupt today and well positioned to compound through the next software cycle.

Exhibit 19: Microsoft, Palo Alto Networks, Palantir, CrowdStrike, Shopify, Cloudflare, and ServiceNow Offer The Best Combination of Moat and Journey



Source: Morgan Stanley Research

Only five companies rank in the Top 15 out of 81 under coverage across both Moat and Journey: Microsoft, Palo Alto Networks, CrowdStrike, Shopify, and ServiceNow. These companies represent the strongest overlap between defensibility today and readiness for the AI-driven software cycle, combining workflow ownership, switching costs, and pricing power with platform breadth, product velocity, and clearer AI monetization paths. Most companies screen well on only one dimension: high-moat names often face a longer modernization journey, while high-journey names may lack comparable system-of-record depth, embedded distribution, or scale advantages. As a result, this overlap group represents the cleanest screen for long-term compounders within the framework.

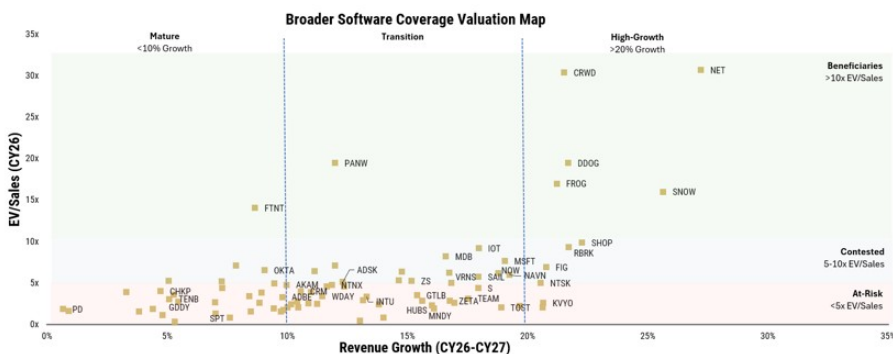
Exhibit 20: Rare Overlap: Top Quintile Ranking in Both Moat and Journey Scores

TOP 15 MOAT SCORES			TOP 15 JOURNEY SCORES		
Rank	Ticker	Moat Score	Rank	Ticker	Journey Score
1	MSFT	50	1	PLTR	44
2	SAP	47	2	DDOG	43
3	ORCL	46	3	NET	42
4	PANW	43	4	SHOP	41
5	CRWD	42	5	MSFT	40
6	VERX	42	6	SNOW	40
7	COC	41	7	DT	40
8	ADSK	40	8	PANW	39
9	SHOP	39	9	CRWD	39
10	WDAY	39	10	CRWV	38
11	SABR	39	11	NBIS	38
12	NOW	38	12	NAVN	37
13	TOST	38	13	NOW	36
14	INTU	38	14	MDB	36
15	MANH	38	15	NTNX	36

Source: Morgan Stanley Research

A Segmented Valuation Framework

This new paradigm of software investing also needs a new valuation framework. We take a segmented valuation approach that evaluates valuation across two dimensions – growth maturity and valuation regime – with mature names anchored on Price to Earnings, transition names requiring a bridge between Earnings and Sales, and high-growth beneficiaries best assessed through Sales or Gross Profit relative to growth durability. We also incorporate our Moat & Journey framework into the valuation analysis.

Exhibit 21: Software Coverage Map By Valuation Segment

Source: FactSet, Morgan Stanley Research

We thus segment our software coverage universe into four cohorts: Low Growth, Mature-At-Scale, Transition, and High Growth.

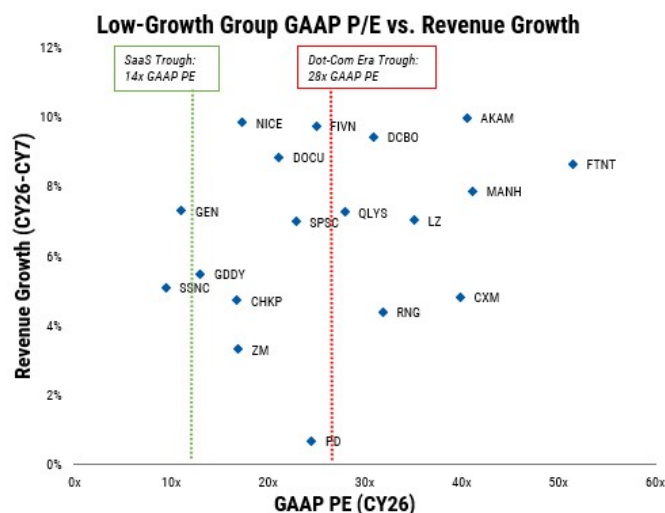
- **Low Growth:** For sub-10% growers, revenue multiples are less informative and valuation should be anchored primarily on GAAP P/E, PEG, and earnings growth durability. The key distinction is not simply “cheap vs. expensive,” but whether the company has enough moat, margin structure, and EPS growth to justify a premium earnings multiple. Where moat is weaker or AI disruption risk is higher, we would underwrite toward trough-style P/E support rather than rely on historical revenue multiple floors.
- **Mature-At-Scale:** For mature at-scale platforms, GAAP P/E and EPS growth are the right starting points because these companies have the profitability base to be valued on earnings power rather than revenue optionality. Premium multiples should accrue to names with defensible moats, credible AI monetization paths, and sustained EPS growth.
- **Transition:** The 10–20% growth cohort trades at ~22.4x NTM GAAP EPS, a larger discount to its trailing 5-year average than the mature group, suggesting the market is already pricing greater skepticism into transition stories. Many names lack meaningful GAAP EPS today, putting the onus on management teams to prove that mid-teens growth can convert into GAAP earnings.
- **High Growth:** The high-growth cohort trades at ~11x EV/Gross Profit versus a trailing 5-year average of ~42x, a much larger reset than the mature and transition groups. We prefer names with stronger Rule of X profiles, durable growth, margin support, and clear AI / platform defensibility.

Exhibit 22: Introducing Our Segmented Valuation Framework

Cohort Profile	Moat	AI Journey	Growth Profile	Valuation Metrics	Highlighted Names
Low Growth	Durability matters; avoid weak moat / AI-risk stories	Longer journey; limited near-term uplift	<10% revenue growth	GAAP P/E + PEG EV/FCF ex-SBC as a check	AKAM, FTNT, CHKP, DOCU, GDDY, MANH, QLYS
Mature at-Scale	Scale, platform depth, and margin resilience	Longer journey; AI monetization optionality	Mature at scale	GAAP P/E + PEG EPS durability / growth	ADBE, INTU, MSFT, ORCL, CRM, SAP, WDAY
Transition	Moat needs to support mid-teens growth and margin expansion	Proving reacceleration and AI relevance	10–20% revenue growth	EV/FCF ex-SBC where applicable EV/Sales or EV/GP if GAAP EPS is limited	TEAM, MDB, NOW, IOT, ZS, DT, HUBS, MNDY, NTNX
High Growth	Strong platform / AI beneficiary moat required	Shorter journey; direct AI or platform upside	>20% revenue growth	EV/Sales or EV/GP vs. Rule of X	NET, CRWD, DDOG, DOCN, PANW, SHOP, SNOW

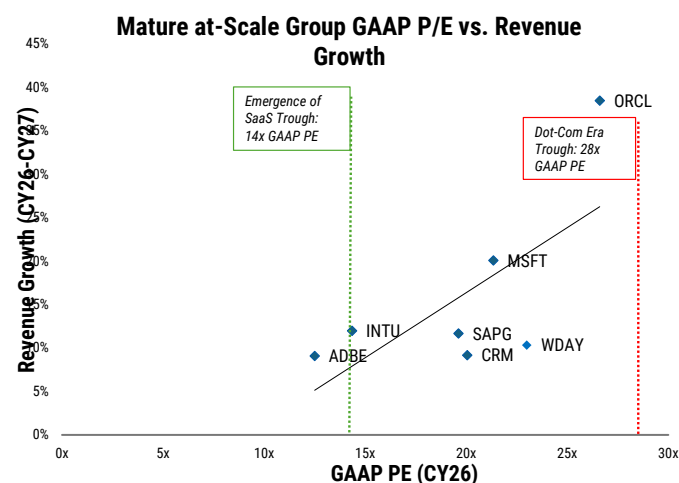
Source: Morgan Stanley Research

Exhibit 23: Low Growth



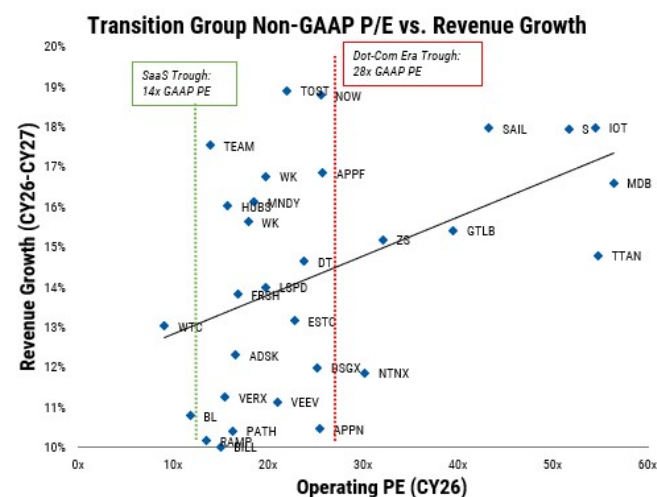
Source: FactSet, Morgan Stanley Research

Exhibit 24: Mature-At-Scale



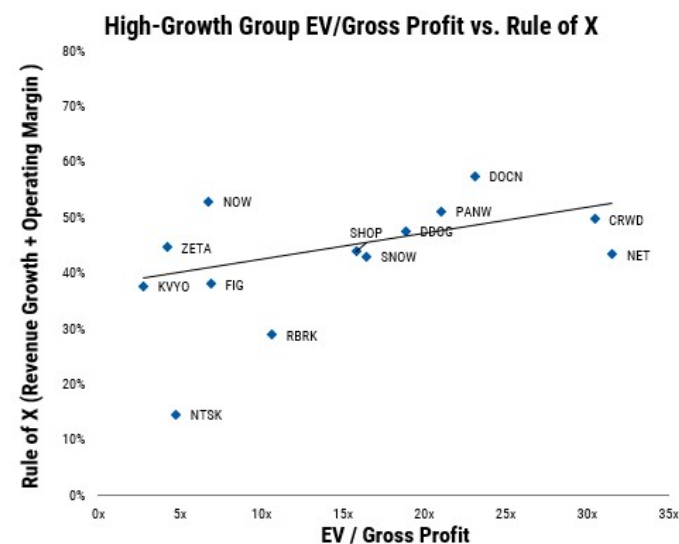
Source: FactSet, Morgan Stanley Research

Exhibit 25: Transition



Source: FactSet, Morgan Stanley Research

Exhibit 26: High Growth



Source: FactSet, Morgan Stanley Research

Our Playbook for How the Cycle Is Likely to Unfold

At the sub-industry level, we have a preference for Infrastructure and Security

Software over Applications given how Infrastructure and Security are already starting to benefit from the AI innovation cycle while Applications are likely still in the early stages of seeing meaningful benefits from AI. As detailed in our Moat and Journey framework, we believe it is a matter of time until Applications start to participate in this AI innovation cycle. As such, we prefer sub-industries and companies that are already seeing AI meaningfully impact their growth rates.

Infrastructure software is benefiting early in the AI cycle, with data platforms such as **Snowflake** leading as enterprises modernize data and prepare for AI workloads. As adoption scales, observability vendors should benefit next, followed by transactional

databases and compute/inference infrastructure, while developer automation platforms such as **Atlassian** and **GitLab** are likely later-cycle beneficiaries due to required pricing-model transitions.

Exhibit 27: Sequencing the Cycle: Infrastructure

		■ primary expected beneficiary ■ emerging / contested ■ mixed / watch ■ at risk			
Category / driver	Bellwethers (illustrative)	Today	Mid-term	Later	Sequencing – what to watch
Analytical data infrastructure <i>Data modernization & AI-readiness</i>	SNOW (Pref OW)				Earliest beneficiary – data modernization / AI-readiness initiatives.
Observability <i>App & agent monitoring</i>	DDOG (Pref OW) DT				Benefits as AI apps and agentic initiatives hit production scale.
Transactional databases <i>OLTP for agentic apps</i>	MDB (Debated OW) ORCL NTNX				Follows closely as production workloads scale; MDB nearer-term than ORCL .
Compute / inference / agent infra <i>Edge & inference platforms</i>	NET (Pref OW) AKAM (Debated OW)				Follows closely – compute, inference and agent-infrastructure demand; NET higher conviction.
Software development automation <i>Dev tooling / DevOps</i>	TEAM (debated OW) GTLB				Usage is already strong; monetization depends on a transition away from pure seat-based pricing.

How to Position

Own preferred beneficiaries SNOW, DDOG and NET now. MDB and AKAM are debated OWs positioned to benefit as production workloads scale; dev-automation remains later-cycle and pricing-transition dependent.

Source: Morgan Stanley Research

Cybersecurity should benefit across a multi-phase AI investment cycle, beginning with platform modernization to address technical debt and near-term AI threats, followed by greater SOC automation to defend against AI-driven attacks. **Palo Alto Networks** is positioned to benefit across all three phases, while **Fortinet**, **Check Point**, and **Cisco** are most exposed to modernization, **CrowdStrike** to SOC automation and AI security, and **Okta** and **Rubrik** (*not covered*) to securing data and agentic identities.

Exhibit 28: Sequencing the Cycle: Cybersecurity

		■ primary expected beneficiary ■ emerging / contested ■ mixed / watch ■ at risk			
Phase / focus	Bellwethers (illustrative)	Today	Mid-term	Later	What it addresses – what to watch
Phase 1 · AI Modernization <i>Upgrade to modern platforms; retire technical debt</i>	PANW (Pref OW) FTNT, CHKP CSCO				Current phase — platform upgrades and immediate AI-threat modernization.
Phase 2 · AI Capabilities for Security <i>Automate & assist the SOC</i>	PANW, CRWD (Pref OWs)				Automates and assists the SOC for AI-driven attacks.
Phase 3 · Security for AI <i>Secure enterprise data & new agentic identities</i>	PANW, CRWD (Pref OWs) OKTA (debated OW) Rubrik (Not Covered)				Secures enterprise data and new agentic identities.

How to Position

Own PANW and CRWD now as preferred, multi-phase beneficiaries.

Source: Morgan Stanley Research

Exhibit 29: Sequencing the Cycle: Cybersecurity

Cyber Investment Patterns In AI			
	AI Modernization	AI for Security	Security for AI
What does it mean?	• Seeing across networking / hardware / cyber • Old equipment that is off maintenance or can't handle AI speeds being replaced	• Security Operations Center (SOC) Automation • Helping automate manual tasks to help security analysts deal with volume of attacks	• Tools that protect incremental threat surface created with AI (e.g. agents, unstructured data)
Major Categories	• Firewalls • Antivirus to EDR • SD-WAN • Legacy Vendors in Identity	• SIEM • Observability • Exposure Management	• Agentic Identity Security • Data Security • Cloud Security • Code Security
Budget	• One-off budget assignment	• Labor Savings	• AI Budgets
Vendors	• PANW, CSCO, FTNT, CHKP, CRWD, ZS, NTSK	• CRWD, PANW, CSCO, TENB	• CRWD, PANW, OKTA, SAIL, VRNS, RBRK (NC)
Earlier Later			

Source: Morgan Stanley Research

Application SaaS is likely later cycle and faces the greatest disruption risk from AI-native alternatives, pricing-model transitions, and margin pressure, with winners determined by durable core platforms, successful hybrid pricing, and meaningful AI monetization. **ServiceNow** appears closest to an AI-driven growth inflection, while **Salesforce**, **Workday**, and **Intuit** likely face longer transitions due to weaker core growth and greater AI exposure. **Navan** is one of the earliest names to have seen AI start to accelerate its business.

Exhibit 30: Sequencing the Cycle: Applications

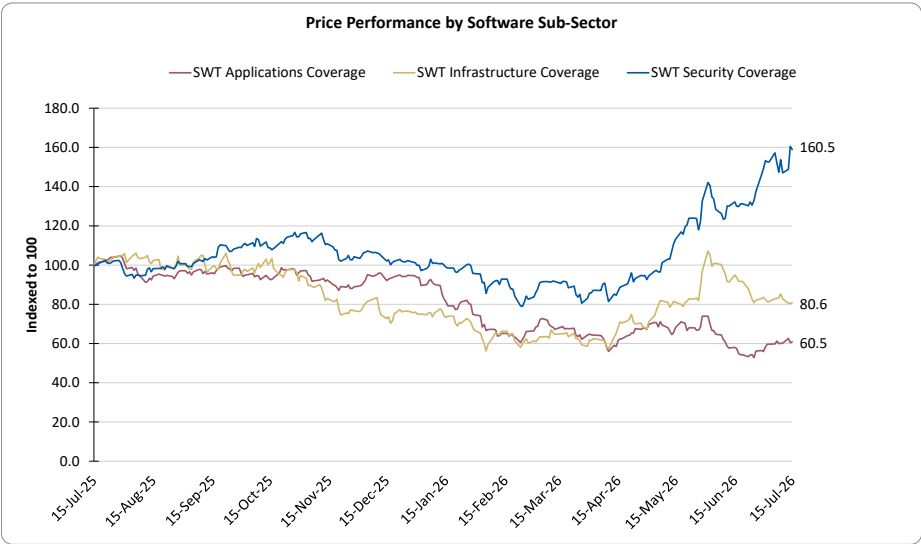
primary expected beneficiary emerging / contested mixed / watch at risk					
Application cohort / driver	Bellwethers (illustrative)	Today	Mid-term	Later	Positioning / evidence gates
Vertical / transactional platforms <i>Workflow + payments / volume pricing</i>	SHOP (Pref OW) NAVN (Pref OW) TOST (high-moat beneficiary)				SHOP/NAVN: pref OWs; TOST: high-moat beneficiary. Watch AI attach, volume monetization and GP/OP leverage.
Enterprise workflow orchestration <i>Agents across IT, service, HR, ops</i>	NOW (OW; closest to inflection) TEAM (debated OW) APPN (category beneficiary)				NOW is the closest broad SaaS inflection; TEAM pricing-gated; APPN category beneficiary.
Governed back-office systems <i>High-gravity ERP / finance / HCM data</i>	SAP (debated OW) INTU (EW) WDAY (UW)				Durable moat; timing and ratings vary. SAP has stronger governed-ecosystem opportunity; INTU/WDAY remain farther from inflection.
Front-office / headless transition <i>Front-office workflows + hybrid pricing</i>	HUBS (debated OW) CRM				CRM owns a deep system of record but remains farther from inflection; HUBS OW with pricing/GTM transition risk.
Content-generation exposure <i>Model-lab encroachment</i>	ADBE (UW)				ADBE remains exposed to model-lab encroachment in content generation.
Low-moat / simple-workflow point solutions <i>Simple workflows / limited control</i>	ASAN, GTM, RNG, LZ, PATH				Weak workflow ownership and greater structural risk.

How to Position

Maintain near-term preference for Infrastructure/Security. Apps: preferred SHOP/NAVN; NOW is closest broad SaaS inflection and OW; SAP/TEAM/HUBS debated OWs; CRM/INTU EW; ADBE/WDAY UW.

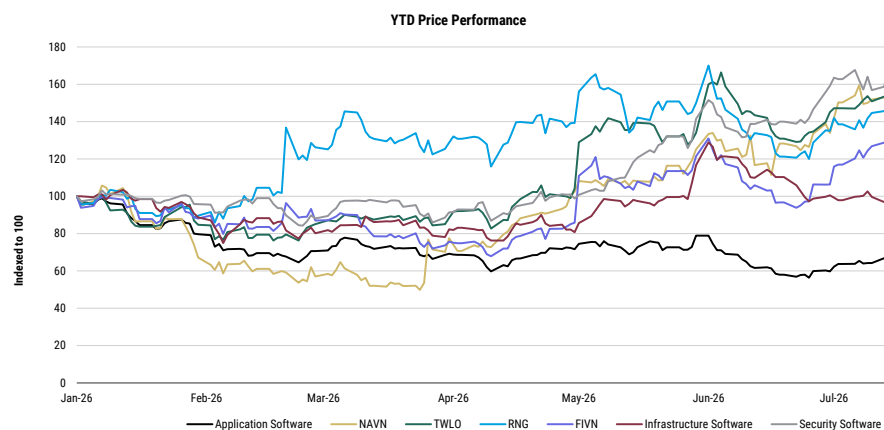
Source: Morgan Stanley Research

Exhibit 31: Infrastructure and Security Have Meaningfully Outperformed Applications Over the Last Year...



Source: FactSet, Morgan Stanley Research.

Exhibit 32: ...But There Are Emerging Winners Within Applications That Have Meaningfully Outperformed



Source: FactSet, Morgan Stanley Research

Key Ratings Actions & MS Software Coverage Map

Key Ratings Actions

As part of our assessment utilizing our Moat & Journey framework, evaluating current growth trends and applying our updated valuation methodology, we take the following rating actions:

Exhibit 33: Summary of Ratings Changes

Company	Ticker	Analyst	Rating Action	Rating		Price Target			Current Price	New PT Upside
				New	Prior	New	Prior	% Chg		
Atlassian	TEAM	Adam Wood	Assuming Coverage	OW	OW	\$120	\$120	0%	\$93	29%
Microsoft	MSFT	Adam Wood	Assuming Coverage	OW	OW	\$600	\$650	-8%	\$394	52%
ServiceNow	NOW	Adam Wood	Assuming Coverage	OW	OW	\$180	\$180	0%	\$103	74%
Shopify	SHOP	Adam Wood	Assuming Coverage	OW	OW	\$192	\$192	0%	\$124	55%
Intuit	INTU	Adam Wood	Assuming Coverage	EW	OW	\$335	\$580	-42%	\$291	15%
Salesforce.com	CRM	Adam Wood	Assuming Coverage	EW	OW	\$185	\$287	-36%	\$171	8%
Samsara	IOT	Adam Wood	Assuming Coverage	EW	EW	\$43	\$53	-19%	\$38	12%
Adobe Systems	ADBE	Adam Wood	Assuming Coverage	UW	EW	\$240	\$365	-34%	\$237	1%
Workday	WDAY	Adam Wood	Assuming Coverage	UW	EW	\$145	\$185	-22%	\$145	0%
Elastic NV	ESTC	Sanjit Singh	Downgrade	EW	OW	\$66	\$73	-10%	\$62	7%
JFrog Ltd	FROG	Sanjit Singh	Downgrade	EW	OW	\$95	\$80	19%	\$89	7%
PagerDuty Inc	PD	Sanjit Singh	Downgrade	UW	EW	\$9	\$10	-10%	\$10	-13%
CrowdStrike	CRWD	Meta Marshall	No Change	OW	OW	\$227	\$172	32%	\$203	12%
Palo Alto Networks	PANW	Meta Marshall	No Change	OW	OW	\$387	\$320	21%	\$359	8%
Rapid7	RPD	Meta Marshall	Downgrade	UW	EW	\$9	\$9	0%	\$12	-26%
NICE Ltd	NICE	Elizabeth Porter	Downgrade	EW	OW	\$111	\$130	-15%	\$100	11%
Wix.com	WIX	Elizabeth Porter	Downgrade	EW	OW	\$60	\$112	-46%	\$51	17%
Blackline	BL	Chris Quintero	Downgrade	EW	OW	\$33	\$50	-34%	\$30	9%
Vertex Inc	VERX	Chris Quintero	Downgrade	EW	OW	\$15	\$19	-21%	\$13	17%
SPS Commerce	SPSC	Chris Quintero	Downgrade	UW	EW	\$57	\$70	-19%	\$66	-13%

Source: Morgan Stanley Research

Adam Wood Coverage Assumptions

- Assumes Coverage of Microsoft (MSFT) at OW with \$600 PT:** MSFT scanned as the highest quality compounder across our moat and journey analysis, earning it "High-Conviction Overweight" status amongst our coverage group. The company also earns "Best Athlete" status when it comes to business efficiency - driving top-tier GP and OP per employee rankings demonstrating how efficiently the business is run. To some extent, these positive attributes are well known by investors. Where we believe we have a differentiated view is on Azure and Copilot growth over the next 12 - 24 months. First, we believe Azure growth has been constrained by capacity rather than demand which should drive acceleration in this business. Second, we believe the market is currently viewing MSFT's ability to monetize Azure AI as in line with neoclouds over time which we believe likely significantly understates the company's ability to monetize much more broadly around databases, storage, developer tools, Azure AI Foundry and other platform services. We expect this to drive better Azure growth overall for longer than investors expect. Second, we also see upside to Copilot adoption, with 88% of CIOs expecting to deploy M365 Copilot over the next 12 months, up from 80% in 4Q25 and 72% a year ago. Coupled with a move to more consumption based revenues we see upside to seat and revenue numbers here. Finally, we see MSFT as more of an infrastructure play, better placed to monetize the build part of the cycle than pure application SaaS players. We see 16x FY28 as very attractively valued vs. >20% sustainable EPS growth. Please refer to our in-depth note on Microsoft,

Battle of the AI Stack: Infrastructure to Knowledge Workers – Azure and Copilot Are Set to Inflect.

- **Assumes Coverage of ServiceNow (NOW) at OW With \$180 PT:** ServiceNow is one of only five companies in our coverage to rank among the top 15 overall on both moat and journey, reinforcing our view that the company has continued to build on its durable competitive advantages. The company's moat is underpinned by the breadth and depth of the workflows it supports, as well as the mission-critical nature of those workflows. Moreover, ServiceNow is steadily capitalizing upon a meaningful AI opportunity through the adoption of Now Assist and the expansion of its AI-focused product portfolio. To that point, early traction with Now Assist and the implementation of AI-oriented capabilities across core offerings should assist in driving an AI inflection point relative to other application software vendors. We acknowledge persistent investor concerns surrounding potential GenAI-driven disruption and the company's recent shift in M&A strategy. However, we view these risks as overstated with recent acquisitions serving as platform enhancements rather than an avenue for acquiring growth. All in, these factors position ServiceNow ahead of other application software vendors, while its valuation screens reasonably attractive within our EV/gross profit vs Rule of X (topline growth and operating income margin) framework.
- **Assumes Coverage of Shopify (SHOP) at OW with \$192 PT:** Shopify screens as a unique 'Best Athlete' when it comes to the combination of moat and journey scores. Shopify owns an enviable position as a mission critical provider of e-commerce solutions for companies, but has not rested on its strong moat. Instead, we see the company as having one of the shortest journeys to monetizing AI as Sidekick lowers the cost and complexity of starting a business, while its innovation across Product Catalog, Agentic Plan, and UCP position Shopify as the infrastructure layer for agent-led discovery and transactions. This underpins the structural positioning of Shopify – throughout historical periods of eComm industry change / disruption, the company has innovated fastest and used these opportunities to accelerate its GMV share gains. As a result, we see SHOP well positioned with a durable core business benefiting from ramping contribution from key GMV growth drivers (Enterprise, International, Offline), standing to incrementally benefit from AI monetization earliest among the SaaS group. Finally, we believe the recent concerns around AI / Sidekick token costs are overdone and provide investors with a highly attractive entry point (~46x CY27 EV/FCF) given the 25% CAGR in topline through FY27 and scope for FCF margin expansion driving a ~30% FCF CAGR over the same period.
- **Assumes Coverage of Atlassian (TEAM) at OW with \$120 PT:** We reiterate OW as Atlassian is positioned to prove out as a durable AI beneficiary rather than a casualty, even as the stock remains one of the market's most debated names on

fears that AI-driven developer productivity gains will shrink its seat-based revenue opportunity. While initial FY27 revenue guidance is likely to come in below consensus, that is a temporary effect of Data Center revenue mechanics. However, that dynamic means we would likely wait for a better entry point off the back of those results. Management's Investor Day commentary, expanding non-developer usage, and accelerating AI product adoption suggest the bear case is increasingly disconnected from underlying demand. Atlassian's role as the context and execution layer for AI-native work, anchored by the Teamwork Graph and Rovo, gives the company a credible path to convert AI from a headcount-reducing threat into a seat-expansion and cross-sell engine. This is reinforced by knowledge workers already representing 65%/68%/77% of Jira/Confluence/JSM users, Subscription ARR pointing to ~60% net new ARR growth over the past two quarters, and enterprise cohorts above \$1M and \$3M ARR compounding 6x and 10x over four years. With an undemanding valuation of 3x CY27 Sales (0.15x growth-adj) and 10x FCF, we believe the market greatly underappreciates a durable 20% topline growth with room for further margin expansion.

- Assumes Coverage of Samsara (IOT) at EW with \$43 PT:** We remain Equal-weight on Samsara (IOT) with a \$43 price target, reflecting a balanced view that acknowledges the company's impressive operational execution while flagging valuation as a key constraint. We view Samsara as one of the best executors in our software coverage, sustaining 30%+ ARR growth, reaching \$1.99 billion in ARR as of Q1 FY27, and with broad-based strength across large customers, multiproduct adoption, emerging products, and international expansion. While we lean incrementally constructive on shares given that 25%+ forward growth looks underappreciated at 9X CY27 Sales, we stop short of upgrading because key watch items remain: the durability of 30%+ growth as comps get harder, enterprise deal timing variability, and the still-early-stage monetization of new growth vectors such as AI-based pricing (SKU-based, data-based, and eventually consumption-based models). Longer term, we continue to look for more durability from non-core offerings driving a greater portion of growth as Samsara extends its algorithm beyond the core fleet management and safety opportunity. Until that visibility improves, we maintain our Equal-weight stance.
- Assumes Coverage of Salesforce (CRM) at EW with \$185 PT:** CRM scored well in our moat / journey analysis coming in 21st overall, but not making the top quintile on either metric. We scored the journey more highly for CRM, partly given its headless strategy to monetize AI effectively. We see a "tale of two cities" situation at CRM - with the data points on the AI side showing improving momentum (e.g., Agentforce ARR sustaining triple digit growth at a \$1bn plus scale) and Slack a strong contender as the control plane for enterprise agentic AI. The challenge is these strong AI metrics have not been able to offset underperforming areas of the portfolio (e.g. Commerce, Tableau) and organic topline growth as a whole has slowed. While we think Salesforce's strategy to disrupt itself by allowing access to the data and workflow vs. defending the legacy seat based UI is the right one, we

believe it will take time for this to show through in numbers. First, we see application SaaS more generally as a later-cycle beneficiary of the shift of build to buy, and second, newer, faster growing products must offset slower growing products. Given that timing, we don't see valuation (~19x GAAP P/E) as particularly compelling, and therefore assume coverage at EW. Please see our stand-alone note, [Salesforce, Inc: When Does a Willingness to Disrupt Itself Pay Off? Downgrade to Equal-weight](#).

- Assumes Coverage of Intuit (INTU) at EW with \$335 PT:** We believe Intuit's share price and valuation have been heavily impacted by negative investor perceptions of its moat. The concern is that LLMs will be able to file taxes and provide entry level accounting software at a much lower price. We think these fears are overdone and Intuit scored relatively well on the moat side of our analysis (12th strongest moat in our coverage). Our concerns relate more to the journey, where Intuit scored 34th among our coverage. We see investor concerns centered on the lower end (non assisted) side of the tax business given the deceleration here in the critical 3Q reporting period. A key challenge for the company is that it will not be until May 2027 when Intuit can dispel that bear thesis leaving the tax business an overhang until then. Second, we don't see growth from the company's AI initiatives inflecting in the near term. The company's approach to AI has been to include additional AI capabilities in their higher priced plans and monetizing by having customers upgrade to those higher tiers. While this is likely the right long-term approach, it will take some time before this starts to accelerate revenue. We see valuation support at current levels with the shares trading at 14x GAAP EPS for mid teens EPS growth (which could be higher in the short term as the market better reflects the c. 17% RIF). However, this leaves it attractively valued, but lacking a catalyst.
- Assumes Coverage of Adobe (ADBE) at UW with \$240 PT:** Adobe retains a meaningful moat in creative professional workflows and enterprise content supply chains, supported by its brand, distribution, installed-base standardization, and deep workflow-specific product breadth. However, the moat is much more debated with 'lighter-weight' users, where portions of the workflow are task-based, promptable, and less system-of-record-like, leaving consumer, business-user, and simpler marketing use cases increasingly exposed to AI-native substitution. Against this backdrop, Adobe's journey to proving AI is a net tailwind has become harder for us to underwrite. The company is simultaneously shifting acquisition toward freemium, transitioning both its CEO and CFO, and moving from margin harvesting toward heavier AI reinvestment. Each transition may be manageable in isolation, but together they raise the execution bar as pricing is deferred, freemium conversion remains unproven, leadership priorities are in flux, and rising AI usage may pressure margins before monetization arrives. We believe these transitions elongate the path to durable ARR reacceleration and clear evidence that AI expands, rather than cannibalizes, Creative Cloud. At ~12x GAAP earnings, much of the risk is likely reflected, but cleaner growth and AI monetization elsewhere support a relative UW. Please see our stand-alone note, [Adobe Inc: Undergoing](#)

Multiple Transitions at Once Creates Heightened Execution Risk; Downgrade to Underweight.

- Assumes Coverage of Workday (WDAY) at UW with \$145 PT:** We believe Workday's moat remains one of the strongest in software, ranking near the top of our coverage universe given its position as a system of record across HR and finance, extensive proprietary data assets, and significant switching costs. However, our concerns are centered on the journey rather than the destination. We do not see evidence that the company's AI initiatives will drive a meaningful growth acceleration yet in the near term. Many of the company's AI offerings remain in the early stages of deployment, and adoption is likely to progress more slowly than investors expect given the compliance, governance, and change-management requirements associated with back-office workflows. We are also concerned that Workday's decision to retire its prior Analyst Day framework creates greater uncertainty around the medium-term revenue and margin outlook. While we continue to see a compelling long-term opportunity in AI-enabled enterprise automation in the back-office, we believe investors may need to wait several years before those benefits are reflected in the financials. At the same time, shares continue to trade at a premium valuation at 23X CY27 GAAP P/E relative to similarly growing large-cap software peers in the mid-teens range, leaving us with a stock that has a high-quality moat but lacks a clear near-term catalyst and faces increasing risk that AI monetization takes longer to emerge than the market currently expects.

Infrastructure Software: Sanjit Singh Rating Changes

- Elastic (ESTC, PT to \$66 from \$73): Downgrade from OW to EW.** We have become less confident that a positive inflection in growth will materialize over the near-to-medium term. When we initiated at Overweight in December of 2024 our thesis was predicated on the view that Elastic's differentiated search capabilities – AI and vector search in particular – would drive an overall growth inflection for the company as enterprises modernized search and brought GenAI into their applications. While growth has been stable, the material inflection in growth has not materialized even as other parts of the data infrastructure ecosystem have begun to show clearer AI-related tailwinds. While we are not sure why Elastic has yet to see better growth, our best read on the situation is that while growth in the search business (30-40% of revenue) is likely improving, it may be accelerating from lower levels of growth than we had assumed. Furthermore, Elastic standing in the open source lane of the observability market has diminished somewhat in favor of other players. Lastly, while we believe Elastic is more differentiated in SIEM, the market is getting more competitive with players like Palo Alto, CrowdStrike and Datadog backdrop investing aggressively. Against this backdrop, the recent executive departures and organizational restructuring announced late in June, lead us to think that the timeline for better growth is likely going to take longer than we expected.

- **JFrog (FROG, PT to \$95 from \$80): Downgrade from OW to EW.** To be clear, our move from OW to EW is predominantly about valuation and a more balanced risk/reward with shares trading at 14x revenue and 66x FCF on CY27 estimates. We remain positive on the fundamentals and believe the company is well positioned to benefit from the growing volume and complexity of AI-assisted software development. However, the stock's strong move higher since March (up >130%) raises expectations and leaves less margin for error, particularly as we consider that Cloud revenue is set to face tougher YoY compares in the coming quarters and more enterprises signal caution about the significant increase in token usage. Of note, the excess consumption above commitments has not yet translated into larger commitment contracts. Even if demand remains healthy, revenue growth could moderate simply because compares are more difficult which poses some risk given current valuation levels. Management's guidance framework remains conservative and could support further beats, but we believe future stock outperformance requires sustained estimate revisions in addition to continued validation of the AI beneficiary thesis.
- **PagerDuty (PD, PT to \$9 from \$10): Downgrade from EW to UW.** Despite shares trading at an undemanding 19x 2027 GAAP PE, PagerDuty's core growth signals remain weak, while our Moat & Journey places it among the bottom quintile of the Morgan Stanley coverage universe. Despite modestly better-than-feared Q1 results, the fundamental picture at PagerDuty remains under pressure, with revenue of \$121 million up only 1% YoY, ARR flat YoY at \$496 million, net-new ARR falling YoY (-\$2.7 million) and DBNRR down for the sixth consecutive quarter to 97%. PagerDuty continues to face seat compression, churn in the SMB market, weaker expansion, and more frequent contraction among larger customers. Management continues to point to improving gross retention, programmatic renewal initiatives, stronger customer engagement, larger enterprise platform deals, and a shift toward flexible platform plus usage-based pricing. We agree that these are the right areas of focus. However, we think the journey to better growth remains extended.

Cybersecurity: Meta Marshall Rating (and PT) Changes

- **Downgrade of Rapid7 (RPD) from EW to UW with \$9 PT.** Our move from EW to UW is predominantly about a fundamentally challenged position within vulnerability management (VM), where we see AI-native entrants increasingly displacing share. While we agree the category has evolved beyond bug-finding into exposure management, where it is more defensive vs. AI-natives, we don't believe Rapid7 has executed that pivot successfully enough, as evidenced by just 1.2% revenue growth over the last twelve months. Core VM now represents less than half of ARR and continues to erode, and though D&R (~55% of ARR, growing ~7% YoY) remains the more defensible pillar, operating margins have deteriorated from ~19% in FY24 toward a guided ~14% midpoint in FY26. We'd prefer other names in cyber with a more credible pivot to exposure management (namely TENB). The stock's 50%+ rally over the past month also reduces the odds of near-term strategic activity despite a long-standing activist presence, leaving less room for upside surprise at current levels. Our PT stays at \$9 (5x CY27e FCF), with the key

risks to our downgrade being strategic activity, market-extension progress, and FCF margin improvement.

- **Reiterating OW on Palo Alto Networks (PANW), Moving to Top Pick in Cybersecurity, Raising PT to \$387.** We see PANW as one of the clearest beneficiaries of the next leg of enterprise AI adoption. While focus has centered on AI security following recent model releases from the AI natives, we believe an equally important dynamic is platform consolidation, with customers increasingly standardizing on fewer strategic vendors to secure expanding AI workloads, machine identities, and autonomous agents while also balancing increasingly constrained IT budgets. PANW's platform across Network Security, SASE, SIEM, endpoint security, identity security (CyberArk), Observability (Chronosphere), and AI Security (Prisma AIRS) uniquely positions it to capture share as consolidation trends continue to accelerate. Importantly, PANW's platformization strategy is clearly resonating with customers, evidenced by the company's strongest hardware quarter in a decade in F3Q26 (*supported by NGFW bookings growth of ~40% YoY*), XSIAM surpassing \$600M ARR (+100% YoY), Prisma AIRS tripling its customer base sequentially. Platformized customers now generate ~120% net retention, represent ~65% of NGS ARR, and exhibit materially lower churn. We also see continued upside from the CyberArk and Chronosphere integrations, where cross-sell activity, synergy realization, and margin execution are tracking ahead of plan, reinforcing confidence in the company's path toward 40% adjusted FCF margins by FY28. Taken together, we believe PANW offers one of the best combinations of consolidation tailwinds, AI security exposure, and durable margin expansion across software, supporting our move to Top Pick in cybersecurity. As AI furthers the shift in cybersecurity from point products to larger platforms, we believe PANW is one of the best positioned vendors to sustain improving growth and expanding margins, justifying a premium valuation relative to peers. As such, we raise our base case PT to \$387 based on 52x our 2028e FCF per share of \$7.05, vs. prior \$320 based on 46x our 2027e FCF per share of \$6.54, given PANW's strong secular positioning and the drive towards higher operating margins, which also supports our confidence in the company's ability to sustain durable FCF growth over the next 3 years.
- **Reiterating OW on CrowdStrike (CRWD), Raising PT to \$227.** We continue to view CrowdStrike as one of the clearest beneficiaries of the accelerating convergence between AI adoption and cybersecurity, with AI acting as both a catalyst for incremental security spend and a driver of broader platform consolidation. As enterprises continue to rapidly deploy AI workloads, copilots, and autonomous agents, we believe CrowdStrike's Falcon platform, spanning endpoint, cloud, identity, SIEM, AI security, and data protection, remains uniquely positioned to secure the expanding attack surface while enabling customers to consolidate vendors and lower total cost of ownership. CrowdStrike has continued to see strong platform consolidation momentum (*which we expect to only improve going forward*), as management raised FY27 net new ARR guidance by \$52M despite only a \$7M beat in F1Q27, reflecting accelerating AI-driven demand, record pipeline levels, stronger module adoption, and durable retention trends. Falcon Flex also continues to reinforce the platform story, with Flex ARR surpassing \$1.9B in F1Q27 (+99% YoY), customers increasingly re-Flexing well ahead of renewal cycles, and

multi-module adoption continuing to expand. We are also increasingly constructive on CrowdStrike's leadership in agentic security, where Falcon AIDR has become one of the fastest-growing products in company history, supported by >250% sequential ARR growth and a Q2 pipeline already exceeding \$50M. Bottom line, we believe CrowdStrike remains one of the highest-quality software franchises, combining durable 20%+ growth (which is accelerating), expanding margins, and favorable AI positioning, supporting a premium valuation relative to peers, though remove CRWD as our Top Pick given relative valuation. At the same time, we raise our base case PT to \$227 based on 60x our CY30e FCF of \$5.21B, discounted back at 12%, vs. prior \$172 based on 45x CY30e FCF of \$5.15B (discounted back at 12%), given the broader platform garnering traction, GenAI gaining momentum, and improvements in EBIT, which supports our confidence in a durable 25%+FCF CAGR over the next 3 years.

Front-Office Applications: Elizabeth Porter Rating Changes

- Wix (WIX, PT to \$60 from \$112): Downgrade from OW to EW.** We have become less confident that Wix can deliver the combination of durable growth and compounding FCF generation that underpinned our prior thesis. Wix retains meaningful advantages in brand, distribution, installed-base reach, and its large SMB creation funnel, but the core website product is not a deep system of record and benefits from limited network effects, leaving its moat increasingly exposed as AI-native tools lower the cost and complexity of building websites and applications. The journey is more encouraging – Wix Harmony, Base44, proprietary models, and AI-native workflows show Wix is moving quickly to adapt. However, that progress has yet to drive a notable growth inflection. In fact, bookings and revenue expectations have recently moved lower amid Partner softness and organizational realignment, raising questions about the health of the core website business as Base44 scales rapidly. At the same time, vibe coding as a revenue stream is proving extremely compute and S&M intensive, pressuring margins and structurally weighing on near-term FCF generation. Thus, until Wix demonstrates that its core business can meaningfully reaccelerate and that Base44 can scale with improving unit economics, we expect the moat debate and FCF concerns to stymie multiple expansion, keeping shares largely range-bound.
- NiCE (NICE, PT to \$111 from \$130): Downgrade from OW to EW.** We have become less confident that the Cloud growth acceleration and FCF profile underpinning our prior Overweight thesis will materialize over the near-to-medium term. Our thesis was predicated on continued premise-to-cloud contact center migrations and AI monetization supporting a durable acceleration in Cloud growth, while NICE's profitability advantage versus peers preserved an attractive FCF profile. While NICE is approaching the CCaaS and AI opportunity with urgency – acquiring Cognigy, expanding its channel presence and increasing organic investment – we have yet to see a durable growth acceleration, and the decision to invest more aggressively has materially reduced forward FCF expectations. We have not identified a material shift in competitive dynamics in our quarterly channel work, but it is reasonable to assume pressure is increasing as CRM vendors, hyperscalers, scaled UCaaS providers and AI-native entrants invest more

aggressively in customer experience. Although the shares already price in significant negativity at roughly 8.5x FY27e FCF, the combination of estimate risk, a weaker near-term FCF narrative and a limited catalyst path leaves risk/reward more balanced.

Office of the CFO: Chris Quintero Rating Changes

- **BlackLine (BL, PT to \$33 from \$50): Downgrade from OW to EW.** We downgrade BlackLine to Equal-weight because the turnaround growth story has played out, while the next phase of growth increasingly depends on AI adoption that we expect will take time to materialize. We continue to view BlackLine favorably given its deeply embedded role in financial close processes and the mission-critical nature of accounting workflows, but the accounting market's need for accuracy, controls, and auditability is likely to slow enterprise AI adoption. While products such as Verity AI are promising, we do not yet have sufficient conviction that AI will drive a meaningful near-term growth acceleration, leading us to view the risk/reward as more balanced at current levels.
- **SPS Commerce (SPSC, PT to \$57 from \$70): Downgrade from EW to UW.** We downgrade SPS Commerce to Underweight because we see uncertainty around the durability of its EDI-centric moat, limited evidence that recent acquisitions are driving meaningful cross-sell benefits, continued estimate reductions that have weakened investor confidence, and downside multiple risk. Although SPS maintains a large network of trading partner relationships and a differentiated position in retail supply chain connectivity, we question whether traditional EDI networks will remain as strategically valuable in an increasingly AI-driven environment. Until management can demonstrate that AI initiatives are driving stronger wallet share gains, improved monetization, and accelerating growth, we believe there are better relative opportunities elsewhere in our coverage.
- **Vertex (VERX, PT to \$15 from \$19): Downgrade from OW to EW.** We downgrade Vertex to Equal-weight because, despite its strong market position and differentiated tax data assets, we believe the path to realizing meaningful AI benefits will be on the longer side. Vertex remains well positioned as a core tax automation platform, but execution risks have increased amid leadership changes, elevated investment spending, and ongoing efforts to improve net retention. While AI initiatives and e-invoicing should support long-term growth, we expect the compliance-focused nature of the tax market to slow AI adoption and monetization, leaving investors waiting for clearer evidence of accelerating growth and improving fundamentals.

Software Team Coverage Map

Exhibit 34: Large Cap Software Coverage - Adam Wood

Large Cap Software Coverage - Adam Wood		
Ticker	Company name	Rating
NOW	ServiceNow Inc	OW
TEAM	Atlassian Corporation PLC	OW
MSFT	Microsoft	OW
SHOP	Shopify Inc	OW
IOT	Samsara Inc	EW
CRM	Salesforce, Inc.	EW
INTU	Intuit	EW
ADBE	Adobe Inc.	UW
WDAY	Workday Inc	UW

Source: Company data, Morgan Stanley Research

Exhibit 35: Infrastructure Software Coverage - Sanjit Singh

Infrastructure Coverage - Sanjit Singh		
Ticker	Company name	Rating
AKAM	Akamai Technologies, Inc.	OW
DDOG	Datadog, Inc.	OW
MDB	MongoDB Inc	OW
NET	Cloudflare Inc	OW
SNOW	Snowflake Inc.	OW
FROG	IFrog Ltd.	EW
ESTC	Elastic NV	EW
APPN	Appian Corp	EW
DT	Dynatrace Inc	EW
GTLB	GitLab Inc	EW
NTNX	Nutanix Inc	EW
ORCL	Oracle Corporation	EW
PATH	UiPath Inc	EW
PLTR	Palantir Technologies Inc.	EW
PD	PagerDuty, Inc.	UW
AI	C3.ai	UW

Source: Morgan Stanley Research

Exhibit 36: Security Software Coverage - Meta Marshall

Security Software Coverage - Meta Marshall		
Ticker	Company name	Rating
CRWD	CrowdStrike Holdings Inc	OW
NTSK	Netskope, Inc.	OW
OKTA	Okta, Inc.	OW
PANW	Palo Alto Networks Inc	OW
SAIL	SailPoint Inc	OW
CHKP	Check Point Software Technologies Ltd.	EW
FFIV	F5 Inc	EW
S	SentinelOne, Inc.	EW
TENB	Tenable Holdings Inc	EW
VRNS	Varonis Systems, Inc.	EW
ZS	Zscaler Inc	EW
RPD	Rapid7 Inc	UW
FTNT	Fortinet Inc.	UW
QLYS	Qualys Inc	UW

Source: Morgan Stanley Research

Exhibit 37: Front Office Applications Coverage - Elizabeth Porter

Front Office Applications Coverage - Elizabeth Porter		
Ticker	Company name	Rating
ADSK	Autodesk	OW
AMPL	Amplitude Inc.	OW
HUBS	HubSpot, Inc.	OW
KVYO	Klaviyo, Inc	OW
TWLO	Twilio Inc	OW
NICE	NICE Ltd.	EW
WIX	Wix.Com Ltd	EW
CXM	Sprinklr Inc	EW
FIG	Figma Inc	EW
FIVN	Five9 Inc	EW
FRSH	Freshworks Inc	EW
GDDY	GoDaddy Inc	EW
GTM	ZoomInfo Technologies Inc	EW
RAMP	Liveramp Holdings Inc	EW
RNG	RingCentral Inc	EW
SPT	Sprout Social Inc	EW
ZETA	Zeta Global Holdings Corp	EW
LZ	LegalZoom.com Inc	UW

Source: Morgan Stanley Research

Exhibit 38: Vertical Software, Neoclouds, Future of Work, and EdTech - Josh Baer

Vertical, Neoclouds, Future of Work, & EdTech Coverage - Josh Baer		
Ticker	Company name	Rating
CCC	CCC Intelligent Solutions Holdings Inc	OW
DOCN	DigitalOcean Holdings Inc	OW
MNDY	monday.com Ltd	OW
TOST	Toast, Inc.	OW
TTAN	ServiceTitan Inc	OW
VIA	Via Transportation Inc	OW
BOX	Box Inc	EW
COUR	Coursera, Inc.	EW
CRWV	CoreWeave	EW
DCBO	Docebo Inc.	EW
DOCU	DocuSign Inc	EW
LSPD	Lightspeed Commerce Inc.	EW
NBIS	Nebius Group NV	EW
SABR	Sabre Corp	EW
ZM	Zoom Communications	EW
ASAN	Asana Inc	UW
CMRC	Commerce.com Inc.	++

Source: Morgan Stanley Research

Exhibit 39: Office of the CFO Coverage - Chris Quintero

Office of the CFO Coverage - Chris Quintero		
Ticker	Company name	Rating
DSGX	Descartes Systems Group Inc	OW
NAVN	Navan Inc	OW
VERX	Vertex Inc.	EW
BL	Blackline Inc	EW
BILL	BILL Holdings Inc	EW
MANH	Manhattan Associates Inc.	EW
SPSC	SPS Commerce Inc	UW

Source: Morgan Stanley Research

Slide Deck

Morgan Stanley Team Software

Future of Software Framework

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Morgan Stanley Team Software

Part I *Key Debates*

Debate #1: Where Does AI Value Accrue?

Relevant for Application Software, Infrastructure Software & Cybersecurity

MARKET VIEW

Frontier labs capture all the value

LLM capabilities are improving so quickly that the models will soon automate the vast majority of work across every function, task, and workflow.

Implication: frontier labs accrue all AI value; existing software vendors get displaced.

MORGAN STANLEY VIEW

Labs AND select software vendors both accrue value

Raw intelligence keeps improving on academic benchmarks, but progress on real-life knowledge work has plateaued.

The "Jagged Frontier": LLMs are powerful on some tasks, fail on others. Labs stay inside the frontier — coding, general knowledge work (summarization, drafting, ideation), content generation.

App vendors win by augmenting LLMs with domain-specific context/data at the workflow layer (healthcare, legal, finance). Infra delivers data/context; cyber secures agentic workflows.

BENEFICIARIES

LARGE-CAP

MSFT, PANW, PLTR, CRWD, SHOP, NET, SNOW, DDOG

SMID-CAP

TOST, NAVN

TOO EARLY

LARGE-CAP

SAP, NOW, WDAY, CRM, TEAM

SMID-CAP

VERX, CCC

CHALLENGED

LARGE-CAP

FTNT, ZS

SMID-CAP

DCBO, RPD, LZ, SPT, GTM, QLYS, CXM, SPSC

Source: Morgan Stanley Research

Debate #2: Is Going Headless Inevitable Or Will There Be Closed Ecosystems Too?

Relevant for Application Software • Case studies: Salesforce & SAP

MARKET VIEW

Headless is inevitable for everyone

Agents run by the frontier labs orchestrate work; UIs disappear and app vendors get relegated to “dumb databases.”

Labs own the orchestration layer, so vendors must go headless and prioritize APIs — or be replaced by those that do.

Even headless vendors accrue less value than the agents sitting on top of their data.

MORGAN STANLEY VIEW

Open AND closed ecosystems will coexist

Agreed: APIs and agent-ready infrastructure become critical, and UI-only moats are threatened.

But not everyone goes headless. UI-moat or thin-data vendors must; vendors on regulated, high-gravity data can stay relatively closed — and will.

Result: a stack that opens at the front and consolidates into governed ecosystems at the back. Closed ecosystems have more right to own orchestration where the stack is already standardized on them.

SALESFORCE — OPENS AT THE FRONT

UI-led footprint pushes toward headless — prioritizing APIs and agent access as interfaces commoditize.

SAP — CONSOLIDATES AT THE BACK

Regulated, high-gravity ERP data supports a relatively closed, governed ecosystem with a stronger claim to orchestration.

Source: Morgan Stanley Research

Debate #3: Evolution of Software Pricing - Can Software Vendors Effectively Capture Value Outside of Seats?

Most relevant for Seat-Based Software

MARKET VIEW

Seats erode; pricing power shifts to AI

AI labs and AI-native start-ups compress the cost of building software and move up into workflow automation, making differentiated functionality easier to replicate.

As features commoditize and switching costs tied to UI familiarity erode, incumbents may keep systems of record but lose the user-facing control point — and pricing power — to agents and AI-native apps.

With SaaS historically scaling on headcount, a weaker human-seat proxy for value leaves installed bases more vulnerable.

MORGAN STANLEY VIEW

Unit of value changes, economics don't

Evolving pricing isn't new: vendors and customers have always negotiated around value, workflow criticality, switching costs, and bargaining power.

GenAI changes the unit of value, not software economics — owners of mission-critical workflows with measurable ROI keep pricing power.

Expect a hybrid seat-plus-consumption model for seat-based vendors; pure-consumption vendors capture AI upside sooner. Implications: new disclosures to underwrite the shift, and more cyclical as consumption mix rises.

BENEFICIARIES

Consumption-led models

SNOW, DDOG, MDB, NET, FROG, SHOP, TOST, KVYO, AMPL

CHALLENGED

Seat-based / lower pricing power

CRM, ADBE, TEAM, GTLB, ZS, WDAY

Systems of record; point solutions / vendors with lower historical pricing power

Source: Morgan Stanley Research

Debate #4: Do Software Gross Margins Move Structurally Lower?

Most relevant for Seat-Based & Consumption Software

MARKET VIEW

AI resets gross margins structurally lower

AI reintroduces marginal cost into revenue investors underwrote as near-zero-cost: tokens, context, retrieval, tool calls, memory, and inference all scale with usage.

GMs move structurally lower as AI mix grows — especially if vendors bundle AI into existing SKUs, overuse frontier models, or reinvest cost declines into quality over margin.

OpEx leverage may help at the margin, but the market doubts it will be broad or persistent enough to offset rising AI COGS.

MORGAN STANLEY VIEW

GM pressure, but EBIT defended — flat to up

Perception over-focuses on GM dilution and underrates the levers to defend gross profit dollars and expand EBIT.

Inference deflation, prompt caching, model routing, batching, open-weight and domain-specific models, and pricing all moderate AI COGS as products scale.

Illustrative base case: ~flat EBIT margins despite GM pressure; we lean bullish — architecture and pricing limit blended GM pressure while workflow-driven OpEx leverage expands EBIT.

Analog: software-plus-payments — lower-GM revenue can still be attractive at EBIT when it isn't R&D/S&M intensive.

MORE INSULATED

High switching-cost: MSFT, SAP, ORCL, WDAY, NTNX

Payments / GMV models

Application software priced on volumes

DEBATED

Consumption models — GM impact depends on architecture, pricing, and inference-cost governance.

CHALLENGED

Seat-based models with low pricing power: ASAN, MNDY

Source: Morgan Stanley Research

Debate #5: 'Tokenomics': Should Software Vendors Brace for an AI Optimization Cycle?

Most relevant for Infrastructure, Application Software & Cybersecurity

MARKET VIEW

A broad token-optimization cycle is coming

Subsidized tokens and underpriced inference may distort AI demand; as labs push to profitability, expect explicit pricing, tighter limits, and scrutiny.

Triggers a sharp optimization cycle — rationalizing prompts, agents, context windows, and model calls, like cloud spend in 2022–23.

MORGAN STANLEY VIEW

Token scrutiny is real, but not uniform

Risk is concentrated, not broad: the exposure sits where tokens fund experimentation — prototypes, agent loops, and code that never ships.

Trade-down is recalibration, not demand destruction — customers reserve frontier models for high-value, high-risk work (“no F1 car to the grocery store”).

Workflow-rich incumbents become the optimization layer: routing simple work to cheap models, reserving frontier for risk, capping low-value usage.

KEY EVIDENCE

\$2.50→\$12

Gemini 3 Pro output / 1M tokens

5–10x ↓/yr

Cost to reach a fixed intelligence level keeps falling (MIT)

~1/3

Open-weight share of usage by late 2025 (OpenRouter)

~1%

Uber engineers' max AI spend as share of total OpEx

BENEFICIARIES

The optimization layer

Workflow-rich SaaS incumbents that route, govern, and cap usage; multi-model hyperscalers; vendors monetizing usage while controlling inference cost.

CHALLENGED

Experimental-usage exposure

Vendors closest to experimental usage — prototypes, agent loops, and code suggestions that never ship, where ROI is hardest to prove.

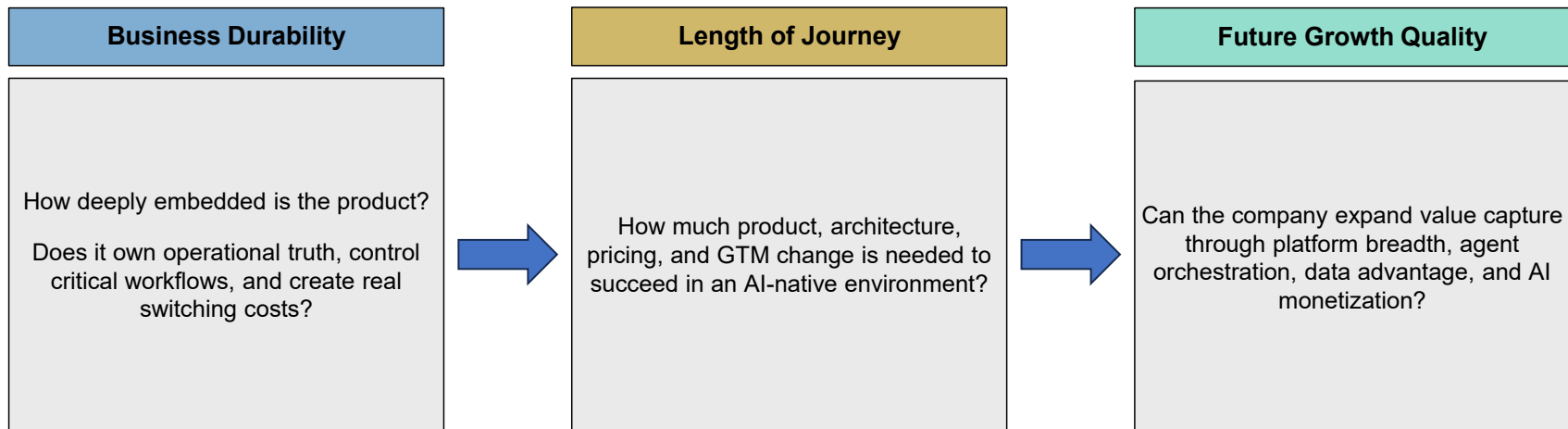
Source: Morgan Stanley Research

Morgan Stanley **Team Software**

Part II *The Moat and the Journey*

Software Evaluation Framework

- Assess long-term durability and identify the effort required for each software company to reach an attractive growth position
- The framework separates current competitive durability from the work required to grow attractively into the next software cycle



- **Core Idea:** The best software companies are not only hard to replace today; they also will compound value as AI changes how software is built, consumed, and monetized

Source: Morgan Stanley Research

Software Evaluation Framework – Moat vs Journey

- **Moat:** measures defensibility today – how difficult is it to replace or rebuild the product/service with AI?
- **Journey:** assesses readiness to benefit from secular AI tailwinds – how much effort is required to position the business for growth?

Moat Analysis

- Evaluates the durability of existing business
- Asks how hard the product is to displace, replicate, or price-compete against once embedded in customer workflows
- The strongest moats are tied to operational truth, mission-critical workflows, trust, compliance, proprietary context, and scale

Journey Analysis

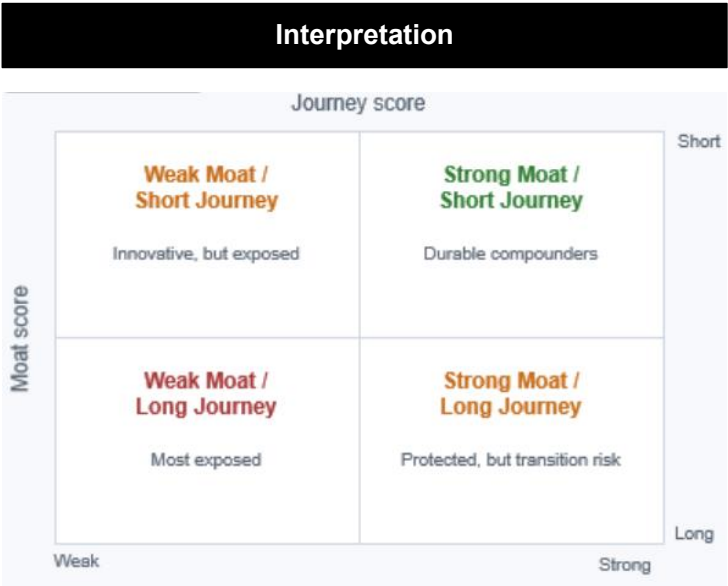
- Evaluates how well-positioned the business is to benefit from secular AI tailwinds
- It asks whether the company has evolved its product, pricing, architecture, AI roadmap, and platform role toward an attractive growth position in an agentic, API-driven, outcome-oriented world

Source: Morgan Stanley Research

Methodology: Factor Scoring to Ranking

- Each company receives a 1-5 score across 10 Moat factors and 10 Journey factors
- Scores are aggregated into two equal-weighted rankings

Scoring Scale		
Score	Rating	Description
5	Excellent	Best-in-class, significant competitive advantage
4	Strong	Above average, clear strength
3	Average	Typical for industry, neither strength nor weakness
2	Below Average	Some concerns, room for improvement
1	Weak	Significant gaps or risks
0	N/A or Absent	Not applicable or completely missing



Source: Morgan Stanley Research

Moat Factors

	Factor	What the factor assesses
1	System of Record Strength	Does the product own 'operational truth'? ERP good, reporting/dashboard bad.
2	Workflow Criticality	What is the Impact on operations if service fails?
3	Replication Difficulty	How hard is it for AI-natives or customers using AI to build a substitute? Consider complex domains, key data and system integrations and the presence of important edge cases.
4	Regulatory/Compliance/Legal Gravity	Trust, auditability, data controls, legal defensibility requirements.
5	Proprietary Data & Context	Software provider has unique data tied to workflows & outcomes that are hard to recreate.
6	Distribution & Installed Base	Effectiveness of go-to market operations, size + growth of customer base and penetration of high-value customer segments.
7	Domain Expertise	Such as deep vertical knowledge, domain-specific logic, industry workflows, security/IT telemetry.
8	Network Effects	Does product improve for everyone with scale?
9	Engineering/Scale/Latency Complexity	Includes distributed scale systems that operate in the runtime and can process vast volumes of data or billions of data points.
10	Pricing Power	Ability to raise/maintain prices due to high switching costs, value delivered or lack of alternatives.

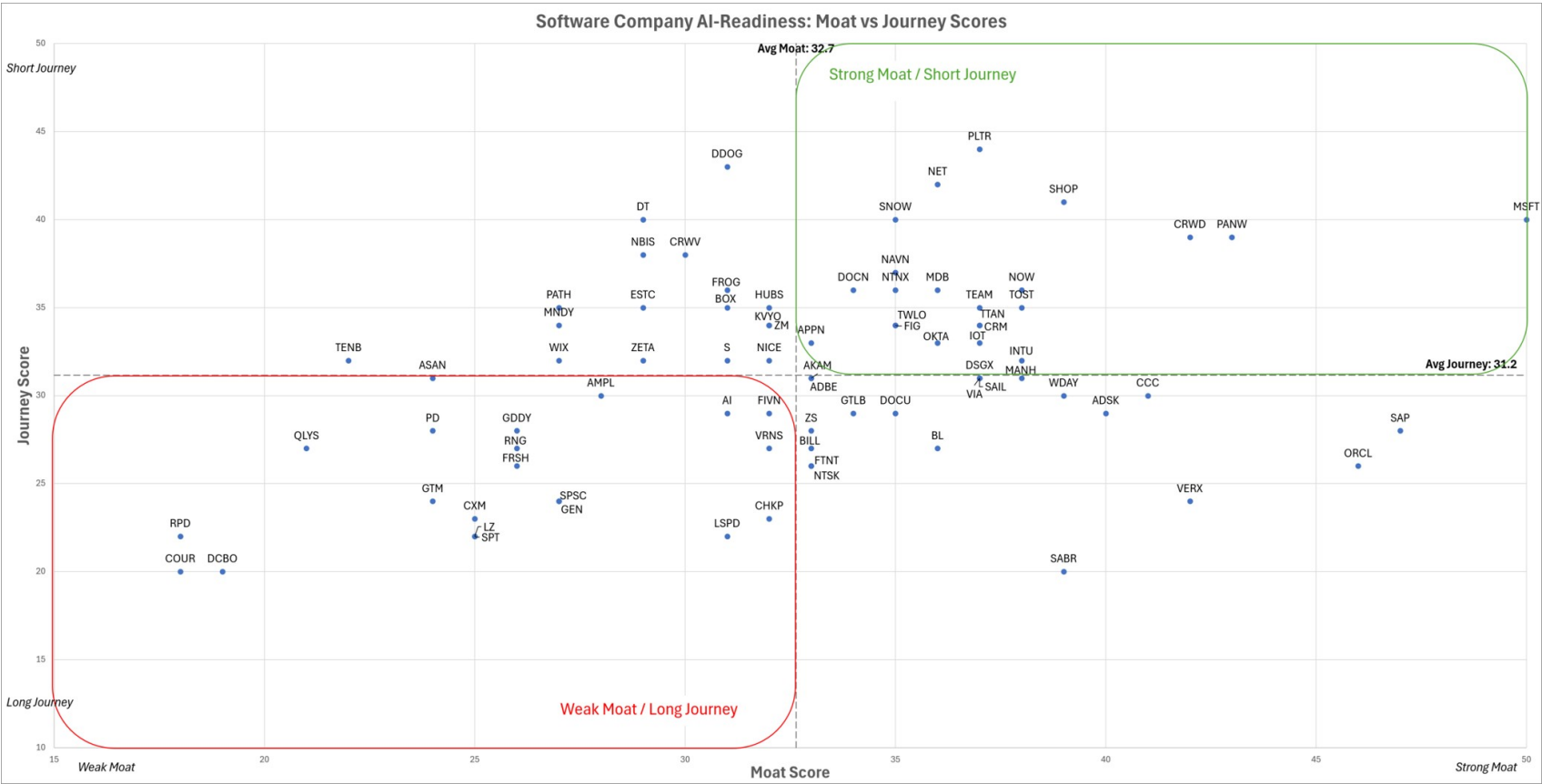
Source: Morgan Stanley Research

Journey Factors

	Factor	What the factor assesses
1	Pricing Model Transition	What percent of revenue is derived from seat-based pricing vs. consumption/outcome-based elements?
2	Platform vs. Point Solution	Breadth of platform offering vs. more narrow point solution.
3	Technical Debt Status	Does a substantial amount of tech debt (tech stack, old programming language, significant on-premise footprint) need to be retired to compete effectively?
4	R&D Velocity / Quality	Pace of organic product innovation and opportunistic use of M&A to accelerate time-to-market.
5	Agent/Headless/API Strategy	How agent friendly is the application in terms of having a viable Headless/API/MCP strategy?
6	Agent Orchestration Right	Can company argue it should manage agent orchestration in/beyond its environment?
7	Platform Change Responsiveness	How effective has management been in responding to prior platform shifts?
8	Proprietary AI Model & Data Advantage	Data quality, integration, readiness vs. frontier labs.
9	Financial Position	Considers whether company is GAAP profitable, operates at or above Rule of 40%, has balance sheet strength, and sufficient capital and financial flexibility to make necessary investments.
10	Agentic AI Roadmap Maturity	To what degree have AI products been launched and are being Monetized? Is current monetization at a level where it is driving an acceleration in total revenue/ACV/ARR?

Source: Morgan Stanley Research

Software Company AI-Readiness: Moat vs Journey Scores



Source: Morgan Stanley Research

Best Athletes: Best-in-class durability and well set up for growth nearer term

- These businesses have strong moats, mission-critical products and meaningful pricing power, while also demonstrating a shorter “Journey” profile such as platform breadth, AI readiness, high-quality R&D, and the ability to sustain or accelerate growth.
- They are the companies that look both hard to disrupt today and are well-positioned to compound through the next cycle.

- **Microsoft screens as the highest-quality compounder:** Ranked #1 overall with the highest Moat score in the cohort, high-tier gross and operating profit efficiency, and steady mid-teens revenue growth.
- **Palantir stands out as the highest-growth name:** Strong Moat and the highest Journey score in the cohort, with best-in-class growth and expanding margins presenting one of the most compelling fundamental stories in our coverage.
- **Cybersecurity leaders show strong momentum:** Palo Alto Networks and CrowdStrike both rank near the top overall, with high-growth profiles and durable topline expectations into CY27.
- **Shopify and Cloudflare remain high-growth platforms,** sustaining 20%+ growth at scale in CY27



Source: Morgan Stanley Research

Rare Overlap: Top Quintile Ranking in Both Moat and Journey Scores

- Only five companies rank Top 15 (out of 81) in both Moat and Journey: MSFT, PANW, CRWD, SHOP, and NOW.
- These names combine defensibility today with stronger AI-cycle readiness, pairing workflow ownership, switching costs and pricing power with platform breadth, product velocity and clearer AI monetization paths.
- Most companies screen well on one dimension, not both: high-moat names often face a longer modernization journey, while high-journey names may lack comparable system-of-record depth or distribution scale.
- The overlap group is the cleanest screen for long-term compounders in the framework.

TOP 15 MOAT SCORES		
Rank	Ticker	Moat Score
1	MSFT	50
2	SAP	47
3	ORCL	46
4	PANW	43
5	CRWD	42
6	VERX	42
7	CCC	41
8	ADSK	40
9	SHOP	39
10	WDAY	39
11	SABR	39
12	NOW	38
13	TOST	38
14	INTU	38
15	MANH	38

TOP 15 JOURNEY SCORES		
Rank	Ticker	Journey Score
1	PLTR	44
2	DDOG	43
3	NET	42
4	SHOP	41
5	MSFT	40
6	SNOW	40
7	DT	40
8	PANW	39
9	CRWD	39
10	CRWV	38
11	NBIS	38
12	NAVN	37
13	NOW	36
14	MDB	36
15	NTNX	36

Source: Morgan Stanley Research

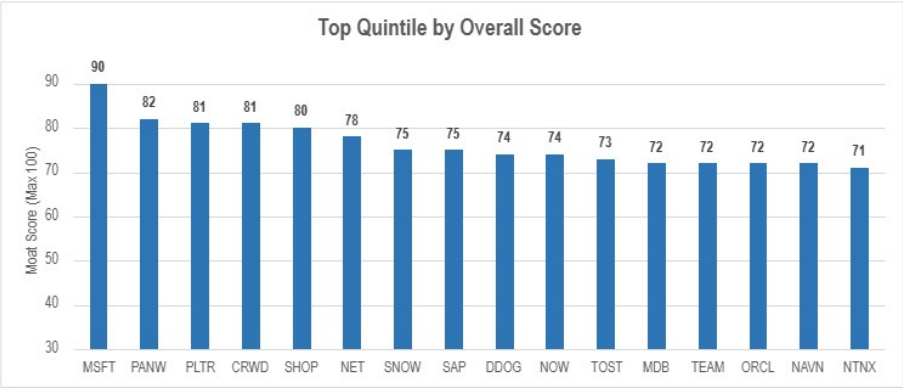
Overall Score

Top Quintile

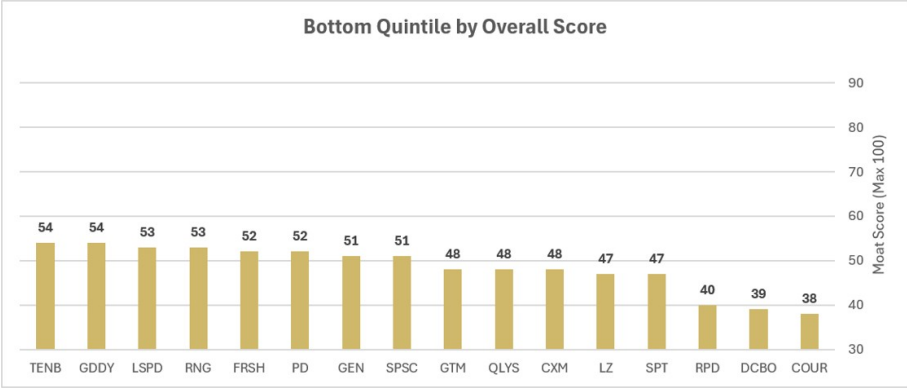
- Typically, these businesses own mission-critical workflows, serve as systems of record, benefit from high switching costs, and possess proprietary data or domain context that is difficult to replicate.
- They also tend to be better positioned for the AI transition, with stronger platform breadth, cleaner architecture, clearer agent/API strategies, and greater ability to monetize AI through usage, workflow, or outcome-based models.

Bottom Quintile

- Often more exposed to substitution risk, have less control over operational workflows, weaker proprietary data advantages, narrower point-solution positioning, or limited pricing power.
- They may also face a more difficult journey due to technical debt, slower R&D velocity, unclear AI monetization, or limited ability to participate in agentic workflows.



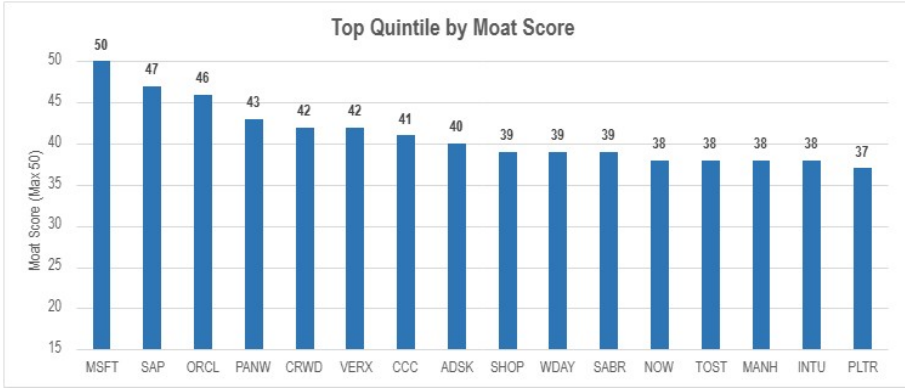
Source: Morgan Stanley Research



Moat Score

Top Quintile

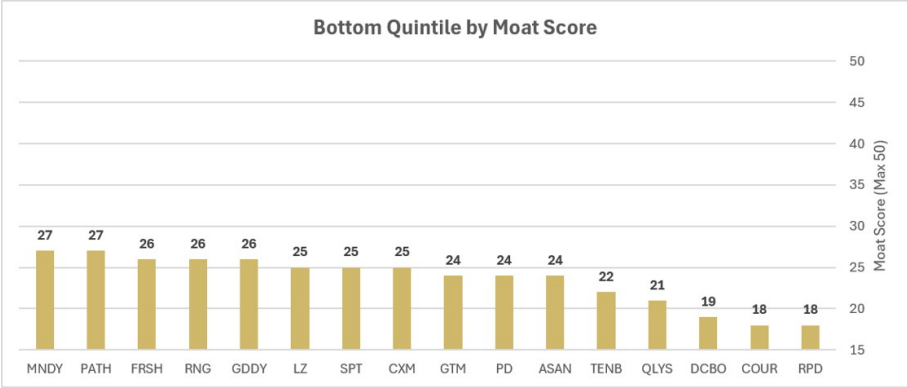
- Typically, these businesses own mission-critical workflows, operate as systems of record, and sit close to the customer’s operational truth.
- Products are difficult to replace due to high switching costs, complex integrations, domain-specific logic, regulatory or compliance requirements, and embedded proprietary data.
- In many cases, these businesses also benefit from strong installed bases, pricing power, and durable customer relationships.



Source: Morgan Stanley Research

Bottom Quintile

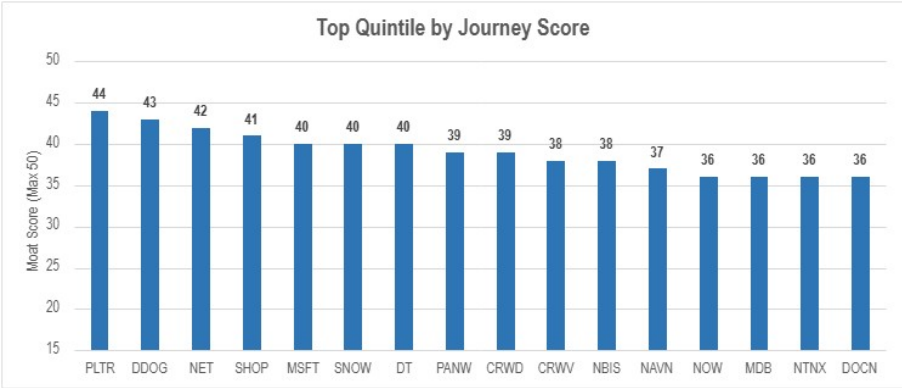
- These businesses may operate as point solutions, reporting layers, or workflow-adjacent tools rather than true systems of record.
- They often have lower switching costs, less proprietary data, fewer regulatory or compliance barriers, and more limited pricing power.
- In some cases, their functionality may be easier for a new entrant, incumbent platform, or AI-native competitor to replicate.



Journey Score

Top Quintile

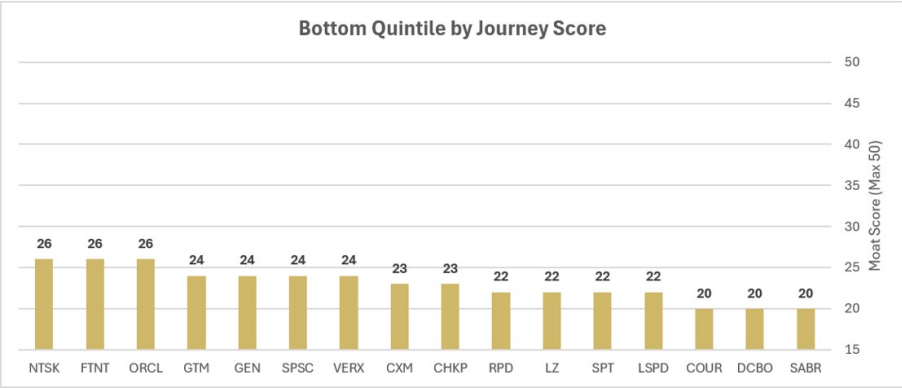
- Typically, these businesses have modern product architectures, strong R&D velocity, credible AI roadmaps, and the ability to transition beyond traditional seat-based models toward usage-, workflow-, consumption-, or outcome-based monetization.
- More likely to have broad platform strategies, strong API/headless readiness, and credible role in agent orchestration.
- Importantly, these companies are not only adapting to AI-driven change but may be able to use it to expand their addressable market, deepen customer engagement, and accelerate revenue growth.



Source: Morgan Stanley Research

Bottom Quintile

- May be constrained by technical debt, legacy on-premise architectures, slower R&D velocity, limited platform breadth, or unclear AI monetization strategies.
- May also lack a strong API, headless, or agentic AI strategy, making it harder to participate in a world where software is increasingly accessed and operated through AI agents.
- Even if some of these businesses have durable installed bases, their lower Journey scores suggest greater execution risk and a higher burden of investment to reposition for the next cycle.



Preferred Overweights: High-Conviction Compounds Across Security, Commerce, and Data Infrastructure

- **Microsoft is the clearest scale compounder:** Its systems-of-record position across cloud, data, and productivity — paired with a large installed base and leading AI platform investment — gives it unmatched ecosystem advantage.
- **Cybersecurity leaders Palo Alto Networks and CrowdStrike screen as best-in-class:** Both are mission-critical, high-switching-cost platforms with AI/ML embedded at the core of protection, reinforcing platform expansion and retention.
- **Shopify and Cloudflare anchor commerce and internet infrastructure:** Shopify's merchant network effects and app-store flywheel support international/B2B expansion, while Cloudflare's global scale and developer adoption make it foundational edge infrastructure.
- **ServiceNow and Datadog are enterprise workflow and observability leaders:** Both show large installed bases, deep integrations, and strong land-and-expand economics (NRR), with AI increasingly automating their core workflows.
- **Snowflake rounds out the group as the data-cloud platform:** High switching costs and data gravity, combined with a broad ecosystem and AI Data Cloud initiatives, are driving durable new workload growth.



Source: Morgan Stanley Research

Application Software

- **SAP:** Role as a core enterprise system of record, deep integration into finance, supply chain, HR, and procurement workflows, and very high switching costs. SAP also benefits from a large installed base and a credible cloud/AI migration journey.
- **ServiceNow:** Owns mission-critical enterprise workflows across IT, HR, customer service, and operations. Its platform breadth, workflow automation layer, and AI/agent orchestration opportunity support both a strong moat and attractive journey.
- **Atlassian:** Benefits from deep developer and team workflow adoption across Jira, Confluence, and related tools. Strong ecosystem integration, product breadth, and expansion into AI-assisted software development support a high overall ranking
- **Navan:** Position in travel and expense workflows, where payments, policy, approvals, and spend management create embedded customer value. Its journey is supported by platform expansion across travel, corporate cards, expense, and AI-enabled automation

Application Software		Rank (Out of 81)	Moat Score (Max = 50)	Journey Score (Max = 50)
SAP	±SAP	7	47	28
NOW	ServiceNow	9	38	36
TEAM	Atlassian	12	37	35
INTU	Intuit	20	38	32
TWLO	Twilio Inc	23	35	34
CRM	Salesforce.com	16	37	34
WDAY	Workday	23	39	30
FIG	Figma Inc	23	35	34
HUBS	Hubspot	34	32	35
ZM	Zoom Video Communications	37	32	34
KVVO	Klaviyo Inc	37	32	34
BOX	Box Inc	37	31	35
VERX	Vertex Inc	37	42	24
ADBE	Adobe Systems	37	34	32
DOCU	DocuSign Inc	43	35	29
ZETA	Zeta Global Holdings Corp	51	29	32
FIVN	Five9 Inc	51	32	29
MNDY	Monday.com Ltd	51	27	34
BL	Blackline	47	36	27
BILL	Bill.com Holdings	55	33	27
AMPL	Amplitude Inc	62	28	30
WIX	Wix.com	57	27	32
GDDY	GoDaddy Inc	65	26	28
ASAN	Asana Inc	63	24	31
RNG	RingCentral	67	26	27
FRSH	Freshworks Inc	69	26	26
GTM	ZoomInfo Technologies Inc	74	24	24
CKM	Sprinklr	74	25	23
LZ	LegalZoom.com Inc	77	25	22
SPT	Sprout Social Inc	77	25	22
DCBO	Docebo Inc	80	19	20
COUR	Coursera Inc	81	18	20
Average		47	31	29
Median		49	32	30

Source: Morgan Stanley Research

Infrastructure Software

- **Microsoft:** Unmatched distribution, platform breadth, system-of-record exposure, and ecosystem scale across productivity, cloud, security, developer tools, and AI. Microsoft combines one of the strongest software moats with one of the clearest AI monetization paths
- **Palantir:** Strong score driven by mission-critical deployments, proprietary data ontologies, high switching costs, and deep integration into complex operational decision-making. Its AI platform strategy also gives it a strong journey profile.
- **Snowflake:** Role as a strategic data platform for enterprises, strong consumption-based model, and position as a foundation layer for analytics, AI, and data sharing. Its journey is tied to becoming a broader data and AI application platform.
- **Datadog:** Leading role in observability, monitoring, and security across modern cloud environments. Its products are operationally critical, usage-based, and benefit from expanding platform breadth across infrastructure, applications, logs, security, and AI workloads.
- **MongoDB:** Strong developer adoption, mission-critical database workloads, and relevance to modern application development. Its journey is supported by cloud migration, Atlas adoption, AI application development, and continued platform expansion
- **Oracle:** Deeply embedded enterprise databases, ERP/HCM applications, and high switching costs across large customers. Its journey is supported by cloud infrastructure momentum, application modernization, and AI/data workload relevance

Infrastructure Software		Rank (Out of 81)	Moat Score (Max = 50)	Journey Score (Max = 50)
MSFT	Microsoft	1	50	40
PLTR	Palantir Technologies Inc	3	37	44
SNOW	Snowflake	7	35	40
DDOG	Datadog	9	31	43
MDB	MongoDB	12	36	36
ORCL	Oracle	12	46	26
NTNX	Nutanix	16	35	36
DOCN	Digital Ocean	20	34	36
DT	Dynatrace	23	29	40
CRWV	CoreWeave	30	30	38
FROG	IFrog Ltd.	34	31	36
NBIS	Nebius Group NV	34	29	38
PD	PagerDuty Inc	69	24	28
APPN	Appian Corp	37	33	33
ESTC	Elastic NV	43	29	35
AKAM	Akamai	43	33	31
NICE	NICE Ltd	43	32	32
NET	Cloudflare	6	36	42
GTLB	GitLab Inc	47	34	29
PATH	UiPath Inc	50	27	35
AI	C3.ai	55	31	29
Average		28	33	36
Median		30	33	36

Source: Morgan Stanley Research

Security Software

- **Palo Alto Networks:** Mission-critical cybersecurity workflows, platform consolidation, strong installed base, and high switching costs. Its journey is supported by expansion across network security, cloud security, SecOps, and AI-driven threat detection.
- **CrowdStrike:** Endpoint security leadership, lightweight cloud-native architecture, proprietary threat telemetry, and high customer retention. Its journey benefits from platform expansion into cloud, identity, log management, exposure management, and AI-native security operations.
- **Cloudflare:** Global edge network, developer adoption, performance/security relevance, and infrastructure scale. Its journey is supported by expansion into zero trust, application services, developer platforms, and AI inference/networking use cases.

Security Software		Rank (Out of 81)	Moat Score (Max = 50)	Journey Score (Max = 50)
PANW	Palo Alto Networks	2	43	39
CRWD	CrowdStrike	3	42	39
OKTA	Okta, Inc.	23	36	33
SAIL	SailPoint Inc	30	37	31
S	SentinelOne Inc	47	31	32
ZS	Zscaler Inc	51	33	28
FTNT	Fortinet	57	33	26
VRNS	Varonis	57	32	27
NTSK	Netskope Inc	57	33	26
CHKP	Check Point	63	32	23
TENB	Tenable Holdings Inc	65	22	32
GEN	Gen Digital	71	27	24
QLYS	Qualys	74	21	27
RPD	Rapid7	79	18	22
Average		49	31	29
Median		57	33	28

Source: Morgan Stanley Research

Vertical Software

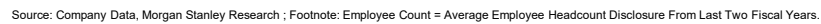
- **Shopify:** Position as a core commerce operating system for merchants, with strong ecosystem, payment, fulfillment, and app-store dynamics. Its journey is supported by platform expansion, international growth, B2B commerce, and AI-enabled merchant tools.
- **Toast:** Deeply embedded in restaurant operations, including point-of-sale, payments, payroll, ordering, and back-office workflows. Its moat comes from workflow criticality and vertical specialization, while its journey is tied to platform expansion and monetization across restaurant spend.
- **CCC Intelligent Solutions:** Vertical-specific workflow depth in insurance claims, auto repair, and collision ecosystems. Its proprietary data, network of insurers/repair shops, and embedded claims workflows create a strong moat with AI-enabled automation upside.
- **ServiceTitan:** Vertical software depth in home services, where scheduling, dispatch, payments, CRM, marketing, and field operations create workflow criticality. Its high ranking reflects strong domain expertise, embedded customer workflows, and a clear path to AI-driven automation and platform expansion.

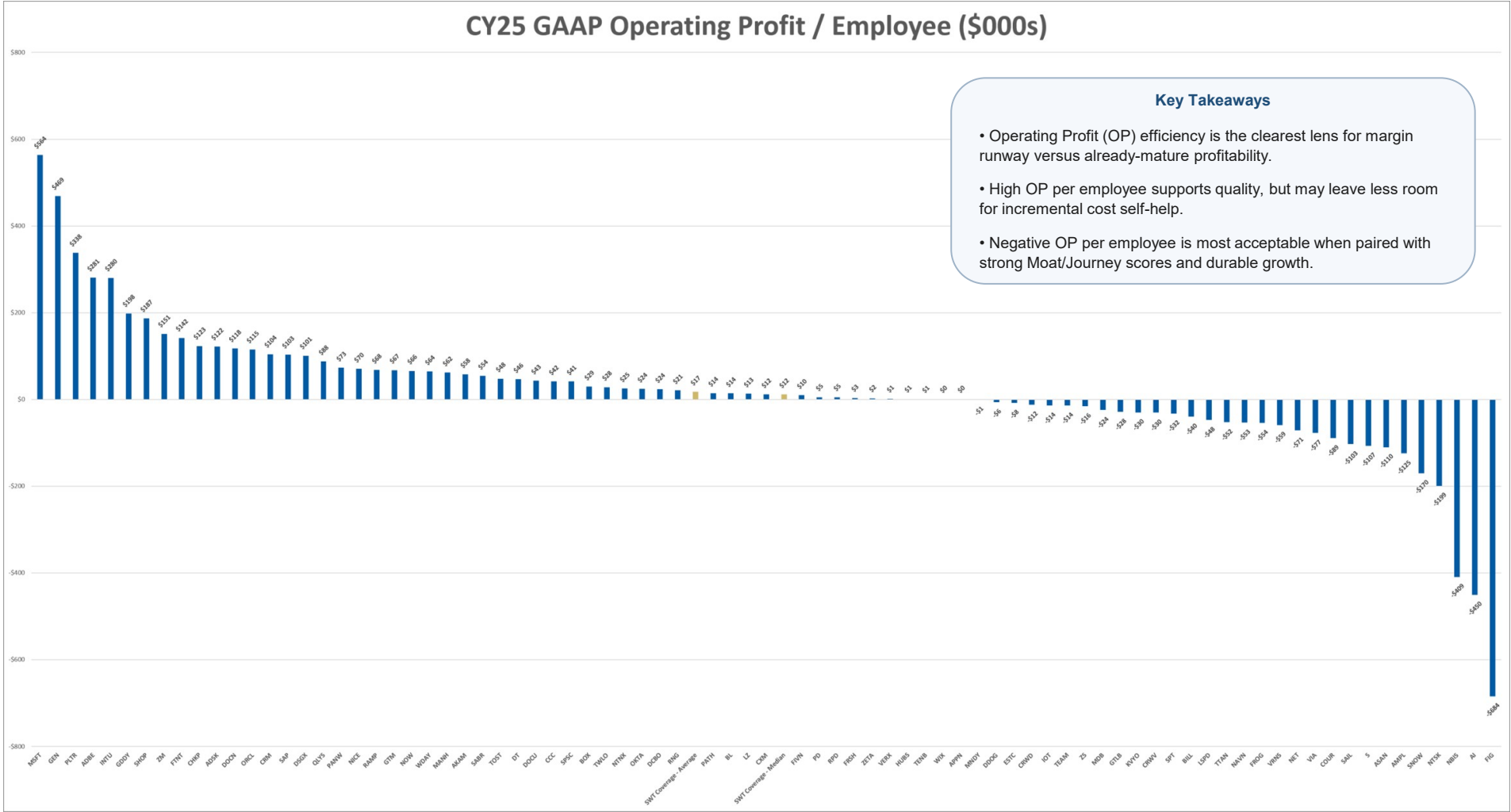
Vertical Software		Rank (Out of 81)	Moat Score (Max = 50)	Journey Score (Max = 50)
SHOP	Shopify Inc	5	39	41
TOST	Toast Inc	11	38	35
CCC	CCC Intelligent Solutions	16	41	30
TTAN	ServiceTitan Inc	16	37	34
MANH	Manhattan Associates Inc	21	38	31
VIA	Via Transportation Inc	28	37	31
DSGX	Descartes Systems Group Inc	28	37	31
IOT	Samsara Inc	34	34	33
SABR	Sabre Corp	56	39	20
LSPD	Lightspeed POS Inc	67	31	22
SPSC	SPS Commerce	71	27	24
Average		32	36	30
Median		28	37	31

Source: Morgan Stanley Research

Morgan Stanley **Team Software**

Part III ***Who Needs to Get More Efficient?***





Source: Company Data, Morgan Stanley Research; Footnote: Employee Count = Average Employee Headcount Disclosure From Last Two Fiscal Years.

Who Needs to Get More Efficient?

Bottom 3 Overall Quintiles + Low / Medium Growth + Low OP Efficiency Tier

Low Growth + Low OP Efficiency								
Ticker	Company	Overall Rank	Overall Quintile	Moat Score	Journey Score	CY26G	GP Efficiency Tier	OP Efficiency Tier
AI	C3.ai	55	4	31	29	-28%	Low	Low
ASAN	Asana Inc	63	4	24	31	9%	High	Low
LSPD	Lightspeed	67	5	31	22	4%	Low	Low
SPT	Sprout Social	77	5	25	22	8%	Med	Low
COUR	Coursera	81	5	18	20	7%	Med	Low

Medium Growth + Low OP Efficiency								
Ticker	Company	Overall Rank	Overall Quintile	Moat Score	Journey Score	CY26G	GP Efficiency Tier	OP Efficiency Tier
FROG	JFrog	34	3	31	36	19%	Low	Low
S	SentinelOne	47	3	31	32	20%	Low	Low
GTLB	GitLab	47	4	34	29	17%	Med	Low
BILL	Bill.com	55	4	33	27	11%	High	Low
VRNS	Varonis	57	4	32	27	18%	Low	Low
AMPL	Amplitude	62	4	28	30	17%	Med	Low

Key Takeaways

- The most pressure-sensitive cohort pairs lower Overall Quintiles with Low OP efficiency and weak/mixed Moat and Journey scores.
- For low-growth names, margin improvement and cost discipline become more paramount to creating shareholder value.
- Medium-growth names may get more time, but still need to prove operating leverage as the business scales longer term.

Source: Company data, Morgan Stanley Research; Footnote: Employee Count = Average Employee Headcount Disclosure From Last Two Fiscal Years.

Best Athletes: Strong Scores and Efficiency

Strategic Durability + AI-Cycle Readiness + High / Med / Low Efficiency Tiers

Strict Screen: Overall Quintile 1 + High GP + High OP Efficiency									
Ticker	Company	Overall Rank	Overall Quintile	Moat Score	Journey Score	Growth	CY26 Growth Estimates	GP Efficiency Tier	OP Efficiency Tier
MSFT	Microsoft	1	1	50	40	Med	17%	High	High
PANW	Palo Alto	2	1	43	39	High	29%	High	High
PLTR	Palantir	3	1	37	44	Explosive	71%	High	High
SHOP	Shopify Inc	5	1	39	41	High	28%	High	High
NOW	ServiceNow	9	1	38	36	High	22%	High	High

Best Athletes Remain Rare

- MSFT, PANW, PLTR, SHOP and NOW screen as the cleanest high-quality cohort: Overall Quintile 1, Strong Moat/Journey scores, High GP + High OP efficiency.
- Upside for this group likely depends more on durable growth and AI monetization than simple cost takeout.

Source: Company data, Morgan Stanley Research; Footnote: Employee Count = Average Employee Headcount Disclosure From Last Two Fiscal Years.

Fast Growers With Efficiency Runway

Growth Gets a Pass for Now; Operating Leverage More Important as Businesses Scale and Growth Normalizes

Low OP Efficiency Tier									
Ticker	Company	Overall Rank	Overall Quintile	Moat	Journey	Growth	CY26G	GP Efficiency Tier	OP Efficiency Tier
CRWD	CrowdStrike	3	1	42	39	High	23%	Med	Low
NET	Cloudflare	6	1	36	42	High	30%	Med	Low
SNOW	Snowflake	7	1	35	40	Explosive	30%	High	Low
NAVJ	Navan Inc	12	1	35	37	High	30%	Low	Low
TEAM	Atlassian	12	1	37	35	High	21%	High	Low
IOT	Samsara	20	2	37	33	High	22%	Med	Low
FIG	Figma	23	2	35	34	Explosive	35%	High	Low
CRWV	CoreWeave	30	2	30	38	Explosive	144%	High	Low
VIA	Via	30	2	37	31	High	26%	Low	Low
NBIS	Nebius	34	3	29	38	Explosive	540%	Low	Low
KVYO	Klaviyo	37	3	32	34	High	23%	High	Low
ZS	Zscaler	51	4	33	28	High	21%	Med	Low
NTSK	Netskope	57	4	33	26	High	24%	Low	Low

Medium OP Efficiency Tier									
Ticker	Company	Overall Rank	Overall Quintile	Moat	Journey	Growth	CY26G	GP Efficiency Tier	OP Efficiency Tier
DDOG	Datadog	9	1	31	43	High	27%	High	Med
ZETA	Zeta Global Holdings Corp	51	3	29	32	Explosive	37%	Low	Med

Key Takeaways

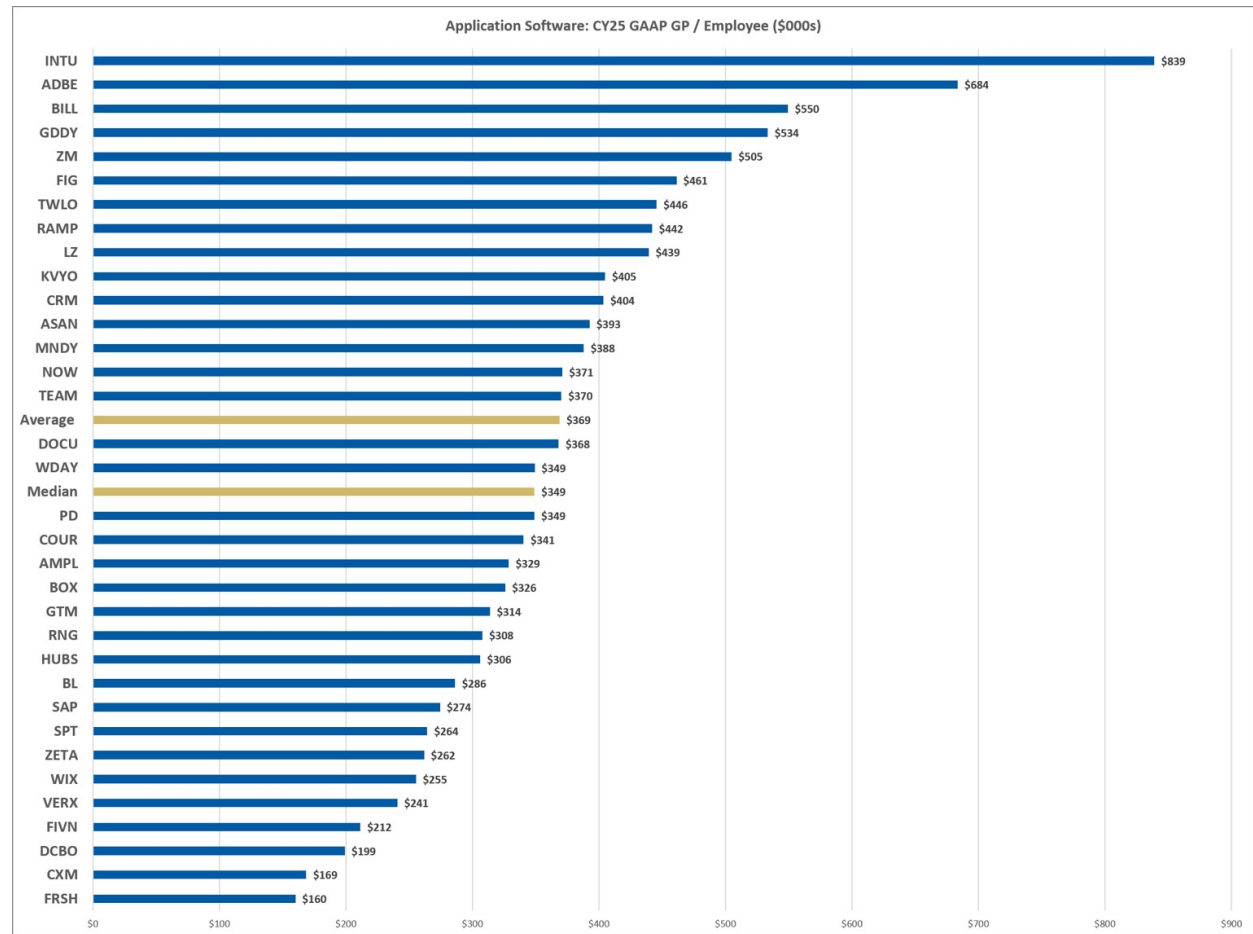
- Low Operating Profit efficiency is more defensible when paired with strong growth and credible Moat/Journey scores.
- CRWD, NET, SNOW, NVAN, and TEAM remain higher-quality runway examples; FIG, CRWV and NBIS are more investment-stage and should be judged on scalability over time.

Source: Company data, Morgan Stanley Research; Footnote: Employee Count = Average Employee Headcount Disclosure From Last Two Fiscal Years.

Application Software GAAP Gross Profit / Employee

Key Takeaways

- INTU, ADBE and BILL remain clear Gross Profit (GP) productivity leaders, suggesting mature value capture
- NOW, CRM and WDAY combine solid GP productivity with credible strategic profiles
- Lower-GP names need scale, pricing leverage or product expansion before margin upside becomes a central thesis

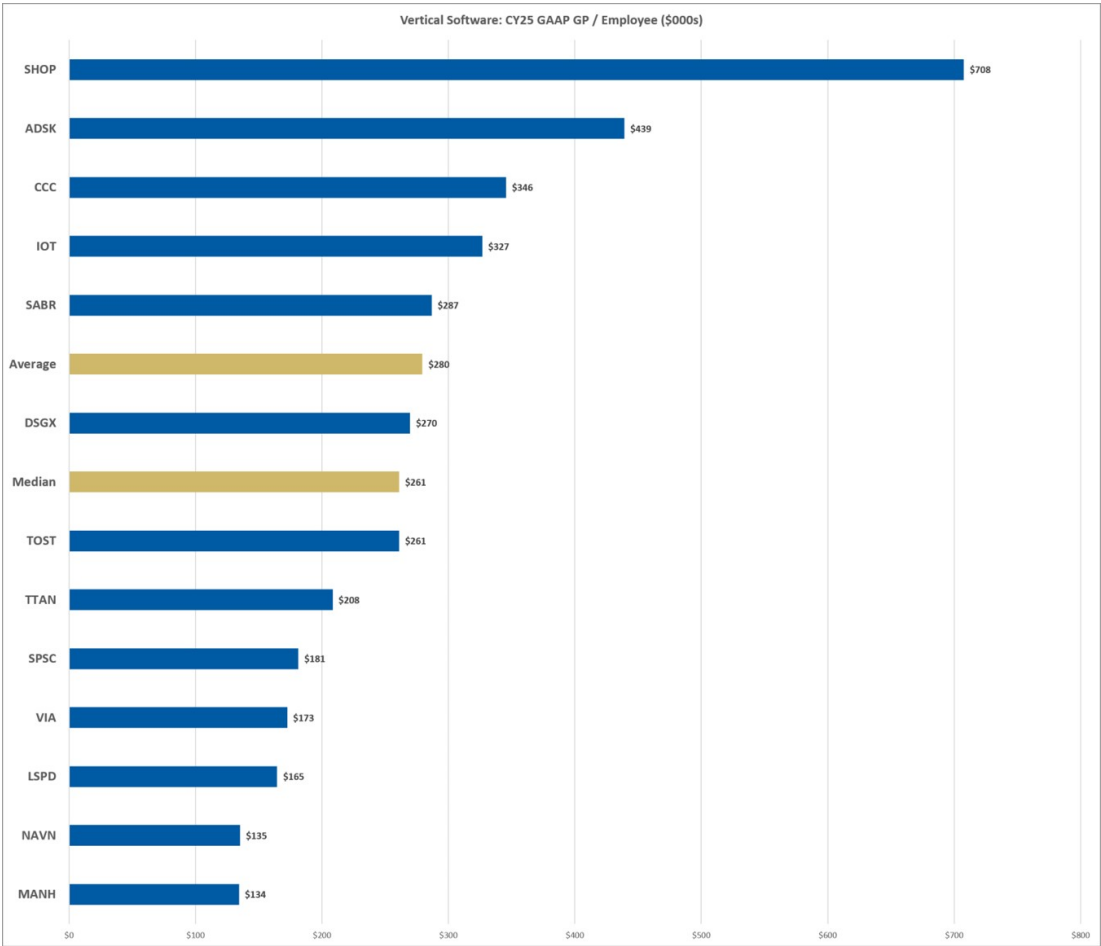


Source: Company data, Morgan Stanley Research; Footnote: Employee Count = Average Employee Headcount Disclosure From Last Two Fiscal Years.

Vertical Software GAAP Gross Profit / Employee

Key Takeaways

- SHOP is the dominant vertical software Gross Profit (GP) productivity outlier, reinforcing its quality and value capture
- TOST, ADSK, CCC, TTAN and MANH screen well strategically, but GP productivity varies materially by vertical
- Efficiency upside should be assessed by workflow depth, payments attach and vertical-specific scale economics

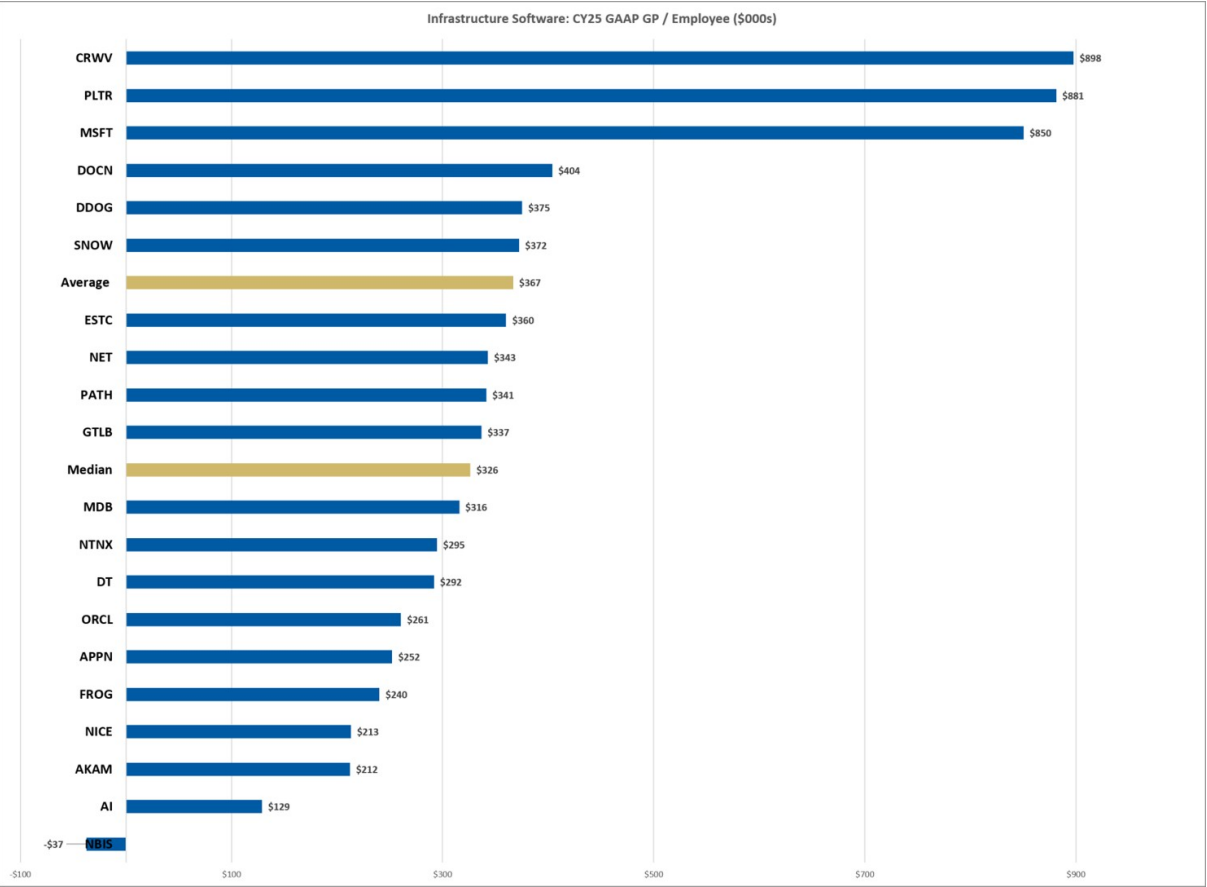


Source: Company data, Morgan Stanley Research; Footnote: Employee Count = Average Employee Headcount Disclosure From Last Two Fiscal Years.

Infrastructure Software GAAP
Gross Profit / Employee

Key Takeaways

- CRWV, PLTR, and MSFT remain Gross Profit (GP) outliers
- PLTR, MSFT, SNOW and DDOG pair strong GP productivity with strong Moat and/or Journey positioning
- Under-earning infrastructure names remain attractive when growth durability and platform relevance are intact

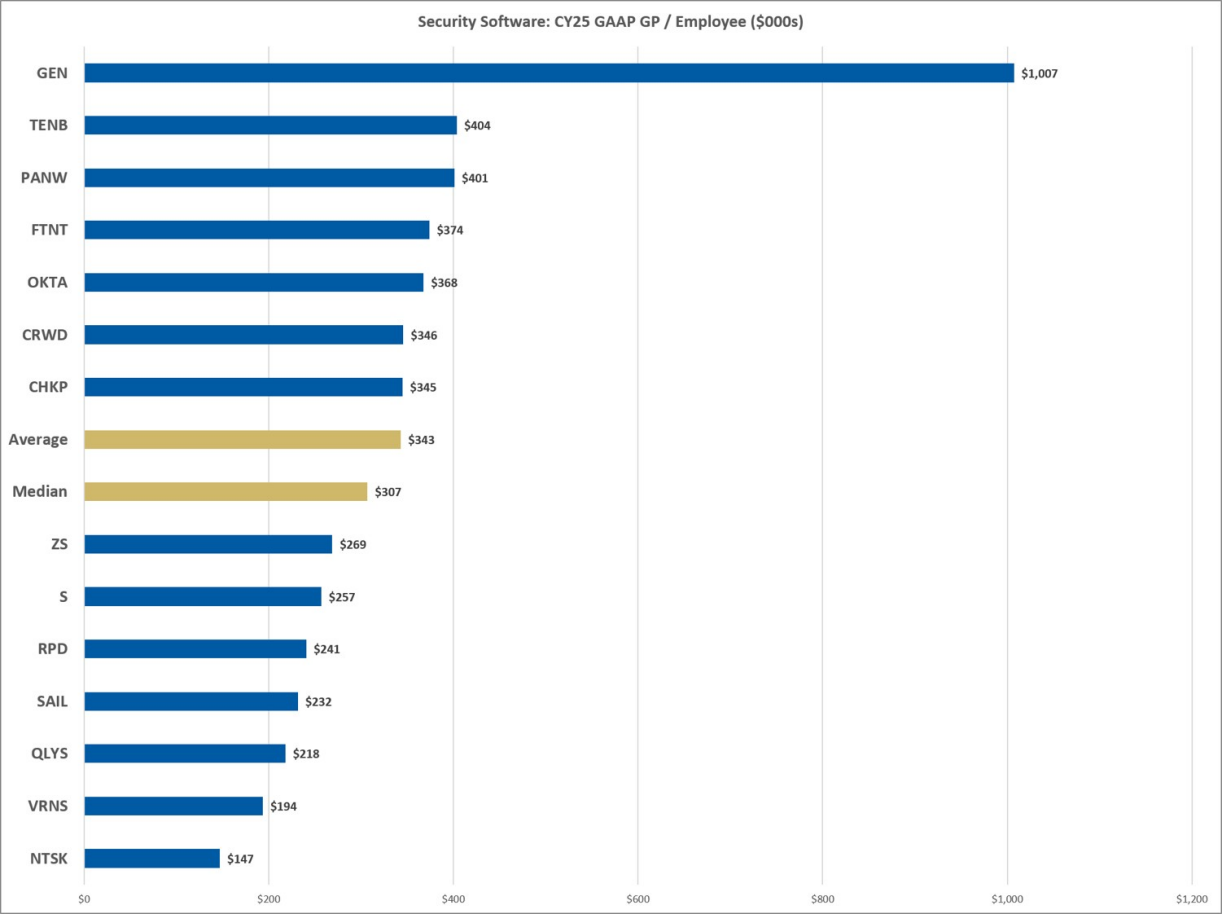


Source: Company data, Morgan Stanley Research; Footnote: Employee Count = Average Employee Headcount Disclosure From Last Two Fiscal Years.

Security Software GAAP Gross Profit / Employee

Key Takeaways

- PANW, CRWD and NET retain strong strategic profiles with solid Gross Profit (GP) productivity
- GEN, FTNT, CHKP and QLYS show more mature efficiency, but with more mixed strategic scores
- Security splits between efficient mature franchises and reinvestment-led platform stories



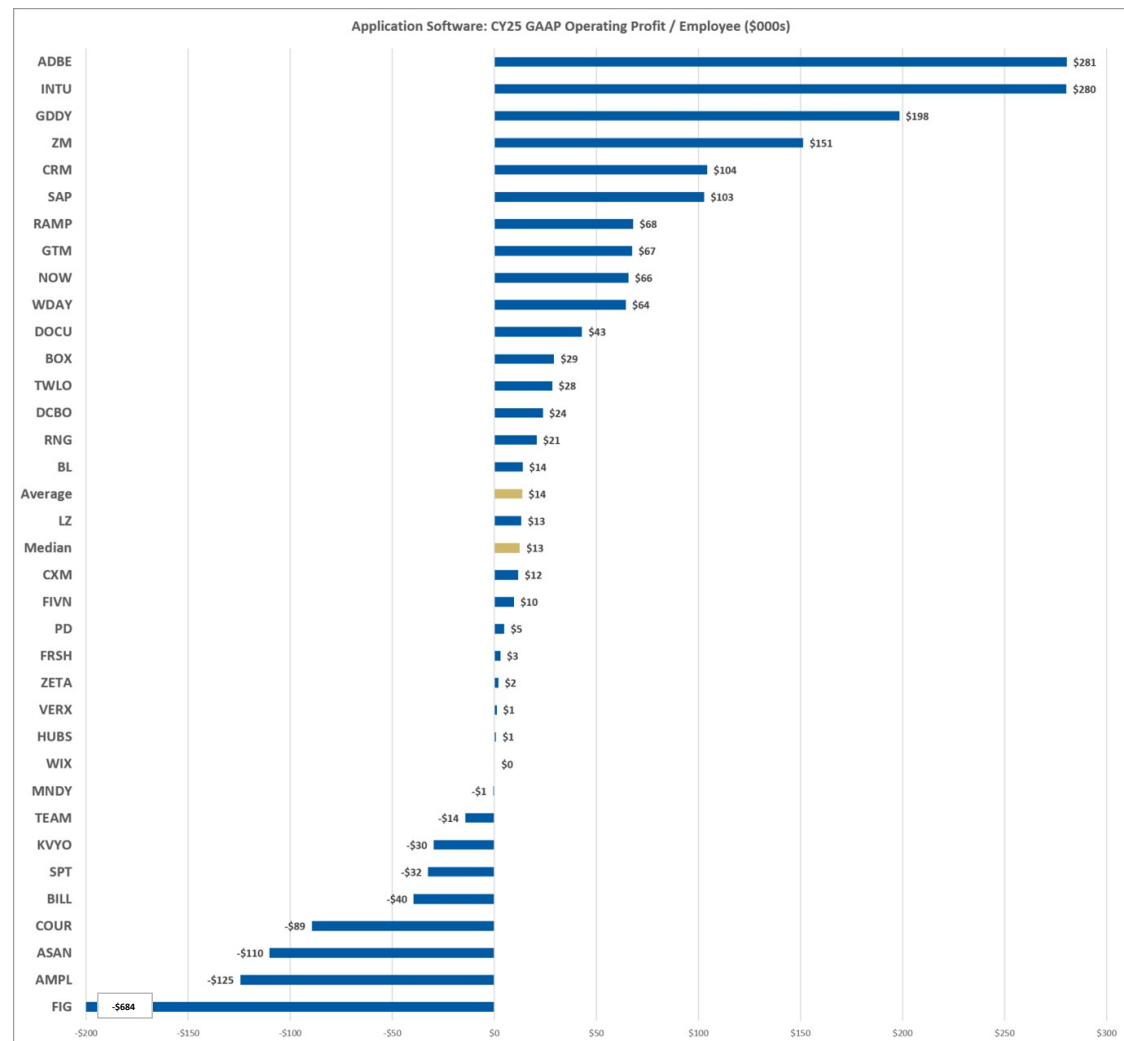
Source: Company data, Morgan Stanley Research; Footnote: Employee Count = Average Employee Headcount Disclosure From Last Two Fiscal Years.

Application Software GAAP Operating Profit / Employee

Key Takeaways

- ADBE and INTU already look highly optimized; upside likely requires growth and AI monetization more than cost cutting.
- NOW, CRM, WDAY and ADSK retain positive OP productivity with potential for incremental leverage.
- Weaker strategic profiles with negative or low OP productivity likely face more pressure to improve profitability.

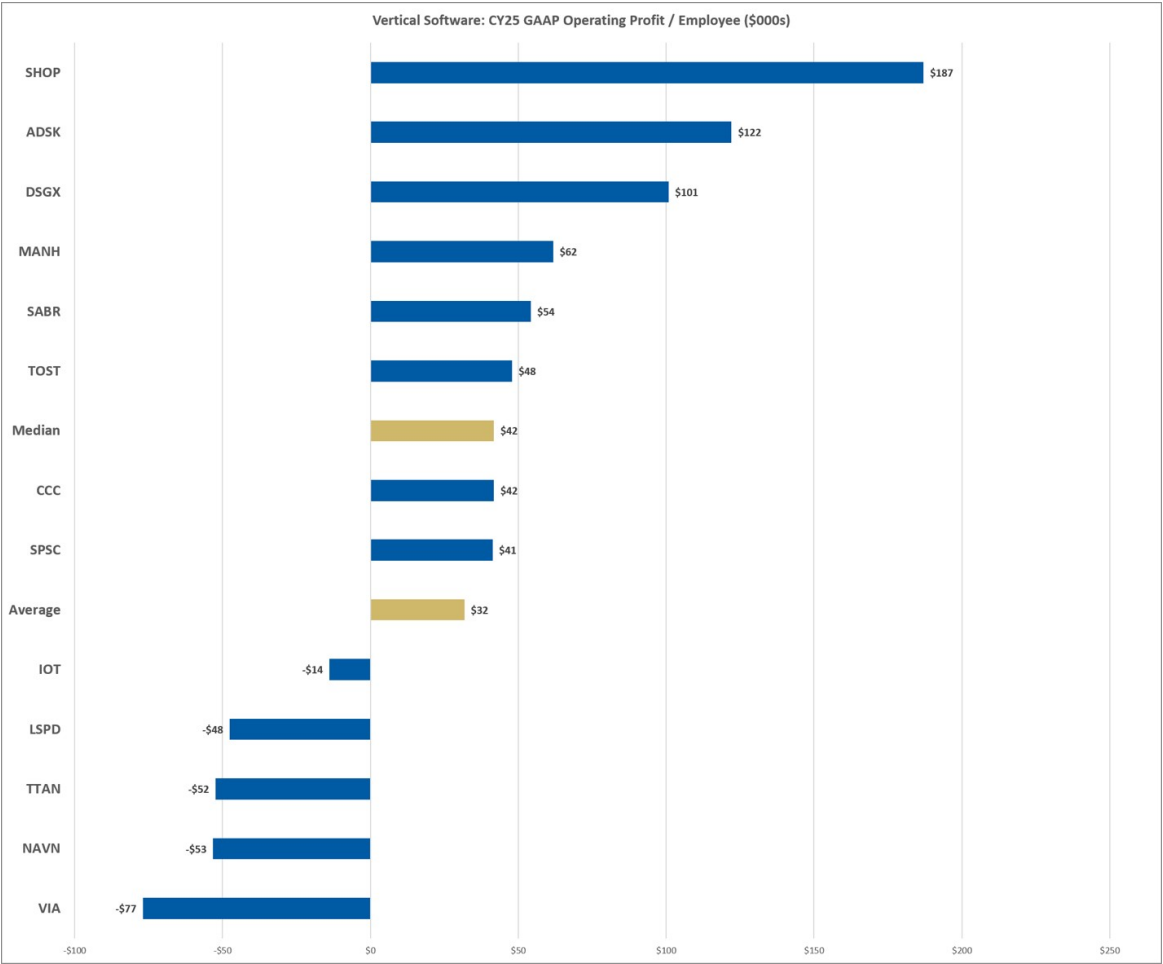
Source: Company data, Morgan Stanley Research; Footnote: Employee Count = Average Employee Headcount Disclosure From Last Two Fiscal Years.



Vertical Software GAAP Operating Profit / Employee

Key Takeaways

- SHOP leads vertical software by a wide margin, combining strong positioning with high OP productivity
- While ADSK, DSGX, MANH, SABR TOST, CCC, and SPSC generate positive OP efficiency, leverage runway differs by vertical
- NAVN, IOT, VIA, and TTAN are growth-first stories where scale should drive better OP productivity over time



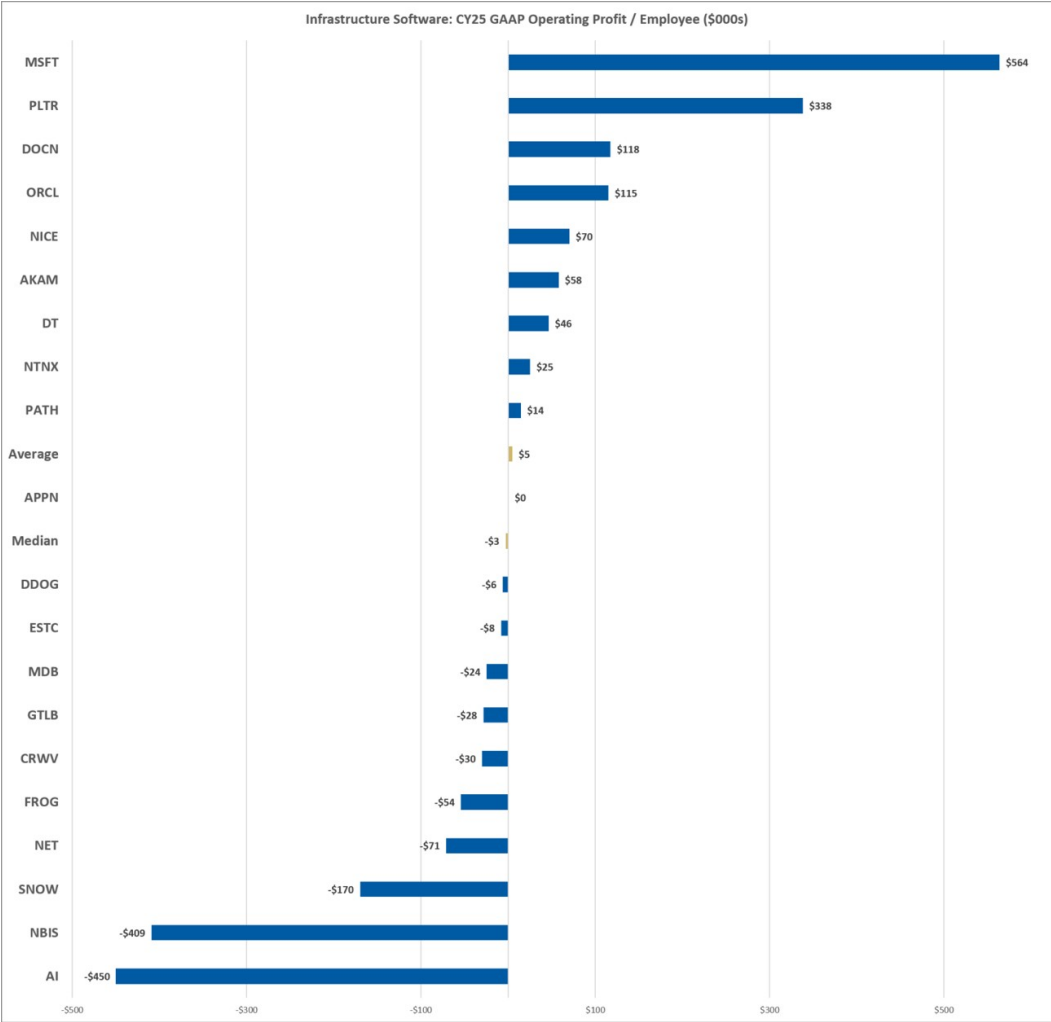
Source: Company data, Morgan Stanley Research; Footnote: Employee Count = Average Employee Headcount Disclosure From Last Two Fiscal Years.

Infrastructure Software GAAP Operating Profit / Employee

Key Takeaways

- MSFT and PLTR are mature efficiency leaders; cost leverage alone is unlikely to be the main upside driver
- SNOW, DDOG, MDB, CRWV screen as strategic under-earners with potential margin expansion
- AI and NBIS remain higher-investment profiles and need clearer paths to sustainable profitability

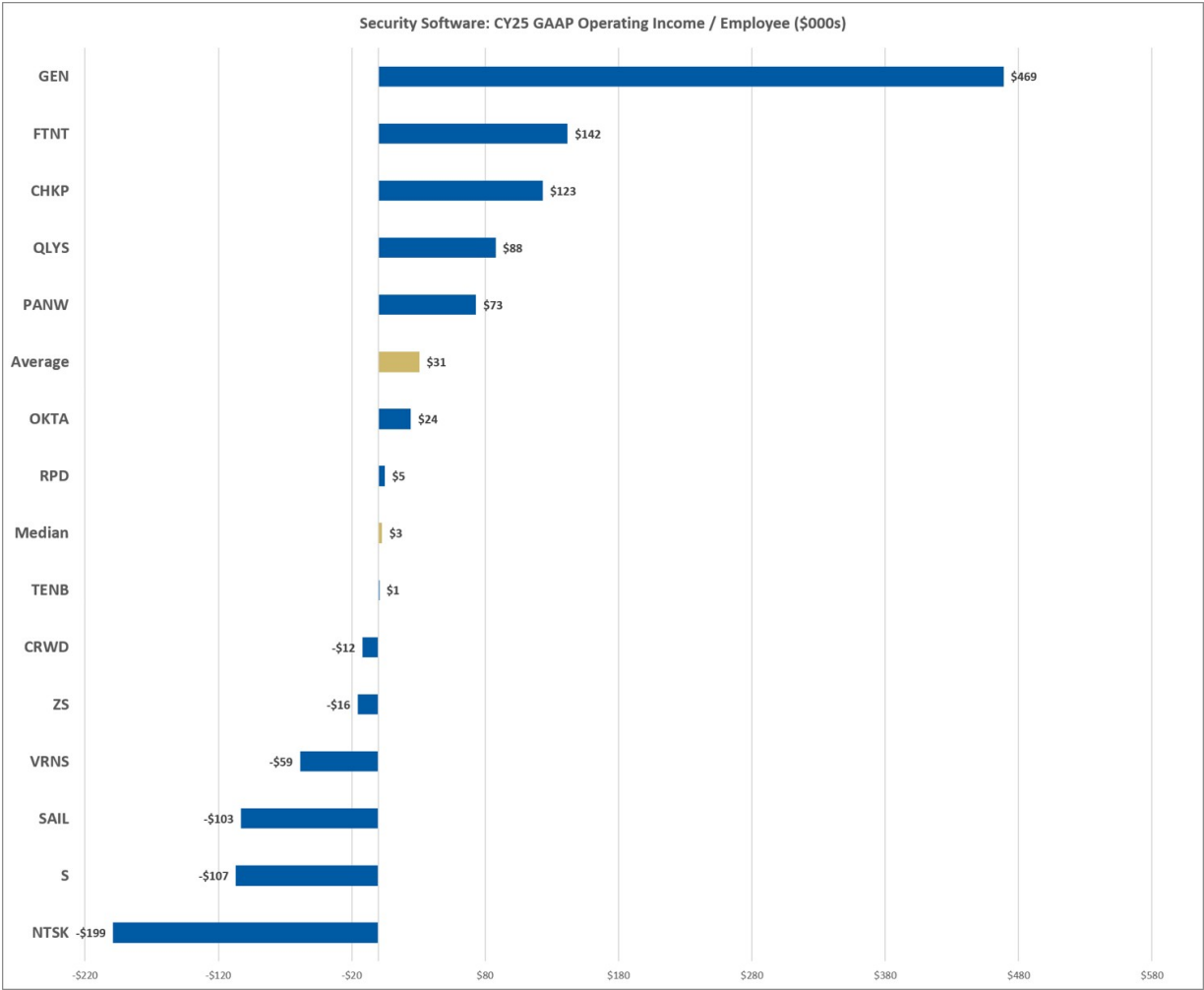
Source: Company data, Morgan Stanley Research; Footnote: Employee Count = Average Employee Headcount Disclosure From Last Two Fiscal Years.



Security Software GAAP
Operating Profit / Employee

Key Takeaways

- PANW offers the cleanest balance of strong strategic positioning and positive OP efficiency
- CRWD and NET retain more margin runway, with upside tied to durable growth and platform expansion
- GEN, FTNT, CHKP and QLYS are more mature efficiency stories with less strategic/growth cushion



Source: Company data, Morgan Stanley Research; Footnote: Employee Count = Average Employee Headcount Disclosure From Last Two Fiscal Years.

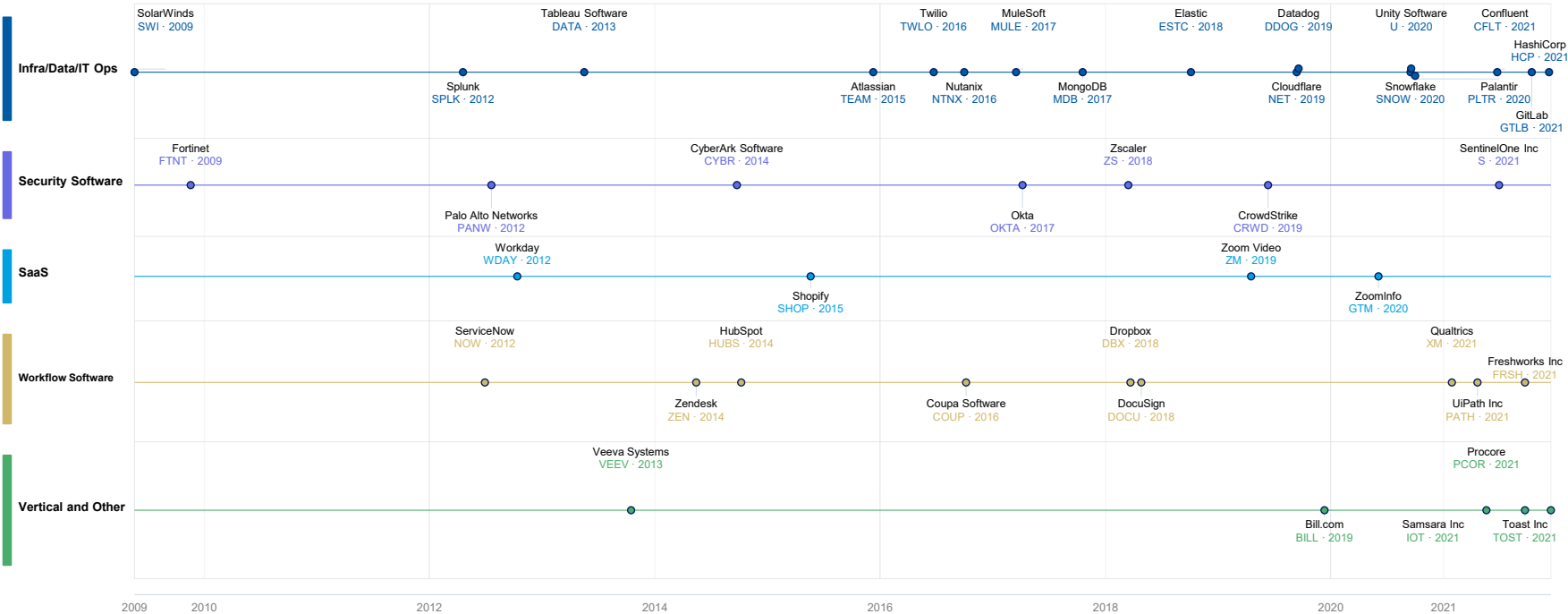
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Part IV
The Software Business Cycle

Lessons from the Cloud Cycle

The Buy vs Build Cycle for Cloud

We think the last cycle for cloud is informative of which software companies will see the benefits now vs later. While the cycle started with “Buy”, we believe a new “Build” cycle is now starting. This is also reflected by the representative sample of IPOs in the pre-GenAI era.

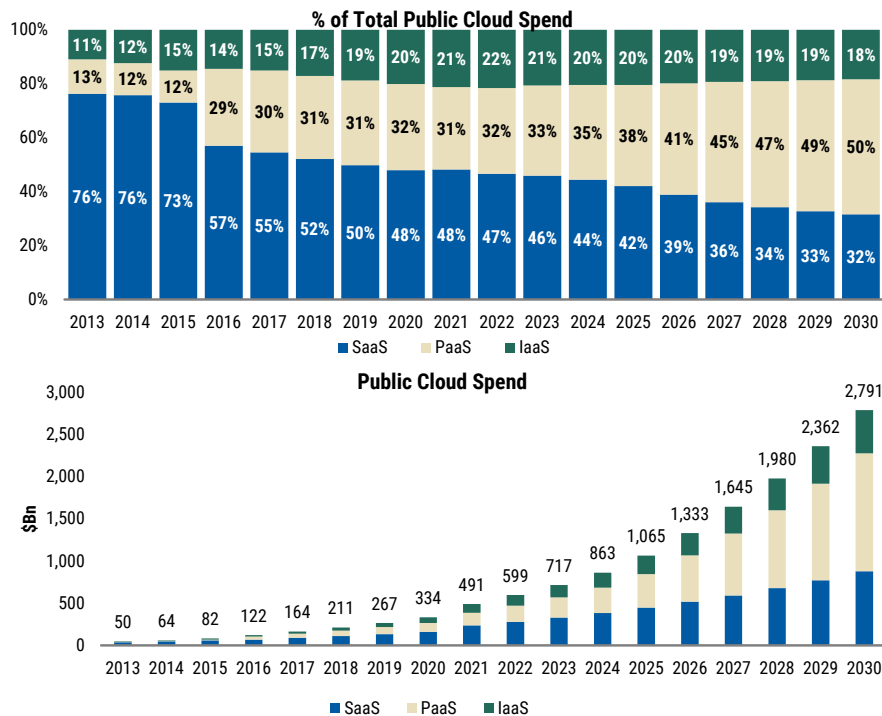


Source: Company data, Morgan Stanley Research.

Lessons from the Cloud Cycle

The Buy vs Build Cycle for Cloud

We think the last cycle for cloud is informative of which software companies will see the benefits now vs later. While the cycle started with “Buy”, we believe a new “Build” cycle is now starting



2004 to 2013: The Rise of SaaS

- Cycle Favors **Buy** as SaaS Apps Dominate Cloud Spend

2013-2018: Era of Experimentation

- As SaaS Goes Mainstream and **Early Build** Cycle Starts to Emerge as Companies Look to Migrate Data and Apps and Build out net-new capabilities
- Lots of Experimentation on How to Do Cloud Right (Lift-and-Shift, Cloud Foundry, Openstack, Openshift, Docker, Mesosphere, Chef, Puppet)

2019-2022: Era of Standardization

- Application Architectures Get Standardized Around Microservices + Kubernetes
- Major **Enterprise Application Build** Cycle Kicks Off
- New Security Paradigms (Zero Trust, SASE) Emerge to Address New App Architectures

Source: IDC, Morgan Stanley Research. Note: Figures shown prior to 2021 reflect legacy IDC estimates, and may not be directly comparable to the '21 – '30e timeframe

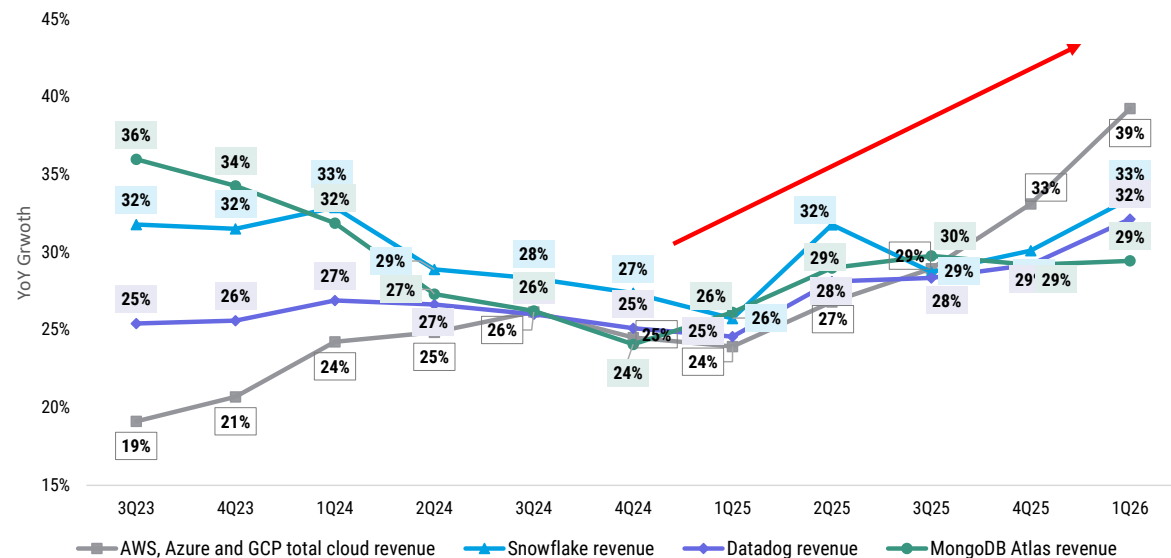
Where Do We Think We Are in the Current AI Cycle?

Entering the Early Part of The Build Cycle

Supporting Evidence

- The strongest public cloud growth since the pandemic (and its not just training)
- Observability growth accelerating (Datadog and others)
- Analytical data infrastructure seeing robust demand (Snowflake, Databricks, ClickHouse)
- Tooling becoming more mature (MCP, Langchain, Skills, Agent Harness)

Market is shifting from training to inference and our customer and industry conversations point to the end of proof-of-concept evaluations and early use cases getting into production



Source: Company data, Morgan Stanley Research

Sequencing the Cycle: Infrastructure

Key Takeaways

Infrastructure software is benefiting early in the AI cycle, with data platforms such as **Snowflake** leading as enterprises modernize data and prepare for AI workloads. As adoption scales, observability vendors should benefit next, followed by transactional databases and compute/inference infrastructure, while developer automation platforms such as **Atlassian** and **GitLab** are likely later-cycle beneficiaries due to required pricing-model transitions.

primary expected beneficiary emerging / contested mixed / watch at risk

Category / driver	Bellwethers (illustrative)	Today	Mid-term	Later	Sequencing – what to watch
Analytical data infrastructure <i>Data modernization & AI-readiness</i>	SNOW (Pref OW)				Earliest beneficiary – data modernization / AI-readiness initiatives.
Observability <i>App & agent monitoring</i>	DDOG (Pref OW) DT				Benefits as AI apps and agentic initiatives hit production scale.
Transactional databases <i>OLTP for agentic apps</i>	MDB (Debated OW) ORCL NTNX				Follows closely as production workloads scale; MDB nearer-term than ORCL .
Compute / inference / agent infra <i>Edge & inference platforms</i>	NET (Pref OW) AKAM (Debated OW)				Follows closely – compute, inference and agent-infrastructure demand; NET higher conviction.
Software development automation <i>Dev tooling / DevOps</i>	TEAM (debated OW) GTLB				Usage is already strong; monetization depends on a transition away from pure seat-based pricing.

How to Position

Own preferred beneficiaries SNOW, DDOG and NET now. MDB and AKAM are debated OWs positioned to benefit as production workloads scale; dev-automation remains later-cycle and pricing-transition dependent.

Source: Company data, Morgan Stanley Research

Sequencing the Cycle: Cybersecurity

Key Takeaways					
Cybersecurity should benefit across a multi-phase AI investment cycle, beginning with platform modernization to address technical debt and near-term AI threats, followed by greater SOC automation to defend against AI-driven attacks. Palo Alto Networks is positioned to benefit across all three phases, while Fortinet, Check Point, and Cisco are most exposed to modernization, CrowdStrike to SOC automation and AI security, and Okta and Rubrik (not covered) to securing data and agentic identities.					
primary expected beneficiary emerging / contested mixed / watch at risk					
Phase / focus	Bellwethers (illustrative)	Today	Mid-term	Later	What it addresses – what to watch
Phase 1 · AI Modernization <i>Upgrade to modern platforms; retire technical debt</i>	PANW (Pref OW) FTNT, CHKP CSCO				Current phase — platform upgrades and immediate AI-threat modernization.
Phase 2 · AI Capabilities for Security <i>Automate & assist the SOC</i>	PANW, CRWD (Pref OWs)				Automates and assists the SOC for AI-driven attacks.
Phase 3 · Security for AI <i>Secure enterprise data & new agentic identities</i>	PANW, CRWD (Pref OWs) OKTA (debated OW) Rubrik (Not Covered)				Secures enterprise data and new agentic identities.

How to Position

Own PANW and CRWD now as preferred, multi-phase beneficiaries.

Source: Company data, Morgan Stanley Research

Sequencing the Cycle: Applications

Key Takeaways

Application SaaS is likely later cycle and faces the greatest disruption risk from AI-native alternatives, pricing-model transitions, and margin pressure, with winners determined by durable core platforms, successful hybrid pricing, and meaningful AI monetization. **ServiceNow** appears closest to an AI-driven growth inflection, while **Salesforce**, **Workday**, and **Intuit** likely face longer transitions due to weaker core growth and greater AI exposure.

■ primary expected beneficiary ■ emerging / contested ■ mixed / watch ■ at risk

Application cohort / driver	Bellwethers (illustrative)	Today	Mid-term	Later	Positioning / evidence gates
Vertical / transactional platforms <i>Workflow + payments / volume pricing</i>	SHOP (Pref OW) NAVN (Pref OW) TOST (high-moat beneficiary)	■	■	■	SHOP/NAVN : pref OWs; TOST : high-moat beneficiary. Watch AI attach, volume monetization and GP/OP leverage.
Enterprise workflow orchestration <i>Agents across IT, service, HR, ops</i>	NOW (OW; closest to inflection) TEAM (debated OW) APPN (category beneficiary)	■	■	■	NOW is the closest broad SaaS inflection; TEAM pricing-gated; APPN category beneficiary.
Governed back-office systems <i>High-gravity ERP / finance / HCM data</i>	SAP (debated OW) INTU (EW) WDAY (UW)	■	■	■	Durable moat; timing and ratings vary . SAP has stronger governed-ecosystem opportunity; INTU/WDAY remain farther from inflection.
Front-office / headless transition <i>Front-office workflows + hybrid pricing</i>	HUBS (debated OW) CRM	■	■	■	CRM owns a deep system of record but remains farther from inflection; HUBS OW with pricing/GTM transition risk.
Content-generation exposure <i>Model-lab encroachment</i>	ADBE (UW)	■	■	■	ADBE remains exposed to model-lab encroachment in content generation.
Low-moat / simple-workflow point solutions <i>Simple workflows / limited control</i>	ASAN, GTM, RNG, LZ, PATH	■	■	■	Weak workflow ownership and greater structural risk .

How to Position

Maintain near-term preference for Infrastructure/Security. Apps: preferred SHOP/NAVN; NOW is closest broad SaaS inflection and OW; SAP/TEAM/HUBS debated OWs; CRM/INTU EW; ADBE/WDAY UW.

Source: Company data, Morgan Stanley Research.

Morgan Stanley **Team Software**

Part V *Assessing Valuation*

Prior Software Re-Ratings Offer a Framework for Today

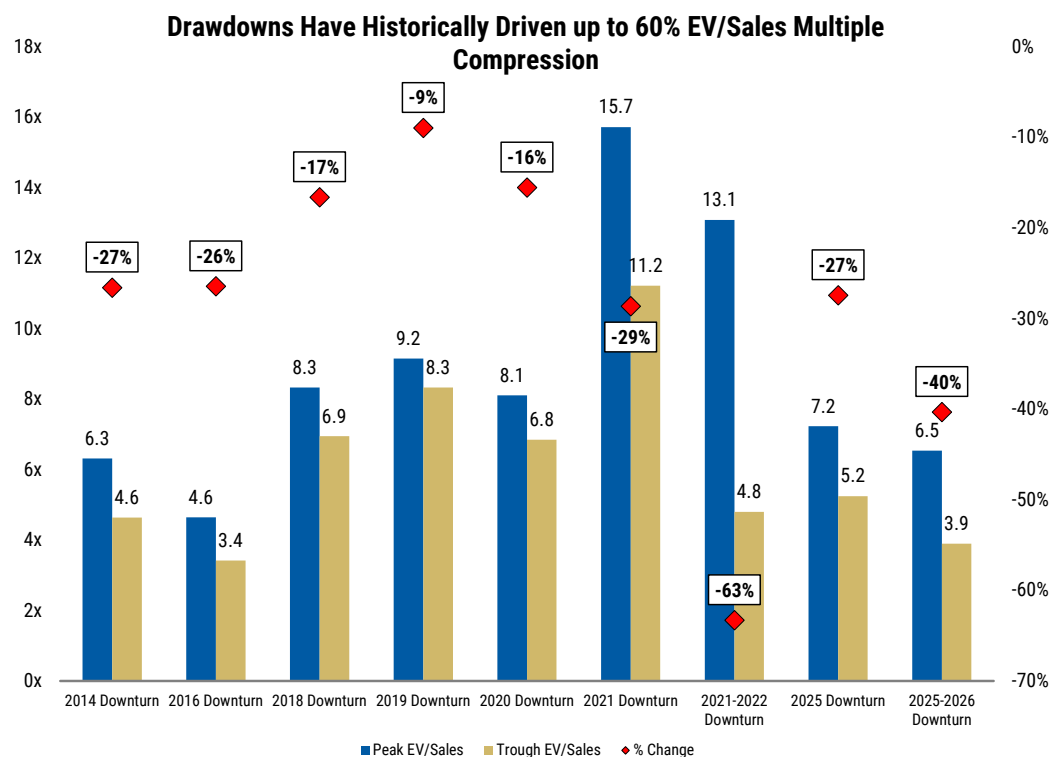
The historical lesson is not that today exactly repeats prior cycles; it is that software multiples compress most when investors stop underwriting durable recurring growth and start pricing cyclical risk or displacement risk.

Period	Market Concern	Relevant Names	Primary Metric	Key Takeaway
1999-2005	Cyclical software / license collapse following pre-Y2K spending boom	SAP, ORCL, Siebel, PeopleSoft, i2 Technologies	GAAP P/E / post-SBC P/E	Establish what cyclical trough multiples looked like when software demand became more macro-sensitive
2010-2016	On-prem to SaaS disruption fears	SAP, ORCL, MSFT	GAAP P/E / PEG	Assess how mature incumbents traded when investors questioned long-term growth durability and terminal value
2014-2018	AWS / cloud infrastructure displacement risk	ORCL, VMW, CTXS, INFA, SPLK, TDC, RHT, CLDR	EV/FCF, GAAP P/E, EV/Sales where P/E not meaningful	Understand how infrastructure software names were valued when cloud platforms created perceived displacement risk

Source: Company data, Morgan Stanley Research

Historical Drawdowns Suggest Software Needs an Earnings-Based Anchor When Growth Durability is Questioned

Software drawdowns have repeatedly produced ~25–40% EV/Sales compression, with the most severe resets occurring when investors question growth durability, profitability, or terminal-value risk.

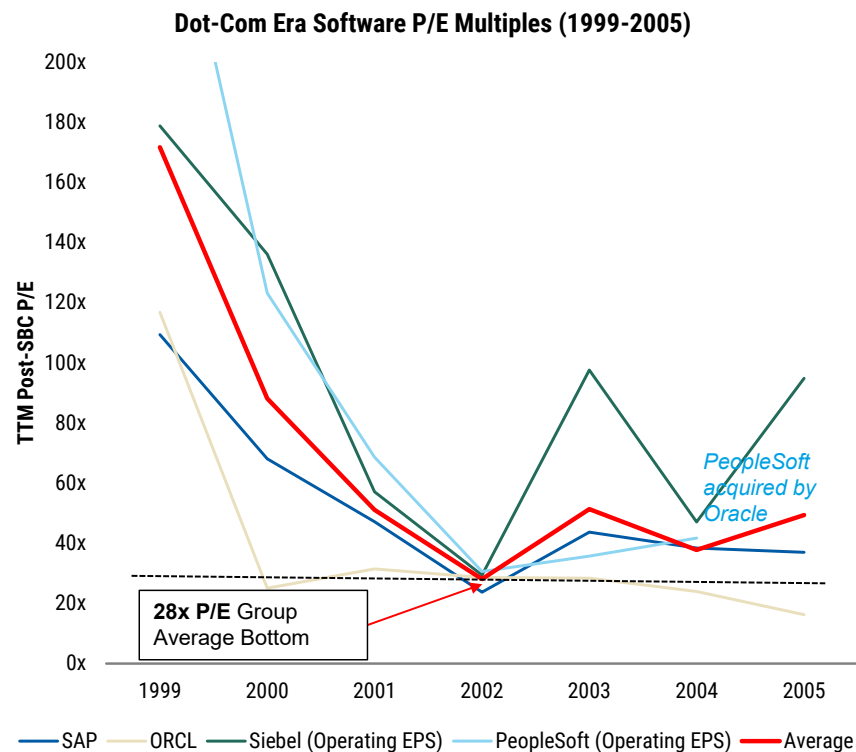


Source: Company data, Morgan Stanley Research

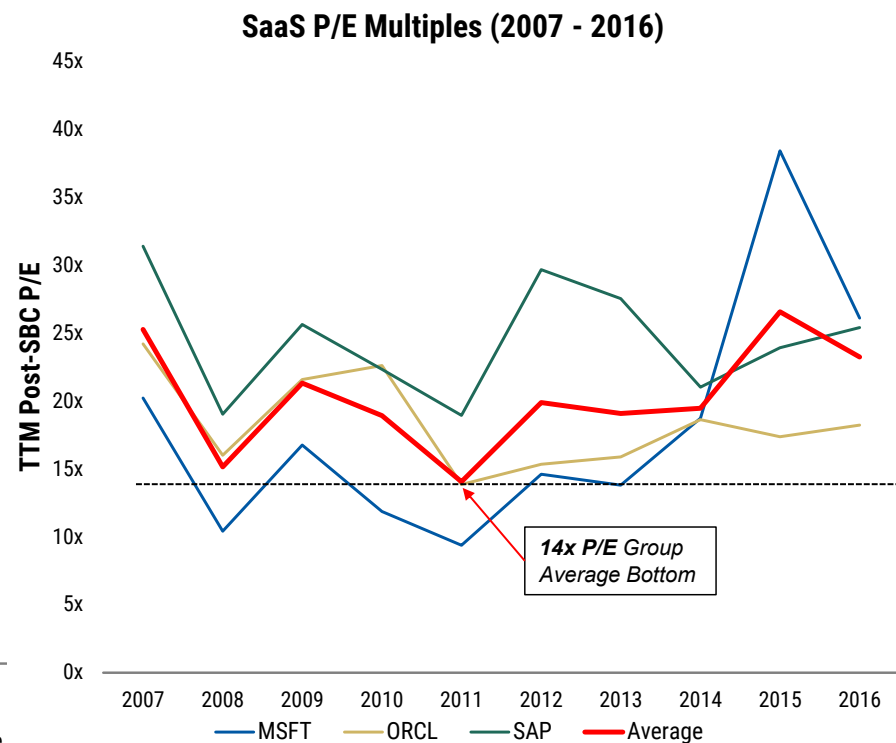
2014 Downturn: Valuation March 10, 2014 vs. May 12, 2014			
EV/CY15 Sales	3/10/2014	5/12/2014	Peak-to-Trough
MS Large-Cap Avg	5.5	4.5	-19%
MS Mid-Cap Avg	8.6	5.2	-39%
MS Small-Cap Avg	4.6	4.1	-12%
Top 5 Most Expensive (FEYE, WDAY, SPLK, DATA, VEEV)	16.3	8.3	-49%
MS Software	6.3	4.6	-27%
2016 Downturn: Valuation Nov 30, 2015 vs. Feb 22, 2016			
EV/CY17 Sales	11/30/2015	2/22/2016	Peak-to-Trough
MS Large-Cap Avg	5.2	4.2	-18%
MS Mid-Cap Avg	5.4	3.7	-31%
MS Small-Cap Avg	3.5	2.2	-36%
Top 5 Most Expensive (WDAY, NOW, PANW, PFPT, HUBS)	7.5	4.6	-38%
MS Software	4.6	3.4	-26%
2021 Downturn: Valuation February 16, 2021 vs. May 10, 2021			
EV/CY22 Sales	2/16/2021	5/10/2021	Peak-to-Trough
MS Large-Cap Avg	23.0	15.8	-31%
MS SMid-Cap Avg	11.2	8.9	-20%
Top 5 Most Expensive (AI, SNOW, APPN, PLTR, NET)	49.4	25.4	-49%
MS Software	15.7	11.2	-29%
2021 - 2022 Downturn: Valuation November 15, 2021 vs. November 7, 2022			
EV/CY23 Sales	11/15/2021	11/7/2022	Peak-to-Trough
MS Large-Cap Avg	20.0	7.3	-64%
MS SMid-Cap Avg	9.0	4.3	-53%
Top 5 Most Expensive (NET, CFLT, SNOW, ASAN, S)	48.1	8.4	-83%
MS Software	13.1	4.8	-63%
2025 Downturn: Valuation February 6, 2025 vs. April 7, 2025			
EV/CY26 Sales	2/6/2025	4/7/2025	Peak-to-Trough
MS Large-Cap Avg	11.3	8.9	-21%
MS SMid-Cap Avg	5.5	4.1	-25%
Top 5 Most Expensive (PLTR, NET, CRWD, IOT, NOW)	25.1	16.8	-33%
MS Software	7.2	5.2	-27%
2025-2026 Downturn: Valuation October 24, 2025 vs. February 6, 2026			
EV/CY27 Sales	10/24/2025	2/6/2026	Peak-to-Trough
MS Large-Cap Avg	11.2	6.6	-41%
MS SMid-Cap Avg	4.5	2.8	-38%
Top 5 Most Expensive (PLTR, NET, CRWD, FIG, DOCS)	27.5	15.1	-45%
MS Software	6.5	3.9	-40%

Mature Incumbents Ultimately Re-Rated Around Earnings Power...

In the dot-com unwind and SaaS transition, mature profitable software names saw P/E multiples reset sharply as growth expectations normalized, but valuation ultimately remained anchored to earnings power rather than revenue alone.

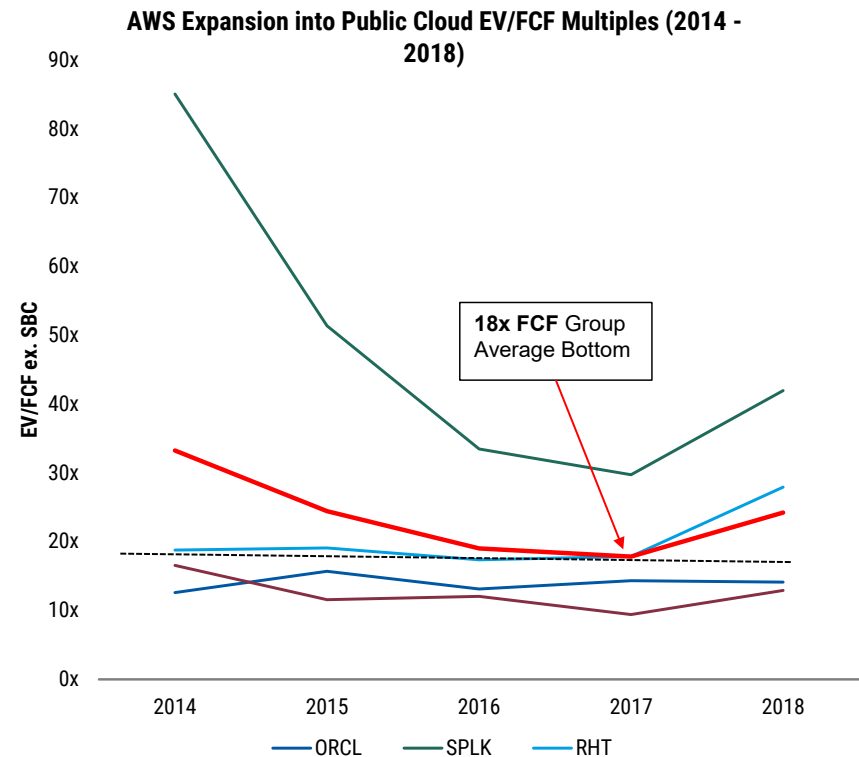
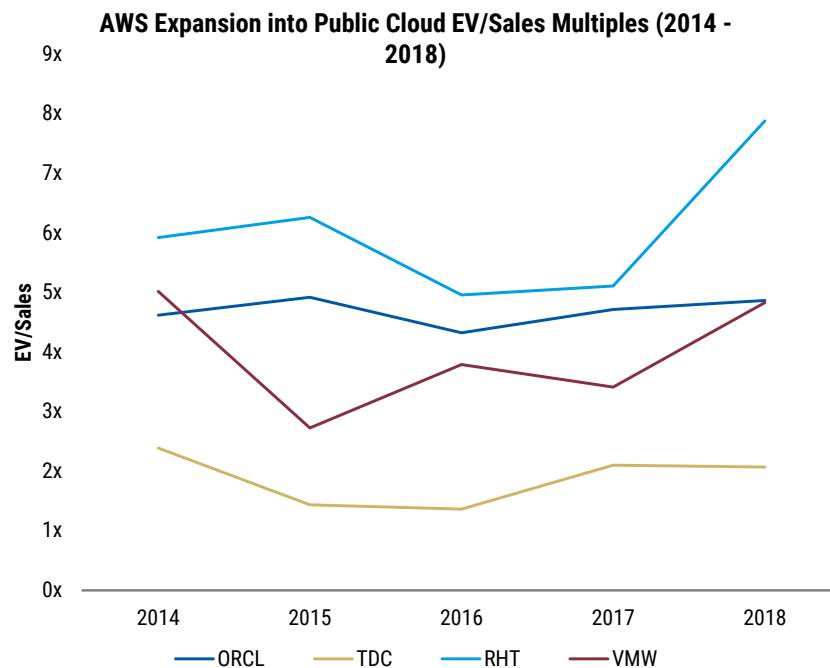


Source: Company data, Morgan Stanley Research



...While Contested Infrastructure Names Required a Broader Durability lens

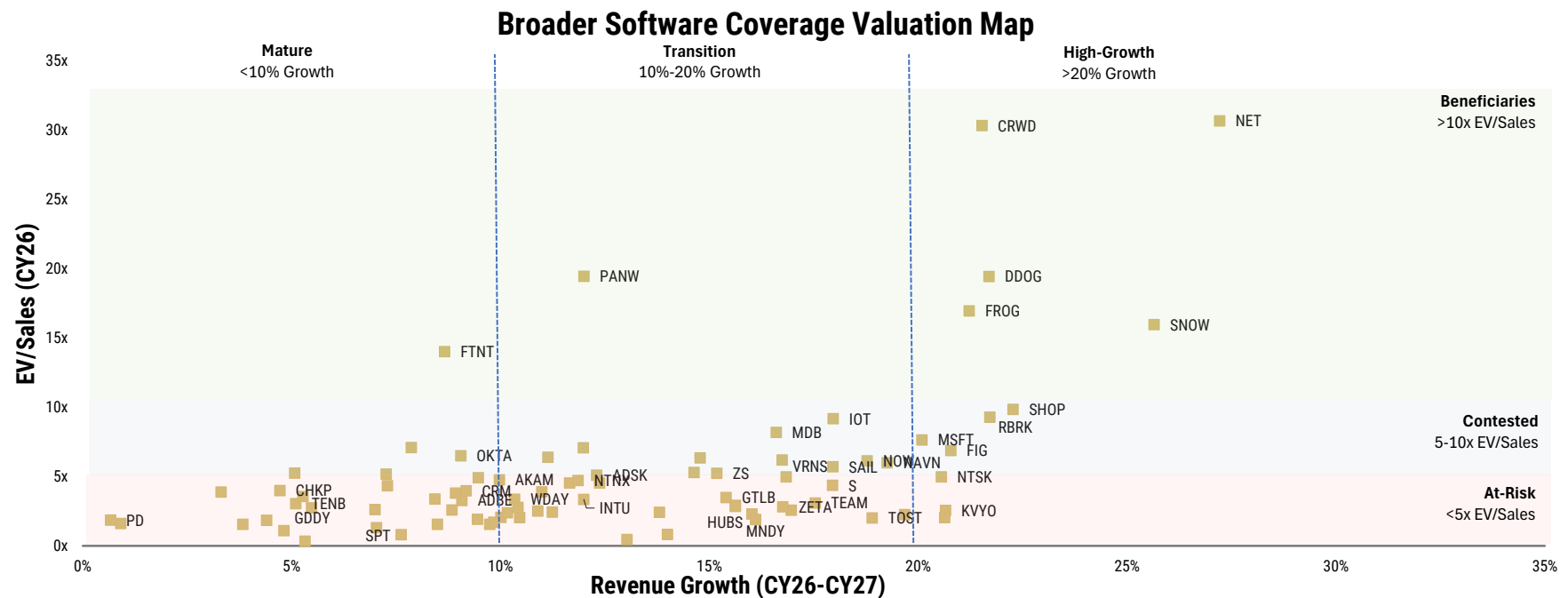
During the AWS threat cycle, infrastructure software was re-rated across both EV/Sales and EV/FCF, underscoring that companies facing platform displacement or terminal-value questions require revenue, cash flow, and defensibility-based valuation frameworks.



Source: Company data, Morgan Stanley Research

A Segmented Framework Separates Mature Earnings Stories From High-Growth Multiple Stories

Software valuation should be evaluated across two dimensions — growth maturity and valuation regime — with mature names anchored on P/E / PEG, transition names requiring a bridge between earnings and sales, and high-growth beneficiaries best assessed through EV/Sales or EV/GP relative to growth durability.



Note: AI, DOCN, CRWV, GTM, NBIS, PLTR, RPD excluded for data presentation purposes
Source: Company data, Morgan Stanley Research

How to Think About Valuation Frameworks

Methodology

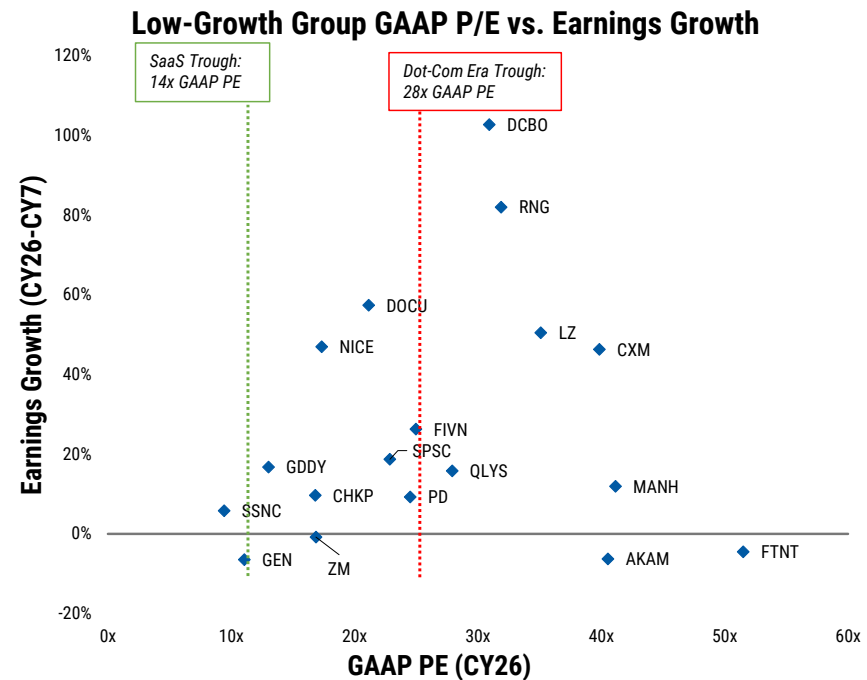
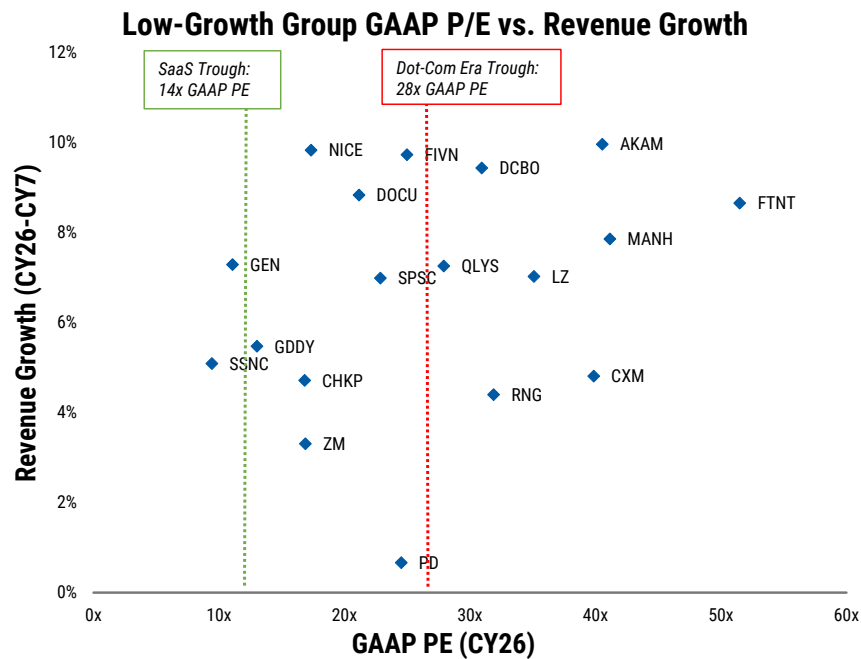
Valuation treatment should flow from moat, AI journey, and growth maturity

Cohort Profile	Moat	AI Journey	Growth Profile	Valuation Metrics	Highlighted Names
Low Growth	Durability matters; avoid weak moat / AI-risk stories	Longer journey; limited near-term uplift	<10% revenue growth	GAAP P/E + PEG EV/FCF ex-SBC as a check	AKAM, FTNT, CHKP, DOCU, GDDY, MANH, QLYS
Mature at-Scale	Scale, platform depth, and margin resilience	Longer journey; AI monetization optionality	Mature at scale	GAAP P/E + PEG EPS durability / growth	ADBE, INTU, MSFT, ORCL, CRM, SAP, WDAY
Transition	Moat needs to support mid-teens growth and margin expansion	Proving reacceleration and AI relevance	10–20% revenue growth	EV/FCF ex-SBC where applicable EV/Sales or EV/GP if GAAP EPS is limited	TEAM, MDB, NOW, IOT, ZS, DT, HUBS, MNDY, NTNX
High Growth	Strong platform / AI beneficiary moat required	Shorter journey; direct AI or platform upside	>20% revenue growth	EV/Sales or EV/GP vs. Rule of X	NET, CRWD, DDOG, DOCN, PANW, SHOP, SNOW

Source: Morgan Stanley Research

Low-Growth Names Require Selectivity, Not a Blanket Multiple Haircut

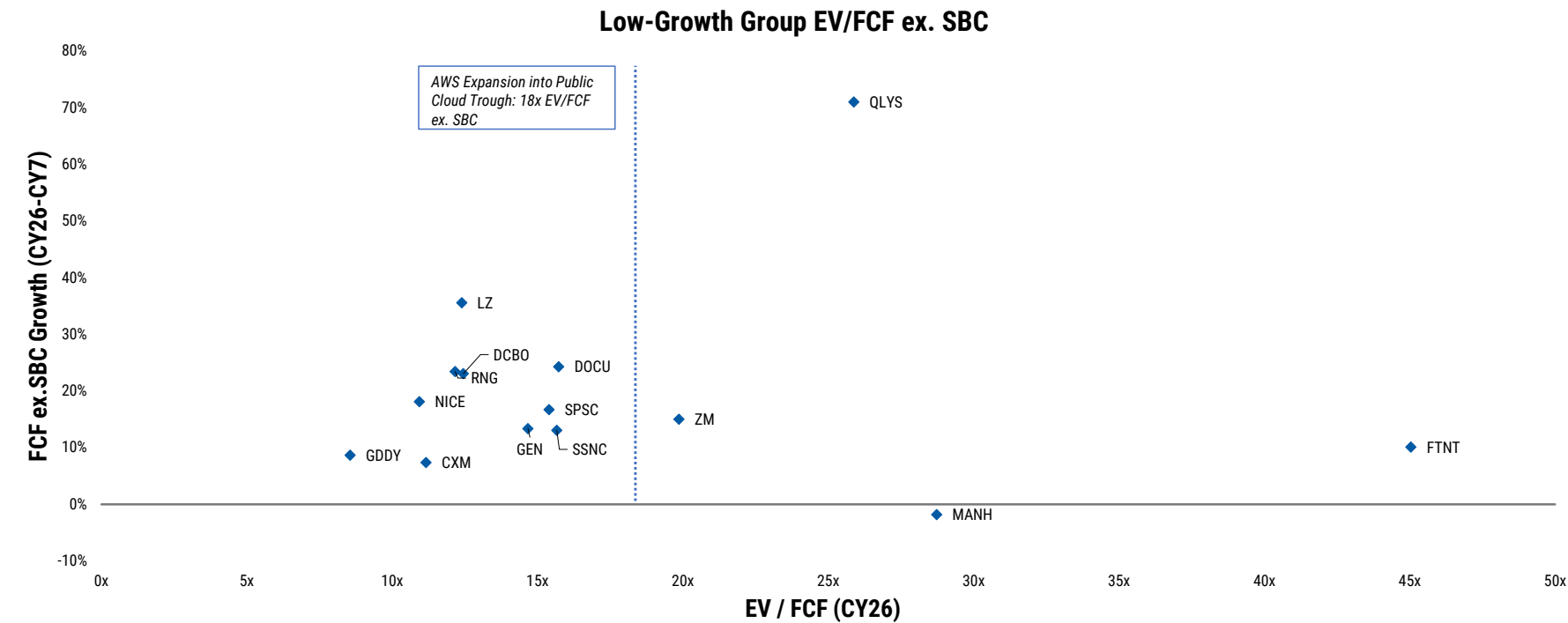
For sub-10% growers, revenue multiples are less informative and valuation should be anchored primarily on GAAP P/E, PEG, and earnings growth durability. The key distinction is not simply “cheap vs. expensive,” but whether the company has enough moat, margin structure, and EPS growth to justify a premium earnings multiple. Where moat is weaker or AI disruption risk is higher, we would underwrite toward trough-style P/E support rather than rely on historical revenue multiple floors.



Source: Company data, Morgan Stanley Research

Low-Growth Names Require Selectivity, Not a Blanket Multiple Haircut

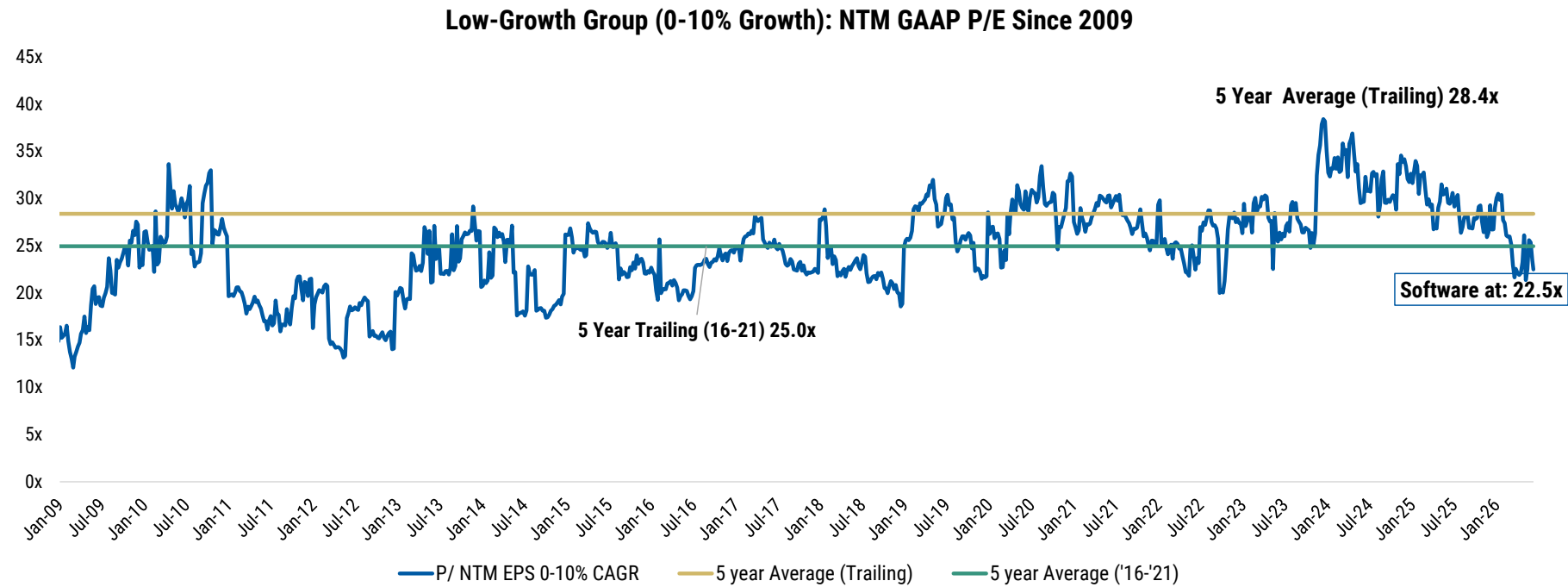
FCF ex-SBC reinforces the need for selectivity: low-growth names with durable FCF growth can justify premium support, while weaker moat / lower conversion profiles should be valued closer to trough-style downside frameworks



Source: Company data, Morgan Stanley Research

Low-Growth Software Trades Below History, But Not All Discounts Are Equal

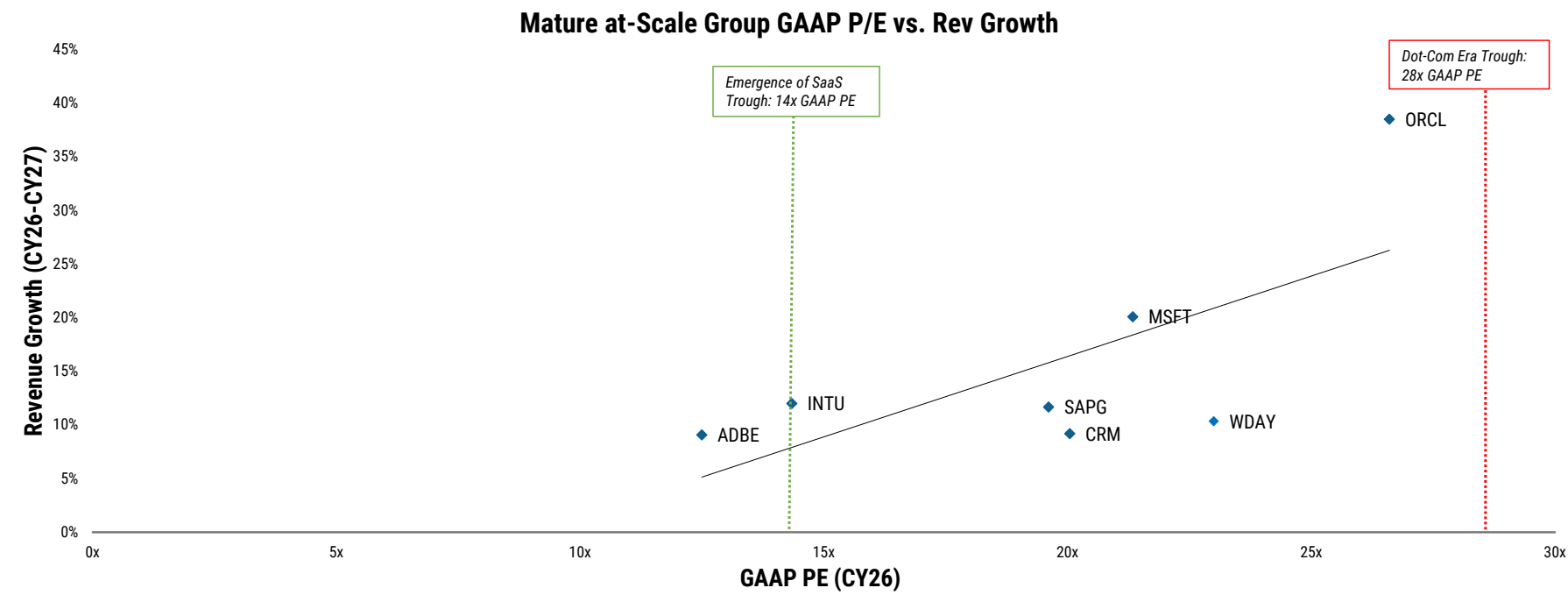
The low-growth cohort trades below its trailing 5-year average, but the valuation debate is less about blanket multiple recovery and more about which names can sustain EPS / FCF growth despite slower revenue. Stronger moat and margin durability should warrant premium P/E support.



Source: Company data, Morgan Stanley Research

At-Scale Incumbents Should be Valued on Earnings Durability and EPS Growth

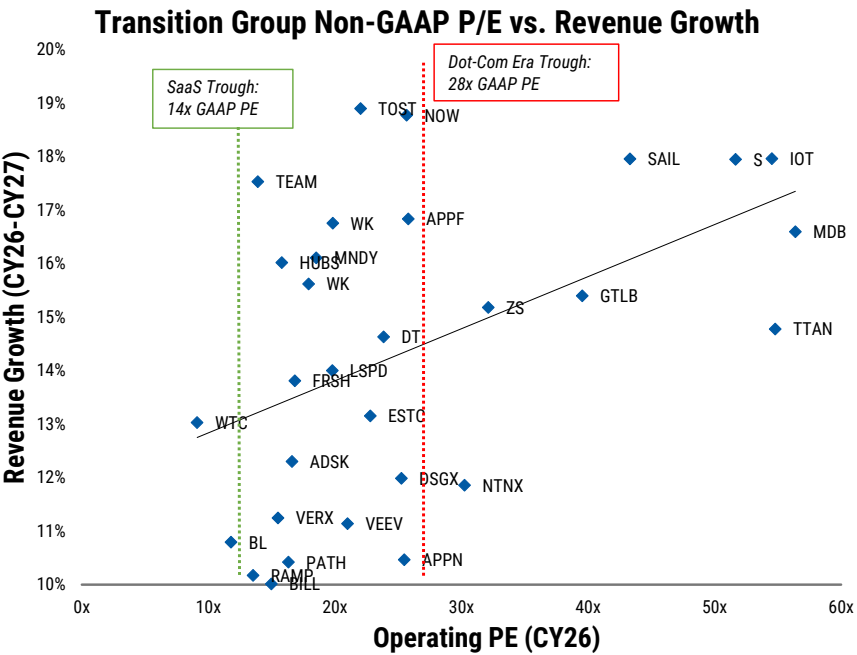
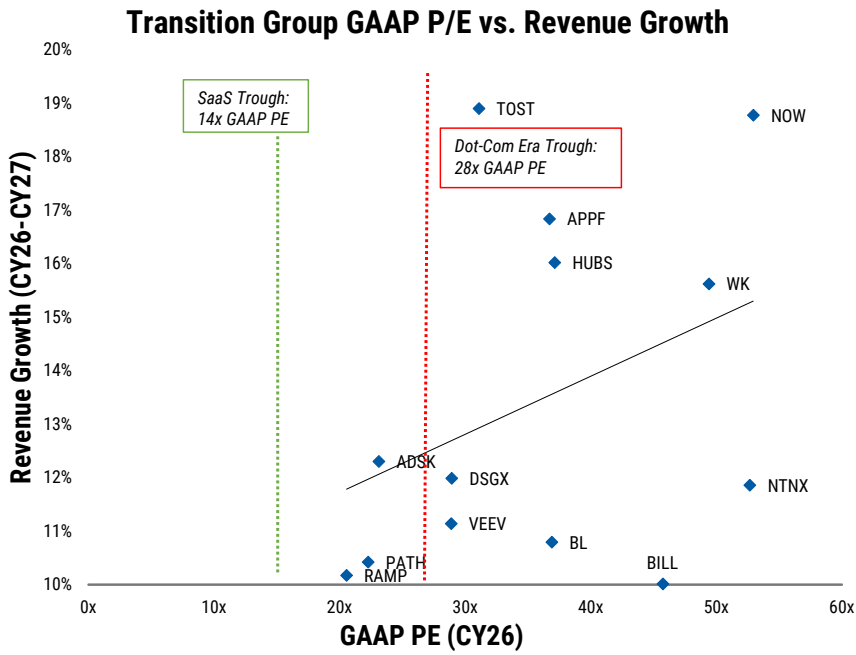
For mature at-scale platforms, GAAP P/E and EPS growth are the right starting points because these companies have the profitability base to be valued on earnings power rather than revenue optionality. Premium multiples should accrue to names with defensible moats, credible AI monetization paths, and sustained EPS growth.



Source: Company data, Morgan Stanley Research

Transition Names Need a Bridge From Growth to Earnings

For 10–20% growers, non-GAAP P/E helps frame valuation where GAAP EPS remains limited, but the core debate is earnings quality. Multiple support should accrue to names that can convert mid-teens growth into durable GAAP earnings and FCF ex-SBC.

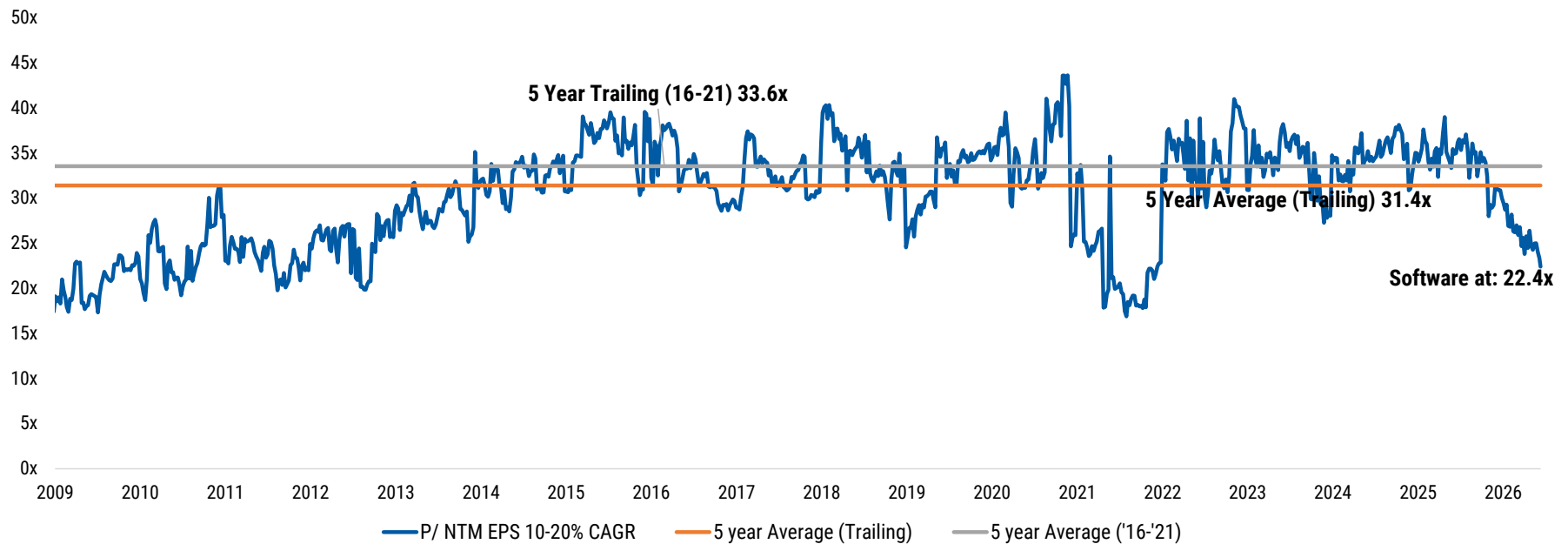


Source: Company data, Morgan Stanley Research

Transition Software Screens Cheap, But the Burden Is Proof of Earnings Conversion

Transition software trades at a larger discount to its trailing 5-year P/E average than mature software, implying the market is already underwriting skepticism around reacceleration and margin conversion. Upside requires evidence that mid-teens growth can translate into sustainable earnings power.

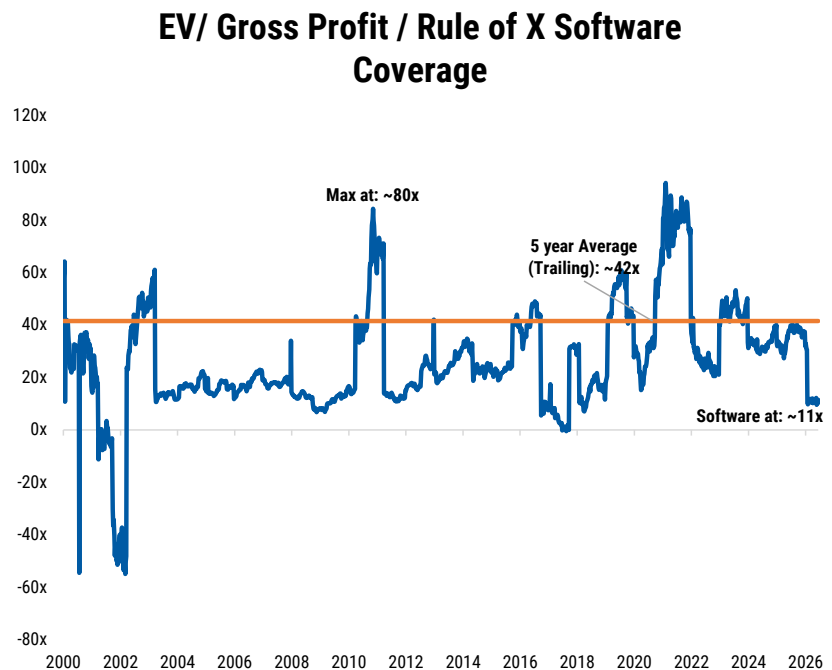
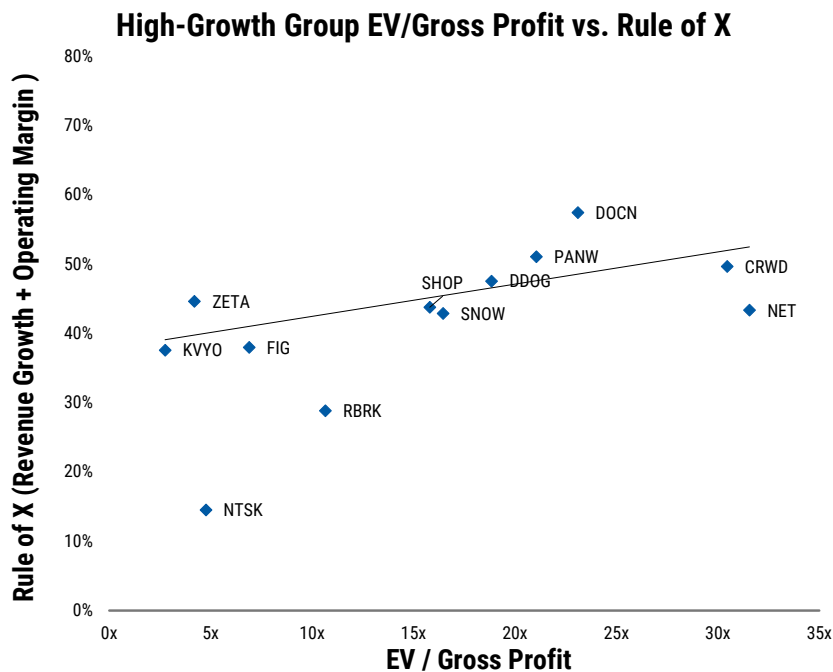
Transition Group (10-20% Growth): NTM GAAP P/E Since 2009



Source: Company data, Morgan Stanley Research

High-Growth Multiples Have Compressed Most, Shifting Focus to Quality of Growth

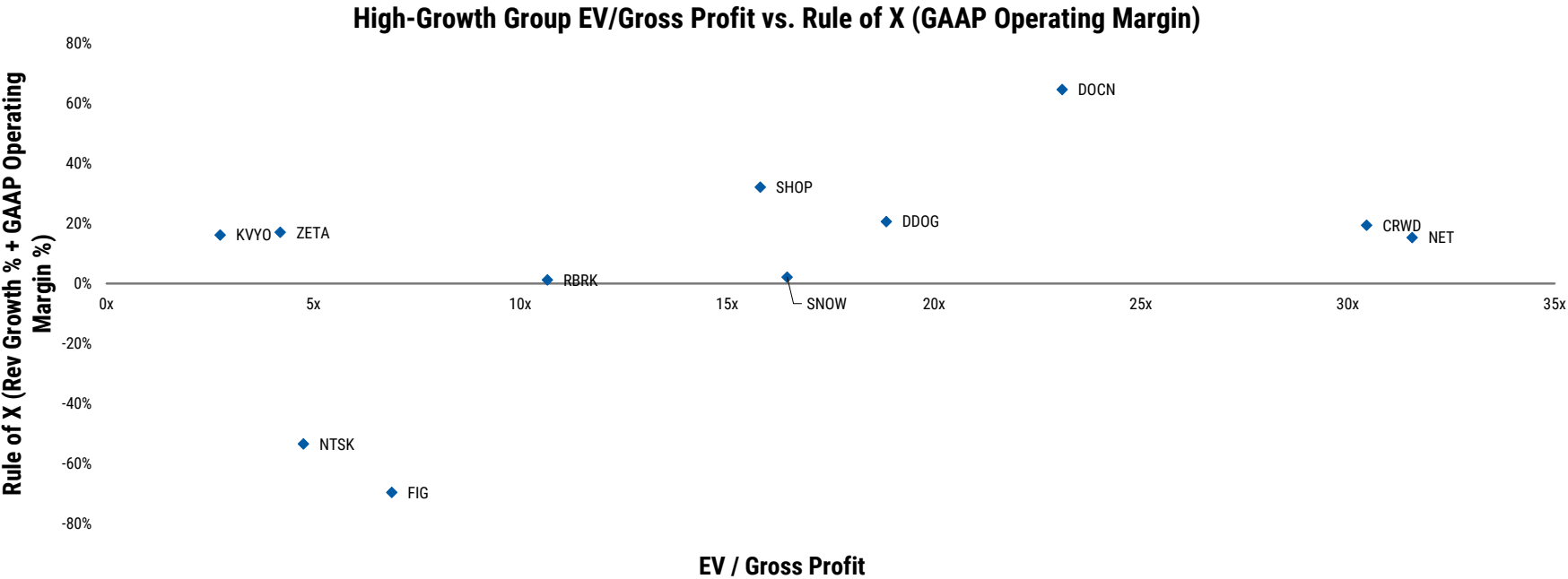
The high-growth cohort trades at ~11x EV/Gross Profit versus a trailing 5-year average of ~42x, a much larger reset than the mature and transition groups. We prefer names with stronger Rule of X profiles, durable growth, margin support, and clear AI / platform defensibility.



Note: CRWV, NAVN, NBIS, PLTR, VIA excluded for data presentation purposes
Source: Company data, Morgan Stanley Research

GAAP Operating Leverage Creates a Sharper Divide Within High-Growth

Using GAAP operating margin materially widens the dispersion in Rule of X across the cohort. DOCN and SHOP pair stronger growth with positive operating leverage, while FIG and NTSK remain well below the group; at the upper end of valuation, CRWD and NET still require sustained growth and continued margin expansion to support their premiums.



Note: CRWV, NAVN, NBIS, PLTR, VIA excluded for data presentation purposes
Source: Company data, Morgan Stanley Research

Key Debates

At the industry level, there are 5 key debates we are addressing in this report:

1. **Debate #1: Where Does AI Value Accrue?**
2. **Debate #2: Is Going Headless Inevitable Or Will There Be Closed Ecosystems Too?**
3. **Debate #3: Evolution of Software Pricing - Can Software Vendors Effectively Capture Value Outside of Seats?**
4. **Debate #4: Do Software Gross Margins Move Structurally Lower?**
5. **Debate #5: 'Tokenomics': Should Software Vendors Brace for an AI Optimization Cycle?**

*Please see attached **Slide Deck** for a deep dive into our framework and assumption of coverage.*

Debate #1: Where Does AI Value Accrue?

In this debate, we explore where large language models (LLMs) are more and less effective and what that means for value capture in an AI world. This debate is relevant for Application Software, Infrastructure Software, and Cybersecurity.

Market View: Given how quickly the capabilities of the large language models are improving, it is only a matter of time until the models can automate and do the vast majority of work at organizations, regardless of function, task, or workflow. This means that the frontier labs will accrue all of the AI value while all existing software vendors will be displaced.

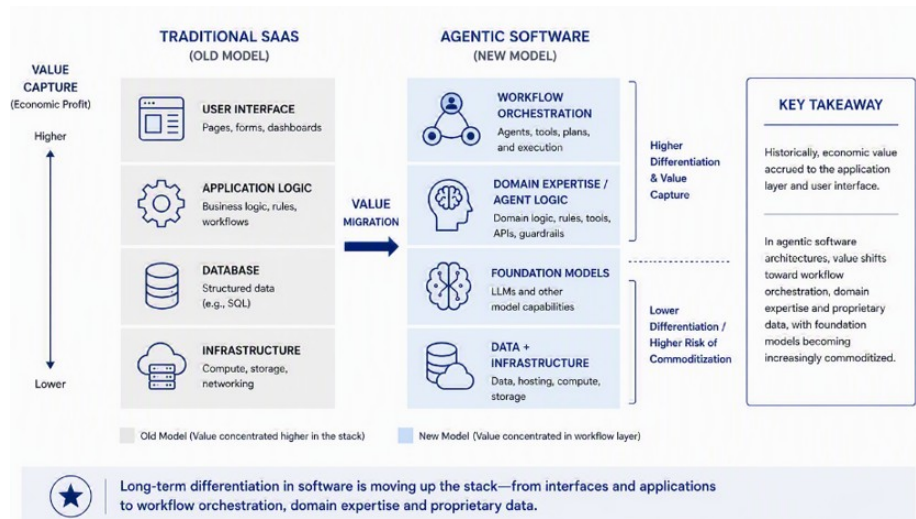
MS View: We take a more nuanced view as we believe both the frontier labs and some existing software vendors can accrue AI value. While the raw intelligence of the frontier labs continue to quickly improve, these improvements are limited to certain academic benchmarks as intelligence to address real-life knowledge work has plateaued. Academic research has shown how LLMs have a Jagged Frontier, where AI capabilities cover an uneven set of knowledge work. Essentially, on some tasks LLMs are incredibly powerful, but on others it fails. This is due to LLMs not being trained on certain real-life knowledge work. As such, we believe the labs will focus on tasks that sit reliably within the frontier and stay inside as the model scales: 1) Coding, 2) General knowledge-work (summarization, drafting, ideation), and 3) Content generation. Given this focus, we are cautious on software vendors addressing these domains. The Jagged Frontier is also why application software vendors will accrue AI value as they will augment these LLMs with domain-specific context and data at the workflow layer to properly address these harder knowledge-work tasks, especially in specialized domains where nuance and accuracy are non-negotiable (healthcare, legal, finance and accounting, etc.). Infrastructure and cybersecurity software vendors will also accrue AI value as they will be the ones to technically deliver the data and context (infrastructure) and will be the ones securing those agentic workflows (cybersecurity).

Debate Relevant For: Application Software, Infrastructure Software, Cybersecurity

Beneficiaries: Large-Cap (MSFT, PANW, PLTR, CRWD, SHOP, NET, SNOW, DDOG); SMID-Cap (NAVN, TOST)

Too Early: Large-Cap (NOW, WDAY, CRM, INTU); SMID-Cap (MANH, TTAN)

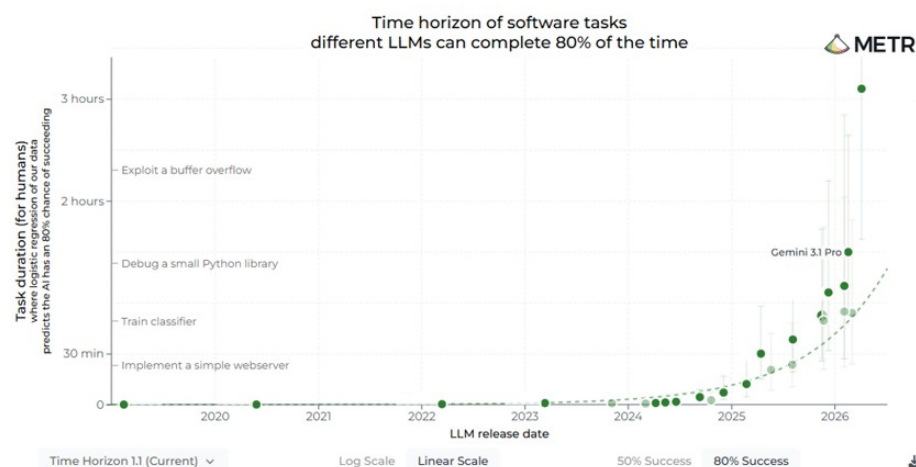
Challenged: Large-Cap (ADBE); SMID-Cap (RPD, LZ, SPT, GTM, QLYS, CXM, SPSC)

Exhibit 40: More Value Accrues to the Workflow Layer in an Agentic World

Source: Morgan Stanley Research

Frontier Model Raw Intelligence Continues to Rise

As new frontier models get introduced, we have seen how LLM intelligence continues to scale. METR's benchmark shows how AI performance in terms of the length of tasks AI agents can complete has been consistently exponentially increasing over the past 6 years.

Exhibit 41: LLM Capabilities Continue to Improve

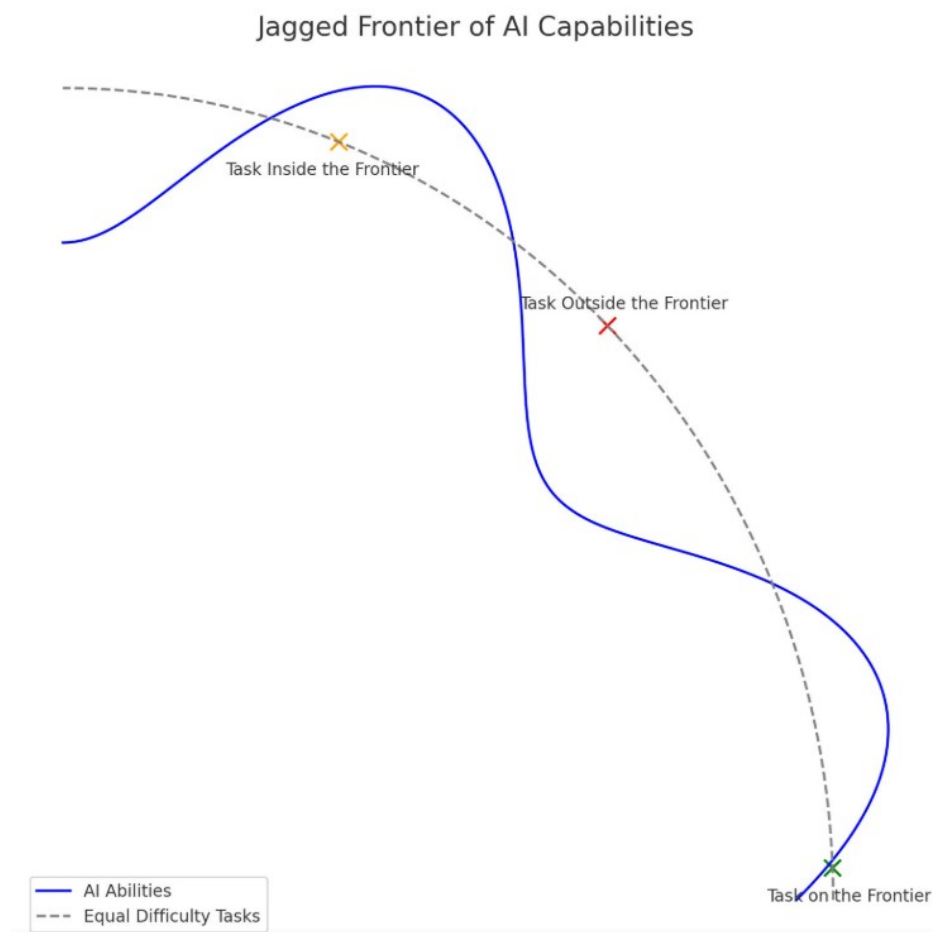
Source: METR

But, Model Variance in Knowledge-Work Performance is High

While the frontier models continue to top academic benchmarks, we see a different story when they are applied to task-level knowledge work. One of the most important concepts to understand a LLM's capabilities is the **Jagged Frontier**. Research from Harvard Business School (Dell'Acqua et al.: *Navigating the Jagged Technological Frontier*) has found that AI capabilities cover an uneven set of knowledge work. **Essentially, on some tasks LLMs are incredibly powerful, but on others it fails.** Tasks that appear to human knowledge workers to be of similar difficulty may be performed either better or worse by humans

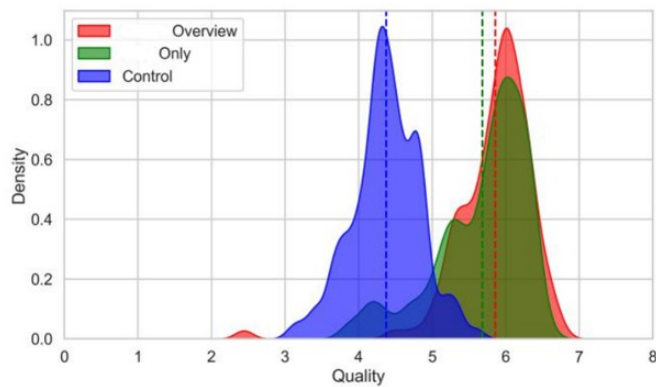
using AI. Within this jagged frontier, AI can complement human work. However, outside the frontier, AI output is inaccurate, less useful, and can degrade human performance. AI assistance improves human performance only for tasks within current AI capabilities, within the jagged technological frontier, and worsens human performance outside of it.

Exhibit 42: There Is a Jagged Frontier of AI Capabilities

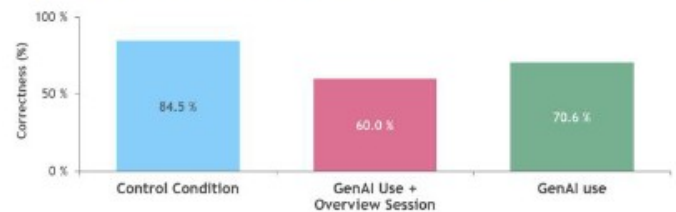


Source: Dell'Acqua et al.: *Navigating the Jagged Technological Frontier*

More specifically, Harvard and BCG ran a randomized experiment with 758 BCG consultants, giving some of them access to a LLM and some not. On a creative product-design task that played to AI's strengths (brainstorming, writing, structuring ideas), consultants with AI finished 25% faster, completed 12% more of the work, and produced output rated 40% higher in quality. But on a business case task that required synthesizing a spreadsheet against contradictory qualitative interviews, the kind of analytical work where the obvious quantitative read is wrong and the real answer is buried in soft signals, consultants with AI got the right answer 19 percentage points less often than those without it, because they trusted a confident-sounding but wrong AI output and copy-pasted it. ***The key takeaway from this research is that AI is very good at text generation, structured writing, and ideation, but bad at judgement calls that require weighing contradictory evidence across structured and unstructured sources specific to a domain, which is where a lot of the valuable knowledge work lives.***

Exhibit 43: LLMs Perform Better Inside the Frontier...**Figure 3.** Inside the Frontier—Performance Distribution

Source: Dell'Acqua et al.: Navigating the Jagged Technological Frontier

Exhibit 44: ...But Are Actually a Drag to Performance Outside of the Frontier**Figure 5.** Outside the Frontier—Performance

Notes. This figure displays average performance for the task outside the frontier. It reports the percentage of subjects in each experimental group providing a correct response in the experimental task.

Source: Dell'Acqua et al.: Navigating the Jagged Technological Frontier

The Jagged Frontier Explains Why the Frontier Models Will Focus Their Application Offerings on Coding, General Knowledge-Work, and Content Generation

Given the Jagged Frontier explains how there are tasks that sit outside of a LLM's capabilities, it becomes clearer where the frontier models will focus their application efforts. The labs have chosen tasks that sit reliably within the frontier and stay inside as the model scales: **1) Coding, 2) General knowledge-work (summarization, drafting, ideation), and 3) Content generation.** There are two key reasons why this is the case.

First, the training data densely covers these tasks. Code, prose, and images are the three things humans have produced at massive scale in machine-readable form and put on the public internet. **Second, these tasks have verifiable or near-verifiable correctness.** Code can be run; it either compiles and passes tests or it does not. That gives an objective reward signal, which means reinforcement learning can grind the model against a ground truth at scale. Writing and images are softer but still have abundant human-preference signal that is cheap to collect. These two reasons also conversely explain why enterprise workflows are harder to automate just with raw intelligence as there are no ground truths, processes are not documented, and judgement is subjective.

Recent AI Services Joint Ventures Prove Raw Model Intelligence Cannot Solve Enterprise Workflows on its Own

Over the past few weeks, we have seen the model labs strike joint ventures with investment firms to create AI services companies. Model engineers will sit down with businesses like a healthcare services group to build tools that fit into the current workflows of clinicians. This requires the messy and expensive work of understanding undocumented processes and **validates that the last mile of enterprise AI deployment is a services/software problem, not a model problem.** Ultimately, this is constructive for software companies with deep domain expertise that own complex, regulated, multi-step workflows with proprietary data flywheels and clarifies the competitive threat is most acute for software companies with simple, well-documented tasks.

Domain-Specific Expertise Matters Most at the Workflow

Layer Instead of at the Model Layer

As seen with the Jagged Frontier, despite their raw academic intelligence, LLMs on their own fail at tasks outside the frontier. As such, they need to be augmented with domain-specific context and data to properly address these harder knowledge-work tasks, especially in specialized domains where nuance and accuracy are non-negotiable (healthcare, legal, finance and accounting, etc.).

The value of domain-specific context and data is minimal when only applied at the model training layer. One case study is BloombergGPT, which was a 50 billion parameter LLM trained on 710 billion tokens of data. 51% of these tokens were proprietary data to Bloomberg while the rest came from standard public sources. [Research from Queen's University](#) found that a general-purpose LLM actually outperformed BloombergGPT on most financial tasks despite Bloomberg's data advantage. The key lessons here are: **1) Scale dominated specialization** as [Rich Sutton's 'The Bitter Lesson'](#) played out given the large training compute gap (710 billion vs. 13 trillion tokens); **2) The value of proprietary data is lost if it is only applied into pre-training.** Bloomberg poured its proprietary data into the model weights during pre-training instead of using it at inference time via retrieval. The value of the data comes in when it is well-served by being retrieved on demand and provided in-context to a frontier model.

Domain-specific data and context provide the most value when they are applied at the retrieval / workflow layer. This workflow layer consists of four components: **1) Retrieval and grounding** - proprietary data accessed at inference time through retrieval-augmented generation (RAG); **2) Governance control plane** - guardrails, structured outputs, deterministic checkpoints, human-in-the-loop where the frontier is unreliable, model orchestration; **3) Verification and evals** - knowing which subtasks the model handles and which it fumbles, in the specific domain, and routed accordingly, **4) Distribution and integration** - being embedded in the system of record where the work actually happens.

This is why the real value from the AI tech stack comes from developing the right **Scaffold** and **Harness** around the LLM. The Scaffold is the static set-up that contains governing system prompts and tool descriptions that tell the model how to behave before a user sends a message or command. The Harness is the execution engine that wraps around the model and scaffolding that determines when to call a LLM, what tools to route to, manage memory, and deciding when a task is complete. The workflow layer has to embed the proper Scaffold and Harness for a given use case.

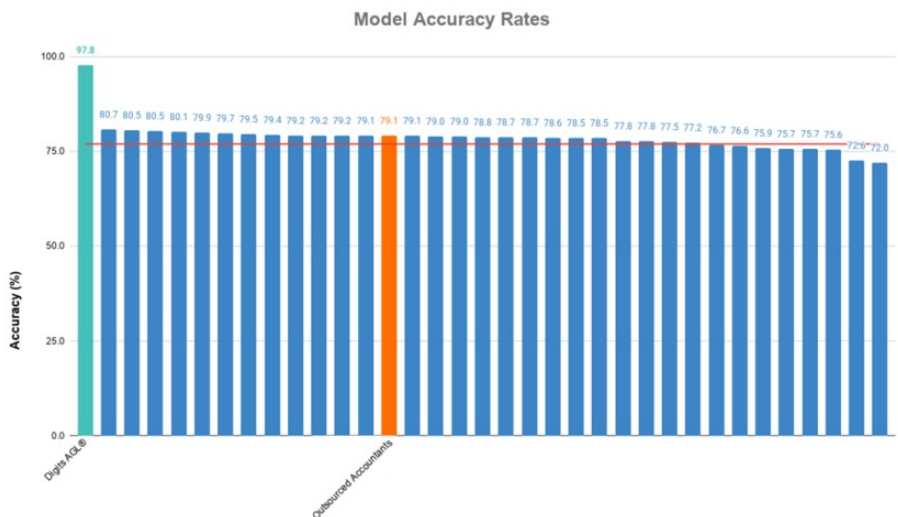
There are multiple case studies that support this view:

- [Researchers found](#) how generic RAG based on a LLM failed to answer 81% of questions derived from SEC financial filings. But when they added a fine-tuned embedding model plus reasoning iterations on top of RAG, performance approached human-expert quality, with relatively greater gains attributable to fine-tuned embedding models (i.e., the retrieval layer, not the LLM).
- Harvey, the legal AI startup, is built on frontier models with a domain-built scaffolding layer on top. Harvey decomposes complex multi-step workflows and agents into component steps that can be evaluated separately, which is exemplified in their RAG implementation for question-answering over large document corpora, where they separately evaluate query rewriting, document

retrieval, answer generation, and citation creation. The value is being created at every layer except the base model itself.

- Digits, the accounting AI startup, has built a proprietary machine-learning system that not only leverages models hosted and trained in-house but also a workflow layer that prevents hallucinations in accounting tasks. This allows them to have 97.8% accuracy in accounting tasks with the next closest model at 80.7% as the frontier model capabilities have plateaued.

Exhibit 45: Frontier Model Accuracy Rates Have Plateaued in Industries Like Accounting



Source: Digits

Agents Are Driving Consumption of Infrastructure Software

Much of the debate on how software is impacted by AI centers on how well positioned different parts of the software stack are for the era of agentic computing. A more simplistic framework argues that if software companies build the capabilities that agents are likely to consume in large quantities, those companies are likely to see a tailwind to their businesses. Using this perspective, we think many segments within infrastructure software are likely to see significant growth opportunities as a result of AI. This tailwind arises in part because pricing models in infrastructure software lean heavily towards consumption versus seat-based pricing.

For example, the rise of natural language processing (NLP) to query data **should democratize analytics** to a much wider population of the employee base (as well as agents) than previously possible **resulting in significant growth for analytical database engines such as Snowflake, Databricks and Microsoft Fabric**. Similarly, we anticipate **robust consumption of OLTP databases such as Oracle, MongoDB and increasingly Snowflake and Databricks** as these databases will power real-time transactions, long-term memory for the coming wave of custom-built, agentic applications.

Similarly, the proliferation of agents that access key business systems, request data from core operational databases, call external tools and that interact with end customers **likely makes Observability a foundational capability of the agent stack benefitting players**

such as **Datadog and Dynatrace** as enterprises look to monitor and track agent activity for performance, cost, auditability and compliance reasons.

Furthermore, complex **workflow automation and business process orchestration solutions such as ServiceNow, Atlassian and Appian should benefit from the cycle** on two fronts. First, these players are well-positioned to further automate and digitize existing, cross-departmental processes by deploying agentic AI in conjunction with deterministic automation technologies. Second, as agentic applications get deployed across the enterprise, these solutions will be necessary to integrate these new agentic apps with existing application real-estate as new business process and workflows emerge. The caveat is that the majority of workflow/business orchestration players currently generate most of their revenue from seat-based pricing and are still in the relatively early stages of transitioning to hybrid pricing models (per seat + consumption)

Lastly, the surge in popularity of coding agents means that the volume of software that will be created going forward will dwarf the amount developed over the past few decades. This creates **significant opportunities (as well as some risks) for software development lifecycle providers such as Atlassian, Gitlab and JFrog** as software needs to be stored, managed, reviewed, tested and secured at a scale that has not been contemplated until AI-powered software development became a reality in recent years. Similar to the workflow orchestration / business process automation market, pricing for most software development lifecycle players is pre-dominantly per developer/engineer which means they are not monetizing the robust growth in usage within their platforms. Consequently, pricing will also have to evolve to a hybrid model combining both per user and consumption-based pricing.

Domain Expertise, Data and Runtime Nature of Analysis Key to Cybersecurity Moat

The cybersecurity landscape can broadly be segmented into three categories: (1) preventative, (2) control point / perimeter, and (3) runtime. **Preventative security** focuses on identifying and mitigating vulnerabilities prior to deployment, including areas such as vulnerability management, application security testing, and cloud posture/configuration management. **Control point** (or perimeter) security governs access at the network and identity layer, determining who and what is allowed into a system, and includes solutions such as firewalls, zero trust network access, and identity security. **Runtime security**, by contrast, operates during execution, detecting and stopping threats in real time through solutions such as endpoint detection and response (EDR), extended detection & response (XDR), and Security Orchestration, Automation, and Response (SOAR). **We believe AI-native security models are most likely to disrupt the preventative layer, where analysis can be performed asynchronously and where latency is less critical. By contrast, control point and especially runtime security require low-latency, deterministic responses, making them less compatible with today's probabilistic AI models.** This does not preclude incumbents from incorporating AI, especially given their proprietary data and domain expertise, but it does suggest that the pace and degree of disruption will vary meaningfully across the cyber space.

Exhibit 46: Prevent Categories Most At Risk to AI-Natives, but Only ~10% of Market

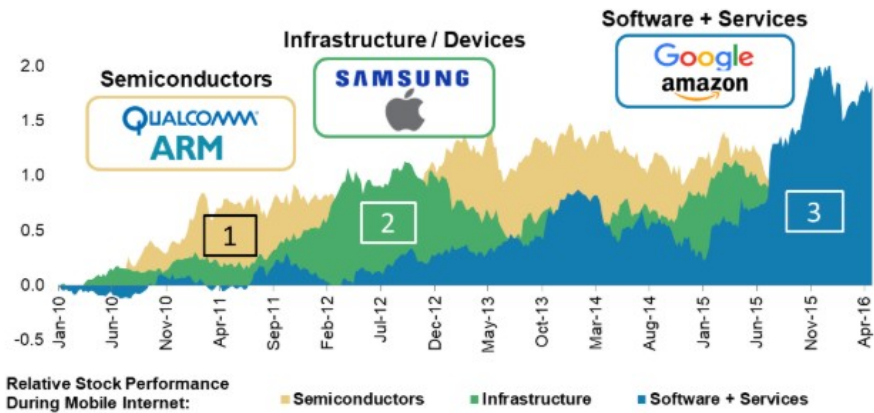
Security Markets		
PREVENT Before Execution (Posture Management, Configuration)	CONTROL POINT At Entry (Network, Identity)	DETECT & STOP Runtime (During Execution)
~10% of TAM	~50% of TAM	~40% of TAM
- Vulnerability Management (VM) - Application Security Testing (AST) - Cloud Security Posture Management (CSPM) - Cloud Infrastructure Entitlements Management (CIEM) - Data Security Posture Management (DSPM)	- Firewalls, Web Access Firewalls (WAF) - Email security - Zero Trust Network Access (ZTNA) - Secure Web Gateways - Identity Access Management (IAM) - Privileged Access Management (PAM) - Data Loss Prevention (DLP) - Cloud Access Security Brokers (CASB)	- Endpoint Detection and Response (EDR) - Extended Detection and Response (XDR) / SIEM - Cloud Workload Protection Platform (CWPP) - Behavior Analytics - Security Orchestration, Automation, and Response (SOAR) - Network Detection and Response (NDR) - Managed Detection and Response (MDR)
Disruption Risk		

Source: Morgan Stanley Research estimates.

Value Starting to Accrue to Infrastructure and Security, But Will Eventually Make Its Way to the Application Layer

While most of the AI dollars to date have accumulated in the semiconductor and hardware layers, we expect this cycle to progress similarly to the mobile internet cycle where stock returns and value eventually accrued to software. We are already starting to see infrastructure and security software accrue some early AI value, but with time, we expect value accrual to ultimately diffuse out towards the application layer.

Exhibit 47: Value Accretion Timeline During the Mobile Internet Innovation Cycle



Source: Morgan Stanley Research

Debate #2: Is Going Headless Inevitable Or Will There Be Closed Ecosystems Too?

In this debate, we explore the two primary approaches emerging in the market as Application Software vendors adapt their infrastructure for an agentic world. This is more of a theoretical debate as there are limited data points on how successful or not some of these approaches are to date given they are still in their infancy. We leverage two major case studies in the space: Salesforce and SAP.

Market View: In an agentic world, user interfaces disappear and agents run by the frontier labs will be the ones orchestrating work processes across organizations. This means application vendors get relegated to 'dumb databases' that the agents access, meaning the value of application vendors diminishes, especially for those that had relied on their user interface as a key part of their value proposition. Since the frontier labs will own the orchestration layer, application vendors need to become 'headless' and prioritize their APIs so agents can leverage their data. Otherwise, vendors that resist will get replaced by vendors that do prioritize their APIs and make the infrastructure as seamless for agents as possible. Even if vendors transition to being 'headless', they likely are not able to accrue as much value as agents do that sit on top of these 'dumb databases'.

MS View: We agree that the proliferation of agents threatens companies that had primarily relied on their user interface as their moat and that APIs / tailoring infrastructure to agent users will become more important and critical to staying power. However, we do not think every vendor needs to go down the 'headless' path. There will be open and closed ecosystems, in different parts of the stack, for the same reason. Headless is close to inevitable for vendors whose moat was the user interface or do not have deep proprietary data while vendors sitting on regulated, high-gravity data can afford to stay relatively closed and will. The result is a stack that opens at the front and consolidates into governed ecosystems at the back. Both likely accrue value, but the closed ecosystems likely have more of a right to own the agent orchestration layer, especially at organizations that have already standardized a lot of their tech stack on these vendors.

Debate Relevant For: Application Software

What Does Going Headless Mean?

Going headless means decoupling the interaction layer from the system of record. Historically, a SaaS application was its user interface (UI) as users logged into a browser to do the work, and that interface was both the product and the moat. Headless means every capability is exposed as something an agent can call directly (REST API, MCP tool, CLI command), so the work happens without a human opening the app. Salesforce stated the logic bluntly with their [Headless 360 launch](#): "why should you ever log into Salesforce

again". They are separating what an agent does from how it renders, so output surfaces in Slack, Teams, or any MCP client.

What Are the Differing API Approaches? Salesforce vs. SAP

On the surface, the two approaches look identical as both place a mandatory, non-bypassable governance layer between agents and the system of record (Salesforce's Einstein Trust Layer; SAP's Agent Gateway). **The difference is which direction the gate faces.**

Salesforce points its gate outward, in service of reachability to maximize distribution and usage. The Trust Layer (PII masking, permission checks, security) is what lets it safely say "call us from anywhere." The Salesforce strategy is to become the substrate agents call from any surface, market neutrality. It opens because it must: the value of its UI is dissolving, so platform distribution is key.

SAP points its gate inward, in service of control. Its API policy does not block third-party agents but channels them by routing agentic traffic through purpose-built APIs via the Agent2Agent Protocol (A2A) through the Agent Gateway and MCP through Integration Suite, rather than exposing raw endpoints. The gate is asymmetric: SAP gives its own Joule agents the richer MCP + knowledge graph path while routing third-party agents through the more constrained A2A door. SAP's strategy aims to maintain data and workflow gravity on Joule. SAP gates because it can: durability lets it gate from a position of strength.

So the API contrast is not open-vs-closed; it is outward-distribution (Salesforce, neutral substrate) versus inward-control (SAP, privileged own-agent).

Exhibit 48: Salesforce Headless 360

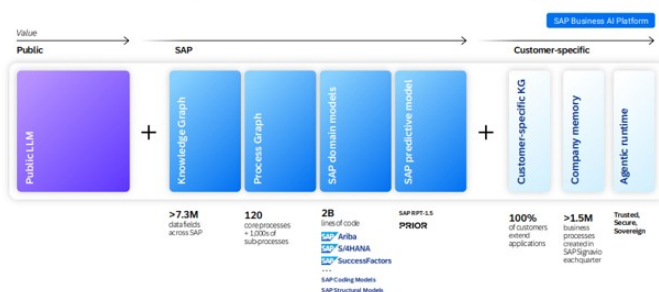


Source: Salesforce TDX 2026 Presentation

Exhibit 49: SAP Business AI Layers

Beyond generic models

SAP Business AI layers process, domain, and customer context on top of public LLMs



Source: SAP Investor Day 2026

Data Gravity Likely Determines a Vendor's API Strategy

The real determinant of API posture is data gravity / how mission-critical, regulated, and hard-to-reconstruct the underlying data is, combined with consequence asymmetry. The heavier the gravity, the more a vendor can afford to gate, because nothing can route around the system where the data actually lives, and the governance requirement on that data is technically necessary.

The consequence asymmetry is what makes this concrete. A hallucinated CRM lead costs a

follow-up email to a contact who doesn't exist; a hallucinated journal entry costs a restatement, a qualified audit opinion, and a CFO's personal certification under SOX. That asymmetry is why AI was sequenced into the enterprise the way it was: coding and service first (low stakes, contained downside), then sales / go-to-market, with supply chain and finance last and hardest. It also explains why back-office vendors can keep a governed door without losing relevance: the trust bar is so high that the gate is a feature buyers demand, not a barrier they resent.

This reframes the "open vs. closed" debate into the variable that actually predicts defensibility: who owns the governed chokepoint agents must transact through, and is that chokepoint durable (high-gravity data, real governance need) or erodible (limited data, no real gate). Vendors with deep data gravity (SAP's ERP system of record) can gate from strength. Vendors with limited data and no governed gate (business intelligence / analytics tools) get disintermediated as an LLM simply routes around them, and they become commodity plumbing.

Front-Office & Productivity Vendors Likely Push Into Headless While Back-Office Consolidates Into Closed Ecosystems

Front-office (sales, go-to-market, service) and productivity vendors are most agent-exposed as their workflows are what agents automate first, and a meaningful part of their moat was the interface, so they likely have little choice but to go headless and proliferate themselves.

Back-office vendors (ERP, finance, supply chain, HCM) sit on high-gravity, regulated data with high switching costs and can consolidate into governed, semi-closed ecosystems and only opening just enough for interoperability while also expanding their surface area into the orchestration layer.

Net: headless is inevitable where the UI was a meaningful part of the moat; governed/consolidated ecosystems persist where data gravity makes the gate both defensible and necessary. The stack opens at the front and consolidates at the back.

Both Approaches Likely Accrue Value, But Closed Ecosystems Can Also Capture the Orchestration Opportunity

In this debate, we see two buckets where value accrues: **1) System of record with deep proprietary data and business context** and **2) Orchestration layer that imbeds models into proprietary logic**. The system of record still has a right to accrue value because of its proprietary data and with agents likely able to do more work than humans can, those agents will be accessing the data within systems of record much more frequently. We believe this increase in access means systems of record will be able to accrue more value as more work gets automated. However, this might require a digestion period as the pricing model will be different from the traditional seat-based model. The orchestration layer accrues value because it is tailored to each organization's specific processes and workflows. The proprietary logic that an orchestration layer has means that agents can be routed to the right data sources and applications that are relevant for a specific workflow.

SAP's inward-facing, Joule-centric strategy is a deliberate bid to own both layers at once -

be the system of record and the orchestrator that sits on top of it, with third-party agents routed through a controlled door. The consequence-asymmetry point reinforces it: the data is mission-critical and regulated, the workflow complexity is high, and a hallucinated output has career-ending consequences. That durability is what lets SAP's tollbooth be technically necessary rather than contractually imposed - the most defensible form of value capture.

Salesforce also owns a deep system of record, so it's not disadvantaged on bucket one. Where it diverges is bucket two: rather than capturing orchestration by keeping everything inside its own gravity, it bets on being the substrate that every external orchestrator calls - maximizing reach across surfaces rather than maximizing capture within its own. That being said, Salesforce is making the bet that Slack becomes one of the few remaining user interfaces for human workers and can become more of an agent orchestrator across multiple applications. At organizations that have standardized their existing tech stack onto Salesforce, there is likely more of a right for Salesforce to own some of the value in the orchestration layer.

Debate #3: Evolution of Software Pricing - Can Software Vendors Effectively Capture Value Outside of Seats?

In this debate, we explore whether AI forces software pricing to evolve beyond seats as the unit of value shifts from users provisioned to work performed. Related, we assess the degree to which this transition expands the potential monetization opportunity for Software vendors, while raising execution risk around packaging, customer budget predictability, sales motions, disclosures, and the durability of traditional SaaS revenue models. Seat-based SaaS vendors are most exposed here given the need to execute through pricing / business model transformations.

Market View: AI labs and AI-native start-ups compress the cost of building software, move up the stack into workflow automation, and make previously differentiated application functionality easier to replicate. If code generation lowers the marginal cost of product development, then features commoditize faster, bespoke workflows become cheaper to build, and switching costs tied to UI familiarity, implementation friction, and workflow lock-in begin to erode. In that scenario, incumbent software vendors may still own important systems of record, but they risk losing the user-facing control point, and thus, the pricing power, to agents, model providers, or AI-native applications. At the same time, investors fear that AI efficiency threatens the traditional SaaS model which has historically scaled with headcount (more employees = more users, more seats, more modules, and more expansion dollars). As the human seat becomes a weaker proxy for value, installed bases become more vulnerable.

MS View: Evolving Software pricing models is not a new debate. Customers and vendors have long negotiated around value delivered, workflow criticality, switching costs, and bargaining power. GenAI may change the unit of value creation, but it does not repeal software economics – vendors that own mission-critical workflows and deliver measurable ROI should still have pricing power. As AI products scale, we expect the market to move toward a hybrid seat-plus-consumption model for traditional seat-based software companies, while vendors already built around pure consumption should have a cleaner path to capturing AI-driven upside near-term. The transition will take time, particularly for application SaaS, and carries two key implications: 1) management teams will need to provide new, relevant disclosures so investors can better underwrite the shift; and 2) a rising mix of consumption-based revenue likely drives increasing cyclicality in parts of software.

Debate Most Relevant For: Seat-Based Software

Beneficiaries: SNOW, DDOG, MDB, NET, FROG, SHOP, TOST, KVYO, AMPL

Challenged: CRM, ADBE, TEAM, GTLB, ZS, Systems of Record, Point Solutions / Vendors with Lower Historical Pricing Power

Pricing Model Transitions are Not New in Software...

At the center of the current debate surrounding AI pricing is a fundamental observation in that the economic value of software has never resided solely in the transfer of code. Software creates value by automating, standardizing, and scaling business processes, and historically, each major pricing transition in the industry has moved vendor monetization closer to the underlying process being automated – and, by extension, closer to the true unit of customer value delivered.

This evolution has its origins in enterprise computing, where software was initially bundled with hardware. IBM's decision to unbundle software and hardware represented a structural inflection, establishing software as an independent source of economic value and reorienting monetization away from the physical machine toward the software layer itself. The subsequent adoption of on-premise perpetual licensing further enhanced vendor economics as large upfront license payments facilitated deep enterprise deployment, substantial switching costs, and generated durable maintenance revenue streams. That model, however, primarily monetized software deployment rather than process volume or ongoing value creation, leaving incremental revenue growth largely contingent on contract renewals, version upgrades, or the adoption of additional modules. Maintenance revenue served as an intermediate step between perpetual licensing and the modern recurring revenue paradigm. Customers effectively paid for continuity (ongoing support, software updates, and vendor stewardship of mission-critical operating processes.) The transition to SaaS then improved alignment further by monetizing continuous access rather than discrete deployment events, more closely matching customer consumption patterns with the cadence of product innovation and vendor delivery. Within the SaaS construct, per-seat pricing emerged as a powerful proxy for value capture, with vendor revenue scaling alongside user adoption, organizational penetration, and the breadth of workflows addressed. However, seat pricing remains an inherently imperfect proxy as it measures the number of users with access to a system, not the intensity of utilization. These limitations are rendered more acute in an AI-native software environment, where software increasingly performs work directly, rather than enabling human users to do so.

As such, we believe AI-driven pricing transitions should be understood not as a discontinuous break from software history, but as the continuation of a long-running progression toward tighter alignment between vendor monetization and customer value creation. Across successive eras, software pricing has evolved from monetizing infrastructure, to deployment, to access, to adoption. Artificial intelligence creates the conditions for the next logical step in that progression: monetization structured around work performed, outcomes delivered, and value demonstrably realized.

Exhibit 50: Evolution of Software Pricing - Moving Closer to the Unit of Value Delivered

Software Era	Primary Pricing Model	Effective Monetization Unit	Core Limitation
Hardware-bundled software	Included with machine	Compute system purchase	Software value not separately captured
Perpetual license	Upfront license	Right to use software	Poor link to ongoing value and usage
Maintenance	Annual Support Fee	Business criticality & continuity	Still tied to original license base
SaaS subscription	Per seat / per module	Access, headcount	Seat is only a proxy for value
PLG / Freemium	Free to paid conversion	Bottom up workflow adoption	Monetization delayed until reaching meaningful scale / need for enterprise controls
Usage-based	Consumption	Process volume / workload	More volatile / budget predictability issues
AI / Agentic	Hybrid seats + consumption / outcomes	Work performed by software	Proof of value / ROI needed to unlock meaningful budget

Source: Morgan Stanley Research

... and Pricing Power Has Always been Somewhat Relative

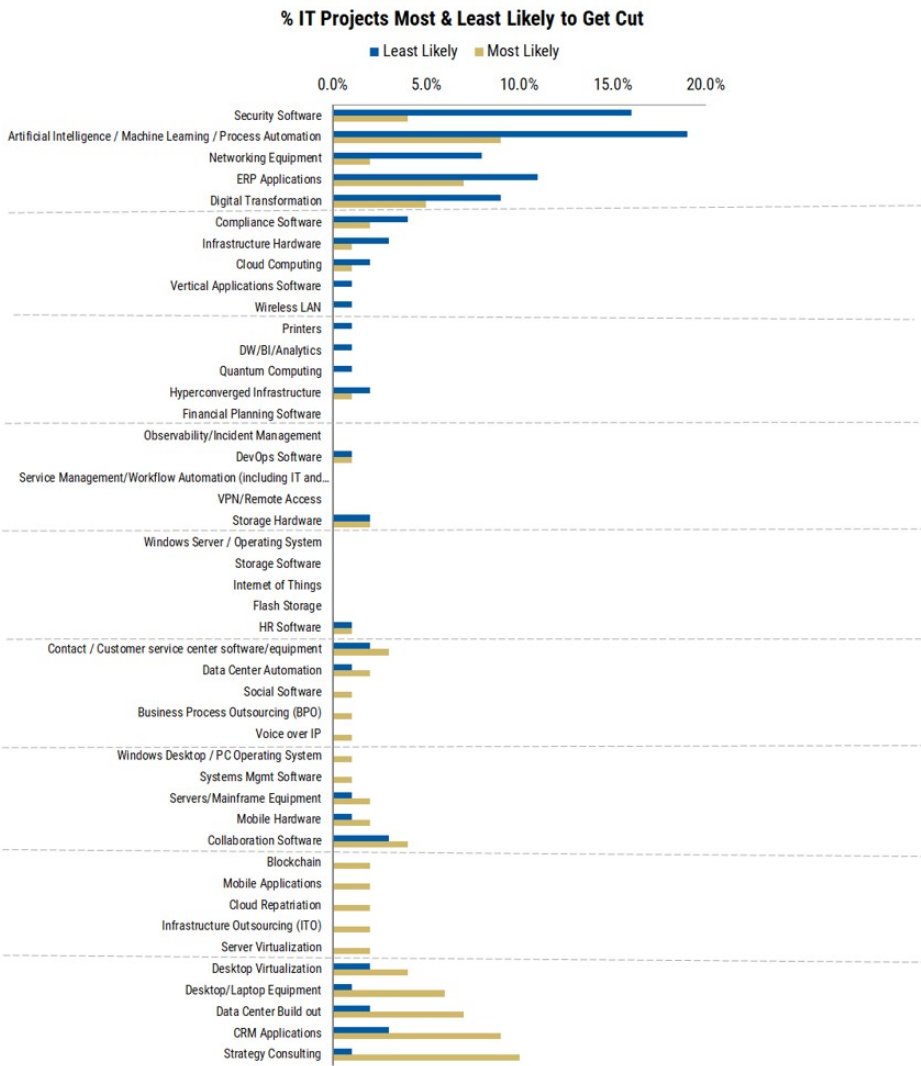
While AI has intensified investor scrutiny around software pricing power, we believe the debate should be framed in relative rather than absolute terms. We would argue that pricing power has never been uniformly distributed across the Software landscape – certain categories have historically sustained durable monetization through workflow depth, system criticality, proprietary data, and switching costs, while others have been more exposed to commoditization and price compression. We believe public cloud infrastructure is a useful analogue here as compute and storage have experienced repeated pricing deflation as scale economies and competitive intensity were passed through to customers.

In assessing relative pricing power, we view several elements of our moat scorecard as particularly relevant. **The first is proximity to workflow control and systems of record.** Vendors with the strongest pricing power are typically embedded in the operating fabric of the enterprise and extend well beyond point-solution functionality. This includes core platforms across ERP, CRM, HCM, payroll, finance, security, and vertical software categories with strong data gravity, regulatory relevance, or network effects. In short, if removing a product would disrupt a critical business process, require broad organizational retraining, or introduce compliance risk, the vendor should retain meaningful pricing power even as AI increases competitive pressure at the feature layer. **Second, as concluded in [Debate #1: Where Does AI Value Accrue?](#), we believe differentiation is more likely to accrue at the workflow layer than at the model layer – thus, vendors that own proprietary data, permission capabilities / structures, process logic, and domain-specific context should be better positioned to monetize AI-enabled capabilities than vendors focused on simpler, horizontal workflows.** In our view, AI is therefore unlikely to compress pricing power evenly across Software. Rather, it should widen the gap between deeply embedded systems of control and more substitutable point solutions.

Our CIO Survey work broadly supports this distinction, as CIOs continue to rank point-solution-oriented categories near the bottom of the defensibility spectrum, including collaboration, social software, and certain front-office applications such as lightweight marketing, creative, and CRM-adjacent workflows. By contrast, security, ERP, compliance, and vertical applications rank closer to the top ([Exhibit 51](#)). This reinforces our view that pricing power should remain strongest where software is mission-critical, deeply

embedded, data-rich, and difficult to replace, and weakest where functionality is horizontal, workflow ownership is limited, and AI can more easily replicate or repackage the core capability.

Exhibit 51: CIO Survey 'Defensibility' Rankings Underscores Software Niches with More / Less Historical Pricing Power



Source: Alphawise, Morgan Stanley Research

Exhibit 52: Vendor Pricing Power as Indicated from Proprietary 'Moat & Journey' Analysis

Relative Pricing Power across Software Coverage				
1	2	3	4	5
RNG	NET	PANW	NOW	MSFT
CMRC	SNOW	CRWD	TOST	PLTR
GTM	DDOG	SHOP	TTAN	SAP
DCBO	MDB	NAVN	CCC	TEAM
COUR	DT	CRM	INTU	ORCL
	TWLO	DOCN	ADSK	NTNX
	OKTA	IOT	MANH	
	CRWV	FIG	WDAY	
	VIA	DSGX	VERX	
	NBIS	SAIL	LZ	
	BOX	HUBS		
	ZM	FROG		
	AKAM	KVYO		
	S	APPN		
	BL	ADBE		
	PATH	NICE		
	ZS	ESTC		
	AI	DOCU		
	BILL	GTLB		
	FTNT	ZETA		
	NTSK	MNDY		
	WIX	FIVN		
	ASAN	VRNS		
	CHKP	SABR		
	GDDY	AMPL		
	TENB	GEN		
	LSPD			
	PD			
	FRSH			
	SPSC			
	CXM			
	QLYS			
	SPT			
	RPD			

Source: Morgan Stanley Research

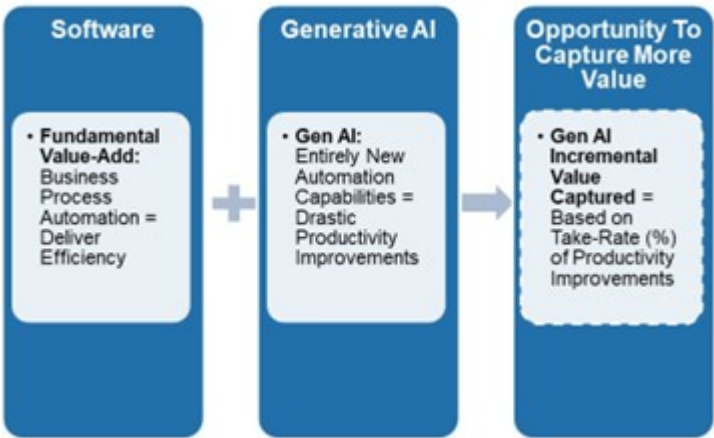
Ability to Price Maps to Value Delivered - Proxy for Value Changing as GenAI Automates Digital Labor

In traditional SaaS, seat count served as a reasonable proxy for value because software applications primarily functioned as productivity tools for human users. Under that model, incremental users generally implied incremental utility, deeper workflow penetration, and

greater enterprise value. GenAI alters this relationship – as software increasingly performs, compresses, or coordinates business processes directly, value creation becomes less dependent on human seat growth and more closely tied to work executed, workflows automated, and outcomes delivered. This shift may create pressure on traditional per-seat monetization, but it importantly **expands** the long-term scope of software value capture. As AI-enabled applications evolve from assisting labor to performing digital labor, vendors should have greater ability to price based on consumption, workflow volume, transaction intensity, or measurable outcomes. Underscoring this debate is the idea that Software vendors are no longer limited to capturing IT budget – they can increasingly compete for portions of labor, business-process outsourcing, and services spend.

Through this lens, the TAM impact of GenAI is best understood as a budget reclassification, not merely an acceleration of existing software spend. Gartner forecasts 2026 global software spending of approximately \$1.44 trillion and IT services spending of approximately \$1.87 trillion. However, AI-enabled software increasingly addresses work historically funded through labor and services budgets rather than through traditional IT categories. Using World Bank 2024 global GDP of approximately \$111 trillion and the ILO estimate that labor income represents 52.4% of global GDP, the implied global labor-income pool is approximately \$58 trillion – roughly 40x the size of the traditional software market. We believe this illustrates the magnitude of the addressable budget opportunity for software vendors that can demonstrate clear augmentation or productivity value. If software vendors were to capture only 0.5% to 2.5% of global labor income, the resulting incremental TAM would range from approximately \$290 billion to \$1.45 trillion. Relative to Gartner’s 2026 software/services spending forecast, this would imply approximately 10% to 50% market expansion ([Exhibit 54](#)). Thus, even modest labor-budget substitution can create very large incremental software revenue pools, particularly for vendors capable of linking pricing directly to work performed and value realized.

Exhibit 53: Software Value Capture Framework



Source: Morgan Stanley Research

Exhibit 54: Labor / Services Sensitivity

Software Budget Expansion Opportunity as AI Digitizes Labor					
	Labor TAM				
Implied Global Labor Spend (\$T)	\$ 56.2	\$ 57.2	\$ 58.2	\$ 59.2	\$ 60.2
Software Capture of Labor TAM	Expanded Software Labor Value Capture (\$T)				
0.5%	\$ 0.28	\$ 0.29	\$ 0.29	\$ 0.30	\$ 0.30
1.0%	\$ 0.56	\$ 0.57	\$ 0.58	\$ 0.59	\$ 0.60
1.5%	\$ 0.84	\$ 0.86	\$ 0.87	\$ 0.89	\$ 0.90
2.0%	\$ 1.12	\$ 1.14	\$ 1.16	\$ 1.18	\$ 1.20
2.5%	\$ 1.40	\$ 1.43	\$ 1.45	\$ 1.48	\$ 1.50
	Upside to Traditional Software + Services TAM				
Bear	8.9%	9.1%	9.3%	9.4%	9.6%
	17.9%	18.2%	18.5%	18.8%	19.2%
Base	26.8%	27.3%	27.8%	28.3%	28.7%
	35.8%	36.4%	37.0%	37.7%	38.3%
Bull	44.7%	45.5%	46.3%	47.1%	47.9%

Source: World Bank, ILO, Gartner, Morgan Stanley Research

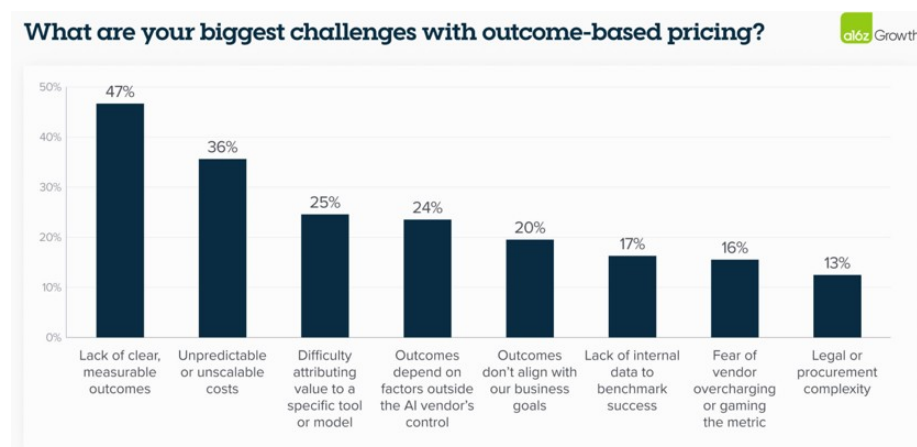
AI Pricing to Evolve Beyond Seats Toward Hybrid, Budget-Anchored Usage Models...

To monetize the expanding AI-driven addressable market, we expect leading software vendors to increasingly adopt hybrid pricing models that combine the revenue predictability of subscriptions with usage, capacity, or value-linked monetization. To that point, purely seat-based models appear to be less aligned with AI-native value creation, as agentic software can execute work, automate workflows, and generate customer value without a commensurate increase in human users. At the same time, we do not believe the answer is a broad shift toward fully open-ended consumption pricing. As discussed in [Debate #5: 'Tokenomics': Should Software Vendors Brace for an AI Optimization Cycle?](#), enterprise customers do not have unlimited budgets, and procurement teams will likely remain focused on cost predictability, budget control, and clear economic justification. Consistent with this, most software incumbents are not pricing AI through uncapped consumption models today – rather, they are generally moving toward capacity bundles, credit-based entitlements, drawdown contracts, committed spend arrangements, or flex-style constructs that allow usage to scale while still anchoring spend to an agreed economic envelope. For example, ServiceNow's hybrid pricing model combines the predictability of seat-based licensing with the flexibility of usage-based scalability. Through Now Assist entitlements, ServiceNow customers receive a defined allocation of "Assists" to consumer over time, improving visibility from both a usage and budget perspective.

In addition, as discussed in [Debate #4: Do Software Gross Margins Move Structurally Lower?](#), vendors that price AI primarily through seat-based entitlements risk absorbing disproportionate cost variability should usage scale faster than monetization. Conversely,

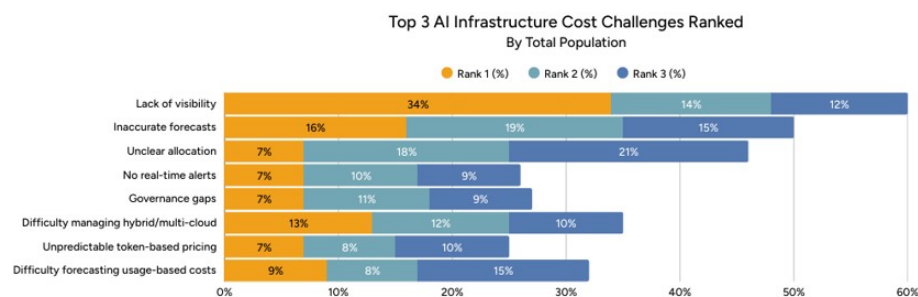
vendors that rely too heavily on unbounded consumption pricing may face increased customer pushback if spend becomes volatile or difficult to forecast. To this point, we do not expect a wholesale shift to pure outcome-based pricing – while conceptually attractive, outcome-based pricing remains difficult to operationalize in enterprise software given challenges around outcome definition, attribution of value, cost predictability, and buyer willingness to share economics with vendors ([Exhibit 55](#) & [Exhibit 56](#)). Therefore, the most practical pricing construct is likely to be hybrid. Under this model, vendors retain a recurring subscription layer that monetizes platform access, workflow infrastructure, security, governance, compliance, and organizational adoption. They then layer on incremental monetization tied to measurable AI activity, such as capacity consumed, credits drawn down, actions executed, workflows completed, transactions processed, or, in more limited cases, outcomes achieved. This structure should allow vendors to better align revenue capture with customer value creation while preserving the budget predictability required by enterprise buyers.

Exhibit 55: Lack of Clear ROI & Predictability Remain Challenges in Outcome Based Pricing...



Source: a16z CIO Survey

Exhibit 56: ... as Well as Difficulty With Forecasting / Visibility into Future Spend



Source: Mavrik + Benchmarkit | State of AI Cost Governance

... Though Consumption - Centric Pricing Likely Depends on Both Elasticity and Measurability

That said, we do not expect consumption-centric pricing to diffuse uniformly across the SaaS stack. In our view, adoption should be governed by two structural variables – workflow elasticity and value measurability. Consumption- or outcome-based models are

most compelling where incremental software usage has a clear and observable relationship to incremental economic value, and where customers are willing to allow spend to scale because the application is directly increasing revenue, reducing cost, or expanding operational capacity. This is most applicable in workflows that are high-frequency, discrete, and measurable. Examples include customer support resolutions, sales development activity, marketing messages, payment transactions, infrastructure usage, and data processing. In these categories, the unit of consumption can typically be mapped to a recognizable business metric, making the pricing model easier to justify, forecast, and govern. By contrast, pure consumption pricing is likely to be less effective in SaaS categories where value is more diffuse, attribution is more complex, or demand is less elastic. Core systems of record, including HCM, ERP, financials, planning, compliance, and collaboration, often create value through control, data integrity, governance, workflow standardization, and organizational adoption rather than through easily isolated units of output. In these markets, customers may be likely to prefer a subscription or platform-fee anchor, supplemented by bounded AI credits, usage tiers, or committed consumption bands, rather than fully open-ended metered pricing.

As a result, pricing architectures are likely to stratify rather than converge around a single AI monetization model. Categories with high workflow elasticity and high value measurability should be better positioned to support more aggressive consumption- or outcome-based pricing. Categories with lower elasticity or less observable value attribution are more likely to retain subscription, seat, or platform-based constructs, with AI monetized through committed credits or predefined usage bands, at least over the near term.

Transition Likely to Be Bumpy – Acknowledging Execution Risk Amidst Meaningful GTM Changes

The migration from subscription-centric SaaS monetization toward hybrid subscription-plus-consumption models is unlikely to be linear. In the legacy SaaS framework, the revenue equation was comparatively deterministic – billable seats multiplied by ASP, with expansion driven by incremental users, module attach, tier migration, and renewal uplift. Agentic AI changes this equation as vendors must now activate AI use cases, establish measurable task-level ROI, build customer confidence in variable usage-based spend, and then convert early experimentation into recurring consumption revenue. In our view, this creates a commercialization J-curve where the long-term revenue opportunity may be larger if vendors can monetize work performed rather than users provisioned, but the transition period can be operationally disruptive if AI-driven productivity pressures incremental seat expansion before consumption revenue has scaled sufficiently to offset the headwind. Moreover, a potentially more underappreciated risk is the required re-architecture of go-to-market motions surrounding AI monetization. AI products being increasingly sold as substitutes or complements for discrete business processes shifts the selling motion from feature demonstration toward proof-of-value, use-case design, workflow integration, governance review, and spend predictability. As a result, sales cycles may lengthen as customers test agents in their own environments, benchmark accuracy and ROI, and determine whether variable consumption fits within existing procurement and budget processes. Sales organizations also need to retrain around value-based selling, revise qualification criteria, adapt compensation and forecasting processes, and rely more

heavily on customer success resources to drive activation and usage. Therefore, the risk is that these changes temporarily depress sales productivity, net-new ARR formation, and bookings linearity even where the underlying product strategy is directionally correct.

We believe HubSpot's recent pricing and packaging changes well exemplify this dynamic (see [HubSpot, Inc.: 1Q26 Results – Short-Term Pain for Long-Term Gain](#)). After launching credit monetization for its Breeze Agents in customer service and prospecting in June 2025, the company moved to outcome-based pricing in April 2026 and paired the transition with 28-day free trials to demonstrate agent value earlier in the selling process. While a value-demonstration-led go-to-market motion is likely the appropriate strategy to maximize AI value capture over time, the company was candid in acknowledging potential disruption to net-new business as customers take time to test agents, define governance standards, and institutionalize new workflows. We would expect similar pricing experimentation across other traditional SaaS vendors as AI agents become a larger part of product roadmaps and as customers increasingly demand clearer linkage between spend and realized outcomes. Thus, an important implication for investors is that AI monetization is unlikely to simply be an incremental revenue layer on top of existing subscription models; in some cases, it may require a broader commercial transition that introduces near-term friction in bookings, sales productivity, revenue predictability, and net expansion. As a result, pricing and packaging changes associated with AI adoption should be monitored as a sector-wide execution risk, particularly for companies with historically seat-based monetization models.

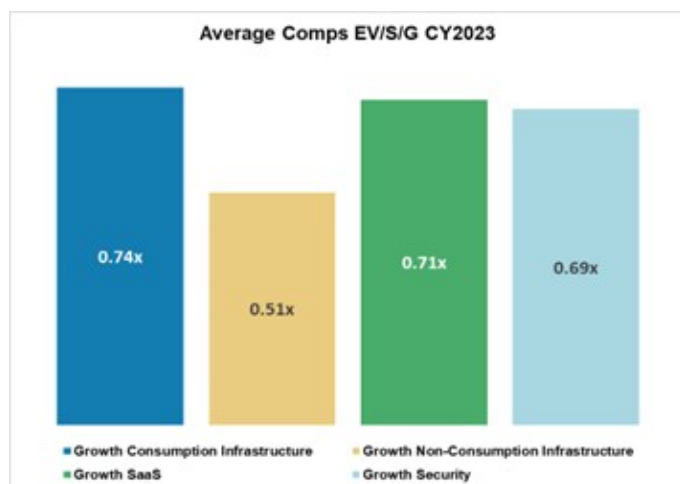
While Difficult to Call the Pace and Magnitude of Change, Expect Meaningful Implications: New Disclosure and Greater Cyclicity

While the pace and magnitude of the shift toward hybrid AI pricing remain admittedly difficult to time with specificity, we see two important implications for the industry that could start to impact stock performance in the near-term. **First, disclosure will need to evolve alongside the business model.** Prior software monetization transitions have typically brought new investor-facing metrics – the move from license/maintenance to SaaS elevated focus on ARR, billings, deferred revenue, RPO/cRPO, and gross and net retention as critical tools for assessing forward revenue visibility and customer expansion. Similarly, investors will need better visibility into metrics like AI-specific revenue mix, credit sales versus credit consumption, usage growth, and gross margin detail – importantly, more than the current attach / activation rates management teams have highlighted. Absent these metrics, it will remain difficult for investors to distinguish between healthy adoption, under-monetized usage, margin-dilutive consumption, and durable revenue expansion, adding pressure to multiples.

Second, the software industry is likely to become more cyclically sensitive as revenue mix shifts from subscriptions toward consumption. Traditional SaaS models amortize demand shocks over time – annual contracts, ratable revenue recognition, and renewal cycles spread the financial impact of both positive and negative changes in customer activity, thus, driving durability in revenue growth during macro downturns. Consumption models, by contrast, transmit demand changes more directly into reported revenue, as usage can expand or contract with macro conditions, customer budgets, business volumes, hiring, digital activity, and workload growth. Accordingly, and as concluded in [Software:](#)

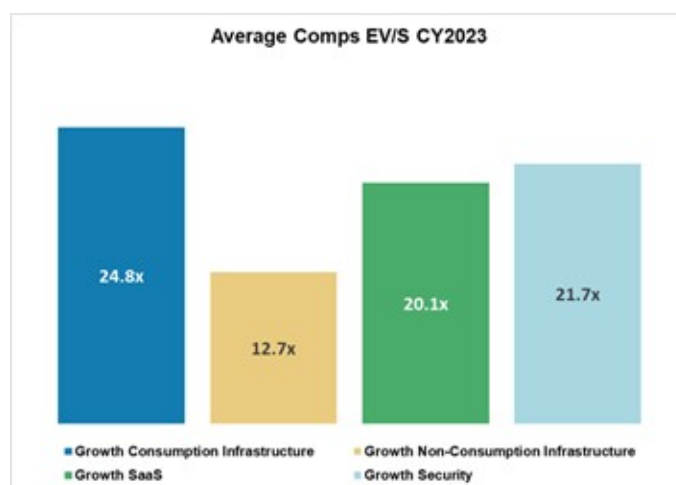
What's New in the 'New Stack'? The Rise of the Consumption Model, the valuation premium / discount of consumption relative to subscription model companies has historically been relatively cycle dependent – for example, at the peak of the zero-interest rate environment in late 2021, consumption models traded at a premium to SaaS on both absolute and growth adjusted EV / Sales multiples ([Exhibit 57](#) & [Exhibit 58](#)). Then, in May of 2022 as rate hike and recession fears began to permeate, SaaS multiples commanded a premium to consumption on a growth adjusted basis ([Exhibit 59](#) & [Exhibit 60](#)). Thus, AI-driven consumption pricing should improve long-term value capture, but as it increases in mix, we could see moderation in the historical defensiveness of SaaS revenue streams, making fundamentals and valuation multiples more responsive to macro cycles.

Exhibit 57: Growth Adjusted Valuation Multiples as of November 2021



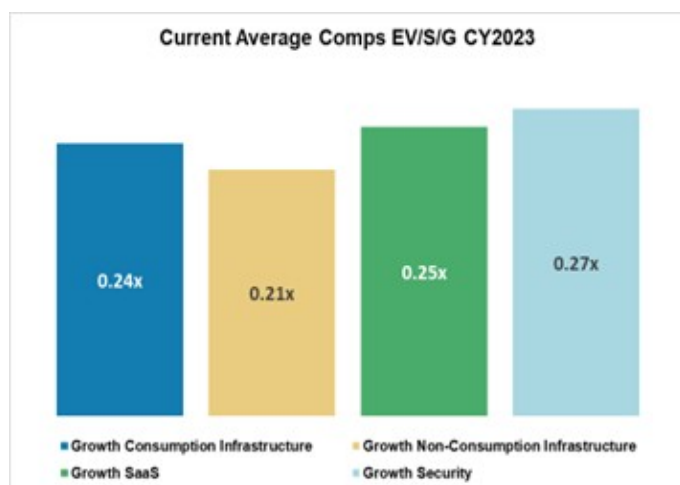
Source: Morgan Stanley Research

Exhibit 58: Absolute Valuation Multiples as of November 2021



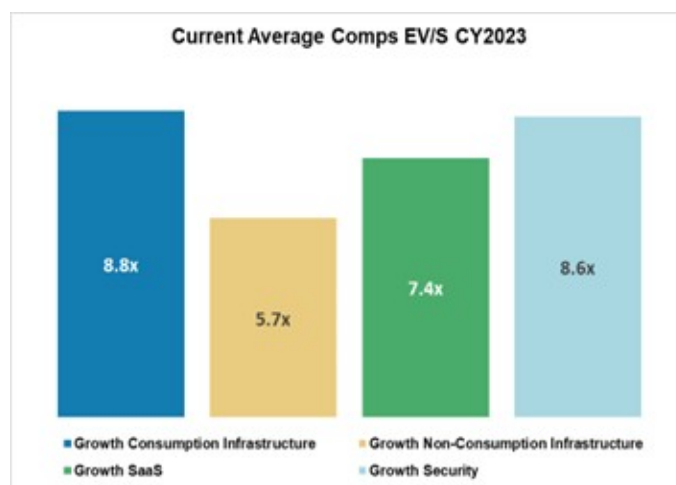
Source: Morgan Stanley Research

Exhibit 59: Growth Adjusted Valuation Multiples as of May 2022



Source: Morgan Stanley Research

Exhibit 60: Absolute Valuation Multiples as of May 2022



Source: Morgan Stanley Research

Debate #4: Do Software Gross Margins Move Structurally Lower?

AI is forcing investors to revisit one of software's core assumptions in that incremental revenue carries near-zero marginal cost. In this debate, we explore the directionality of gross margins as Software vendors scale AI products, assessing the degree to which AI structurally resets gross margins lower, or whether pricing, architecture, model-cost deflation, and AI-enabled OpEx leverage preserve the broader profitability model. Given the tie between potential gross margin degradation and pricing / packaging, we see this debate as most relevant for seat-based application SaaS providers which are undergoing pricing model transitions relating to AI products.

Market View: AI changes the software margin profile by reintroducing marginal cost into what investors have historically underwritten as near-zero marginal-cost revenue. As AI products scale in mix, every incremental workflow can consume tokens, context, retrieval, tool calls, memory, latency capacity, and model infrastructure, making usage intensity a potential gross-margin headwind rather than an engagement positive. As such, software gross margins move structurally lower as AI revenue grows, particularly if vendors bundle AI into existing SKUs, overuse frontier models, or reinvest inference-cost declines into better model quality rather than margin capture. At the same time, OpEx leverage from AI may help at the margin, but the market has limited conviction that these gains will be broad, measurable, and persistent enough to offset rising AI COGS.

MS View: Investor perception is too narrowly focused on gross-margin dilution and underappreciates the number of levers software vendors have to defend gross profit dollars and expand EBIT. Inference cost deflation, prompt caching, model routing, batching, open-source / open-weight models, domain-specific models, and effective pricing should all help moderate AI COGS as products scale. Moreover, AI is structurally changing how software companies operate internally across all business units. As such, our illustrative base case scenario gets to ~flat EBIT margins despite gross margin pressure. However, we lean closer to the bull case, where blended gross margin pressure is limited as AI gross margins benefit from architecture and pricing, and workflow-driven OpEx leverage expands EBIT margins. That said, we acknowledge investors likely struggle initially to look past reported gross-margin compression and focus instead on gross profit and EBIT dollars. We would look to the software-plus-payments analog, highlighting that investors have come to understand payments revenue can be lower gross margin but still attractive at the EBIT level because it is not especially R&D or S&M intensive – we think AI can follow a similar path for vendors that effectively monetize usage, govern inference costs, and leverage AI for productivity gains.

Debate Most Relevant For: Seat-Based Software, Consumption Software

More Insulated: High Switching Cost Companies (MSFT, SAP, ORCL, WDAY, NTNX), Payments / GMV Models, Application Software Priced on Volumes

Debated: Consumption Models**Challenged:** Seat-Based Models With Low Pricing Power (ASAN, MNDY)

AI 'Unit Economics' Structurally Different than Traditional SaaS

At a high level, AI-native software exhibits structurally different unit economics than traditional SaaS. In conventional SaaS models, high upfront development costs are typically offset by low marginal reproduction and distribution costs, enabling gross margins to expand materially with scale. By contrast, 'AI software', particularly applications built on large language models, introduces a recurring production cost associated with each user interaction. Every task may consume cost-bearing inputs, including tokens, cached context, retrieval infrastructure, tool calls, memory, fine-tuning, latency capacity, and energy. As such, while AI-driven revenue streams can be highly attractive, gross margin performance is more sensitive to usage intensity, task complexity, model selection, context-window size, output length, and serving architecture than in traditional SaaS. Importantly, this also changes the economic interpretation of user engagement. In traditional SaaS, increased usage is generally a favorable signal of retention, customer value, and operating leverage. In AI software, however, higher engagement can create gross margin pressure if monetization does not adequately reflect the underlying cost intensity of the tasks being performed. Consequently, pricing architecture, workload optimization, and inference efficiency are likely to become central determinants of long-term profitability for AI software companies.

While SaaS Transition a Useful Analog...

We view the SaaS transition as a relevant historical analog for assessing near-term AI-related margin dilution. The license-to-subscription migration demonstrated that reported margins can deteriorate during a platform or business model transition even as the underlying quality of the software business improves. During that period, vendors effectively exchanged upfront license revenue for ratable recurring revenue, while a meaningful portion of the cost base (including support, hosting, and operating expenses) continued to be recognized in the current period. This created a temporary disconnect between reported revenue growth, profitability, and the longer-term economic profile of the business. Adobe and Autodesk provide useful examples of this dynamic ([Exhibit 61](#)). In both cases, the transition initially pressured reported financial results, but the shift to recurring revenue ultimately enhanced revenue visibility, improved customer retention economics, and supported stronger long-term operating leverage. As such, we'd argue that near-term margin compression during a model transition can be value-accretive when it is accompanied by higher-quality revenue, stronger customer relationships, and a more durable monetization framework.

Exhibit 61: SaaS Transition Illustrative

<i>Adobe SaaS Transition Analysis</i>	Y0	Y1	Y2	Y3	Y4
Revenue (\$M)	\$ 4,404	\$ 4,055	\$ 4,147	\$ 4,796	\$ 5,854
YoY Growth		-8%	2%	16%	22%
Subscription Revenue (\$M)	\$ 673	\$ 1,138	\$ 3,224	\$ 3,224	\$ 4,585
YoY Growth		69%	183%	0%	42%
Subscription Revenue as a % of Total Revenue	15%	28%	78%	67%	78%
GAAP Gross Profit (\$M)	\$ 3,920	\$ 3,469	\$ 3,525	\$ 4,051	\$ 5,035
YoY Growth		-12%	2%	15%	24%
GAAP Gross Margin	89%	86%	85%	84%	86%
GAAP Operating Income (\$M)	\$ 1,180	\$ 423	\$ 413	\$ 903	\$ 1,494
GAAP Operating Margin	27%	10%	10%	19%	26%

<i>Autodesk SaaS Transition Analysis</i>	Y0	Y1	Y2	Y3	Y4
Revenue (\$M)	\$ 2,504	\$ 2,031	\$ 2,057	\$ 2,570	\$ 3,274
YoY Growth		-19%	1%	25%	27%
Subscription Revenue (\$M)	\$ 1,380	\$ 1,540	\$ 1,882	\$ 2,437	\$ 3,139
YoY Growth		12%	22%	29%	29%
Subscription Revenue as a % of Total Revenue	55%	76%	92%	95%	96%
GAAP Gross Profit (\$M)	\$ 2,133	\$ 1,689	\$ 1,753	\$ 2,284	\$ 2,949
YoY Growth		-21%	4%	30%	29%
GAAP Gross Margin	85%	83%	85%	89%	90%
GAAP Operating Income (\$M)	\$ 1	\$ (500)	\$ (509)	\$ (25)	\$ 343
GAAP Operating Margin	0%	-25%	-25%	-1%	10%

Source: Company data, Morgan Stanley Research

... Notable Differences Here Beyond Timing & Revenue Recognition - AI Retains Meaningful Usage Variance

AI monetization shares certain characteristics with the SaaS transition, as software vendors likely absorb near-term margin pressure as they seed customer adoption, bundle AI functionality into existing SKUs, invest ahead of monetization, and migrate customers toward higher-value AI-enabled workflows. Under a constructive scenario, AI can increase ARPU, reduce churn, expand addressable use cases, enhance software value capture, and raise switching costs. In that context, near-term margin dilution could prove economically rational if it supports deeper customer engagement and greater long-term monetization. However, the AI transition differs in an important respect relative to SaaS as it is not solely a matter of timing, mix, or revenue recognition. SaaS-related dilution was primarily driven by the shift from upfront license revenue to ratable subscription revenue. By contrast, AI-related dilution includes a meaningful variable-cost component. Incremental AI usage directly consumes cost-bearing resources, and accordingly, AI margin trajectories are likely to depend not only on effective pricing transitions (see [Debate #3: Evolution of Software Pricing - Can Software Vendors Effectively Capture Value Outside of Seats?](#)), but also on usage intensity, workload complexity, and inference efficiency.

Levers to Mitigate Gross Margin Pressure While Maximizing Gross Profit Dollars

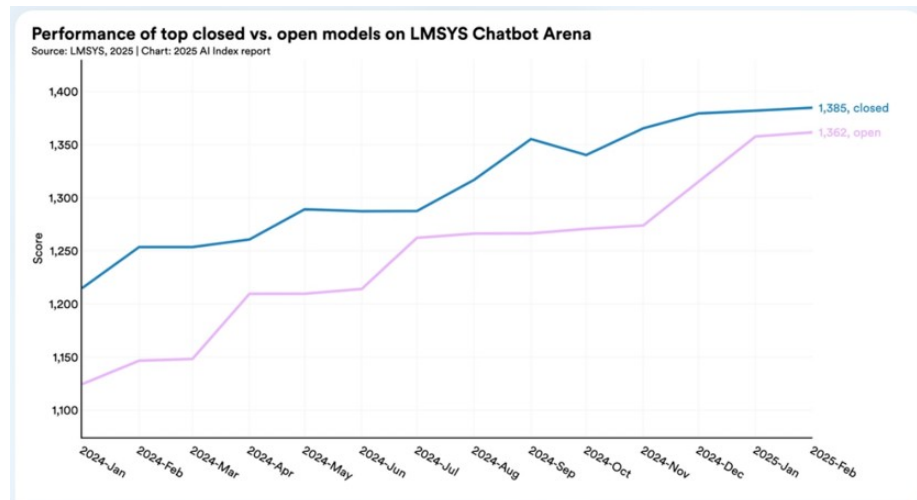
Given the structural differences outlined above, we expect software vendors to increasingly deploy a broader set of operational, architectural, and pricing levers to mitigate gross margin degradation as AI products scale as a percentage of revenue mix. Importantly, the objective is unlikely to be gross margin preservation in isolation, but rather gross profit dollar accretion.

While unit inference costs are declining rapidly, AI workloads are simultaneously becoming

more compute-intensive as usage shifts from experimentation to production inference and as agentic workflows consume more tokens, tools, context, memory, and reasoning steps. As a result, the margin outcome will depend less on headline inference cost deflation alone and more on whether vendors can operationalize that deflation through architecture and pricing. Companies that route tasks to the lowest-cost model capable of meeting quality requirements, specialize models using domain-specific data, cache and batch repetitive workloads, and explicitly monetize usage or value should be better positioned to moderate gross margin pressure while expanding gross profit dollars.

Lever 1: Capture Declining Inference Costs. According to [Stanford HAI's 2025 AI Index](#), inference costs have declined by more than 280x between November 2022 and October 2024. Similarly, [Epoch AI](#) found that the price of reaching fixed benchmark-performance thresholds declined rapidly, albeit unevenly across benchmarks and capability levels. However, in practice, software vendors may reinvest inference cost savings into newer frontier models to improve quality, latency, reasoning depth, or product experience. As a result, the key question for investors is whether companies can retain a portion of those savings rather than fully reinvesting them into higher-capability model usage. As such, we expect prompt caching to become an increasingly important mechanism in this context. Prompt caching allows vendors to reuse recurring prompt components such as system instructions, examples, policies, tool schemas, and other repeated context, rather than reprocessing them at full cost for every request. This can reduce the effective cost of frontier model usage, particularly in enterprise applications where workflows often involve repeated instructions, standardized policies, and recurring data structures. Prompt caching and model routing (discussed in more detail below) should also be viewed as complementary. Prompt caching reduces the cost of using frontier models when they are necessary, while model routing reduces the proportion of traffic that requires frontier models in the first place. Together, these techniques increase the likelihood that inference cost deflation flows through to gross margin rather than being entirely absorbed by model upgrades, richer functionality, or higher usage intensity.

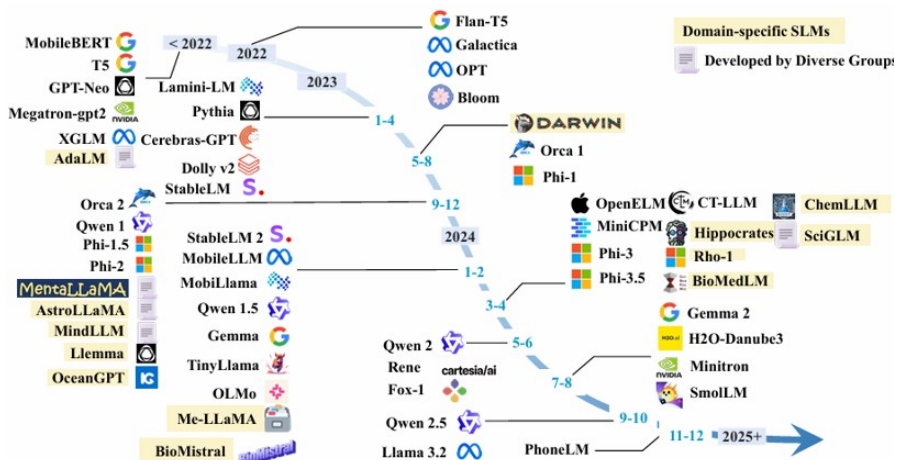
Lever 2: Leveraging a Multi-Model Architecture, Including Open-Source Models. As AI products scale, software vendors can protect gross margin by dynamically routing workloads across a portfolio of models rather than defaulting every request to the newest or most expensive frontier model. This approach recognizes that not all user queries require the same level of reasoning, context depth, or model capability. Academic work on LLM cascades and model routing suggests that many queries can be handled by lower-cost models with limited degradation in output quality. In addition, open-weight and fine-tuned small models have demonstrated notable [5x–29x cost reductions versus frontier models in certain production use cases](#) ([Exhibit 62](#)). Under this framework, frontier models remain available for complex, ambiguous, or high-value tasks, while routine traffic is directed toward cheaper, faster, and more controllable model paths. Over time, we believe this could create a more efficient margin structure in which vendors reserve premium inference capacity for workflows that warrant it, while serving high-volume, lower-complexity requests through lower-cost alternatives.

Exhibit 62: Performance Gap Between Open and Closed Weight Models Closing

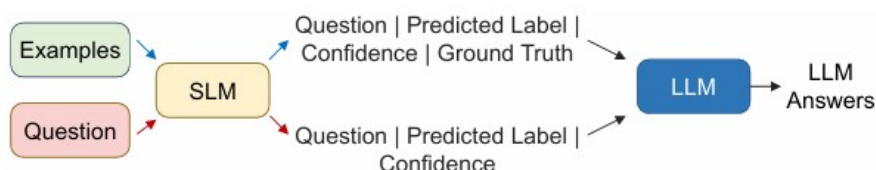
Source: Stanford University Human-Centered Artificial Intelligence

Lever 3: Training Internal Models on Domain-Specific Context. By adapting models to proprietary or domain-specific workflows, vendors can substitute or augment expensive general-purpose intelligence with narrower, lower-cost models that are better aligned with recurring product use cases. Many business-domain tasks require contextual accuracy, consistency, and workflow-specific reasoning, but do not necessarily require the full breadth of a frontier general-purpose model. This creates an opportunity for vendors to improve both performance and cost efficiency through domain-adaptive training, fine-tuning, and retrieval-augmented architectures. [Gartner](#) has suggested that task-specific model usage volume could be at least 3x general-purpose LLM usage by 2027, reflecting enterprise demand for more precise, domain-aware intelligence with lower compute intensity. Similarly, domain-adaptive training can improve task-level performance without requiring vendors to train foundation models from scratch. [FinPythia](#), a domain specific model in the finance vertical, provides a useful example – FinPythia-6.9B showed consistent improvements on financial tasks, while the authors' data-selection approach outperformed vanilla continual pretraining using only 10% of the corpus size and cost, without degrading performance on the evaluated open-domain tasks. This highlights an important margin dynamic where vendors incur fixed upfront costs for data preparation, model adaptation, evaluation, and deployment, then amortize that investment across high-volume inference workloads.

Over time, this should allow recurring AI traffic to migrate away from premium third-party API calls and toward specialized internal or open-weight models with materially lower variable costs. While we are still early in seeing this benefit flow through reported gross margins, commentary from several software companies across our coverage universe including Microsoft, Shopify, Intuit, and Figma, suggests that vendors are increasingly focused on model specialization, routing, and inference optimization as core components of their margin and efficiency strategies.

Exhibit 63: Timeline of Existing Small Language Models

Source: Wang, F., et al., "A Comprehensive Survey of Small Language Models in the Era of Large Language Models," Figure 3, arXiv:2411.03350

Exhibit 64: Small Models are Valuable Plug-Ins for Large Language Models

Source: Adapted from: Xu, C., et al. (2024), "Small Models are Valuable Plug-ins for Large Language Models," Figure 1, Findings of ACL 2024, pp. 283–294. DOI: 10.18653/v1/2024.findings-acl.18

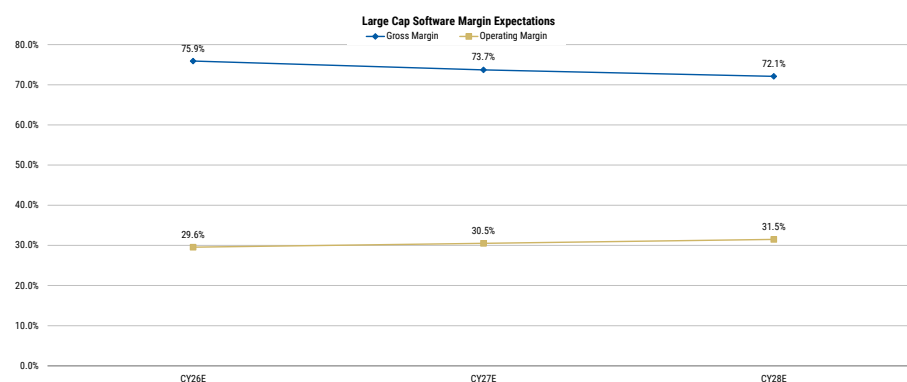
See Opportunities for EBIT Margins to Remain Durable Despite Gross Margin Pressure

Beyond the gross margin mitigation levers discussed above, we see a credible path for Software vendors to preserve EBIT margin durability through internal AI adoption. While AI is often framed as a product opportunity, the more immediate margin opportunity sits inside the operating model as AI drives leverage across core areas of internal processes, including product and R&D, engineering, GTM, support and success, and corporate functions. Across these workflows, AI can accelerate a multitude of internal processes spanning drafting, analysis, QA, personalization, knowledge retrieval, and task automation, reducing manual effort while improving speed and scalability. Importantly, the largest AI value pools map directly to the largest OpEx categories in software. [McKinsey estimates](#) that roughly 75% of generative AI's use-case value sits in customer operations, marketing and sales, software engineering, and R&D, the functions that dominate the software income statement. While we expect AI-related infrastructure costs to weigh on gross margin trajectory, the same technology can unlock operating leverage across sales, R&D, support, and G&A.

That said, the durable EBIT generation thesis depends heavily on workflow redesign around AI, not necessarily incremental tool adoption and / or one-time workforce reductions. Point solutions may create localized productivity gains, but meaningful margin expansion requires companies to re-architect how work gets done – streamlined approval paths, AI-assisted QA, self-serve internal knowledge systems, agentic support workflows, automated GTM preparation, and human-in-the-loop escalation models. [McKinsey's survey](#)

work supports this distinction, finding that organizations generating at least 5% EBIT impact from AI were nearly 3x more likely than peers to have fundamentally redesigned workflows. As a result, we expect the AI margin narrative in Software to evolve from employees using copilots to companies redesigning their core operating systems around AI.

Exhibit 65: Across Large-Cap Software, EBIT Margins Expected to Modestly Expand Despite Gross Margin Pressure



Source: Company Data, Morgan Stanley Research

Illustrative Bull / Bear / Base Cases

Taking the above points together, we outline illustrative Bull, Bear, and Base scenarios assessing the directionality of margins as AI products gain scale across Software. Specific outcomes will diverge on a company-by-company basis depending on product architecture, pricing, inference intensity, customer mix, and the degree to which internal AI adoption translates into measurable cost savings. We therefore view this scenario framework as establishing initial guardrails around the margin debate rather than forecasting a uniform industry outcome.

Base Case: Gross Margin Degradation Offset by OpEx Leverage Drives Durable EBIT Margins. The base case assumes AI product adoption creates real gross margin pressure, but not enough to structurally impair software EBIT margins. In our illustrative framework, AI products reach ~30% of revenue at a ~60% gross margin, reducing blended gross margin by approximately ~700 bps. However, AI-driven internal productivity and operating discipline capture OpEx savings, leaving EBIT margins broadly durable at 30%, largely inline with current Software EBIT margins (and our illustrative pre-AI baseline). We see this case as most analogous to the software license-to-subscription transition, where investment, revenue recognition, and product-delivery changes pressured margins before recurring revenue scaled. While we expect AI to compress gross margins, EBIT margins can remain resilient if companies convert internal AI investments into measurable OpEx leverage.

Bull Case: Effective Architecture Optimization & Monetization Levers Moderate Gross Margin Pressure While OpEx Productivity Capture Expands EBIT Margins. The Bull case assumes AI revenue remains gross-margin dilutive relative to traditional software, but the pressure is manageable and more than offset by operating leverage. In our illustrative framework, AI products scale to 40%+ of revenue at a ~70% gross margin, reducing

blended gross margin by approximately ~300 bps. However, stronger monetization, architecture optimization, inference-cost management, and internal AI productivity enable the capture of roughly ~1,000 bps of OpEx savings, driving EBIT margin to ~35%, expanding from 30% prior. Here, we see similarities with blended software + payments companies, where payments attach can lower blended gross margin but expand operating margin because the revenue monetizes an existing customer base with relatively low incremental S&M and R&D intensity. Applied to AI, gross margins remain below those of traditional software, but monetization and internal productivity benefits more than offset the gross-margin pressure.

Bear Case: Severe Gross-Margin Pressure Overwhelms OpEx Leverage. The bear case assumes AI adoption scales, but the economics of that revenue remain usage-cost intensive and internal productivity benefits are slow to materialize. In our illustrative framework, AI products reach a similar scale as in the base/bull cases (approaching ~40% of revenue), though monetize at a lower gross margin (<50%), compressing blended gross margin by 1,000+ bps. Even with material OpEx savings, AI monetizing at a low gross margin limits ability to hold EBIT margins ~flattish. There is less of a direct historical analogue for this outcome, although we see similarities with CPaaS and other usage-based communications models, where revenue scales with usage but third-party delivery costs rise alongside it. Applied to AI, the Bear case is that inference, infrastructure, model-serving, support, and product-investment costs rise alongside adoption, while pricing and architecture improvements fail to close the unit-economics gap. In this outcome, AI revenue growth alone is insufficient: the incremental revenue carries too little gross profit for even meaningful OpEx leverage to protect EBIT margins.

Exhibit 66: Base Case Illustrative Margin Framework Suggests AI Pressures Overall Gross Margins, Though Effective OpEx Productivity Capture Can Drive Durability to Expansion in EBIT Margin...

Illustrative Software Margin Framework as AI Products Scale					
AI Product Mix	AI Product Gross Margin				
	40%	48%	56%	64%	72%
Blended Gross Margin					
5%	78%	78%	79%	79%	80%
10%	76%	77%	78%	78%	79%
15%	74%	75%	76%	78%	79%
20%	72%	74%	75%	77%	78%
25%	70%	72%	74%	76%	78%
30%	68%	70%	73%	75%	78%
35%	66%	69%	72%	74%	77%
40%	64%	67%	70%	74%	77%
45%	62%	66%	69%	73%	76%
50%	60%	64%	68%	72%	76%
Gross Margin Compression (bps)					
200	160	120	80	40	
400	320	240	160	80	
600	480	360	240	120	
800	640	480	320	160	
1000	800	600	400	200	
1200	960	720	480	240	
1400	1120	840	560	280	
1600	1280	960	640	320	
1800	1440	1080	720	360	
2000	1600	1200	800	400	
Required Capture as % of Addressable OpEx Pool to Offset Gross Margin Compression					
8%	6%	5%	3%	2%	
16%	13%	10%	6%	3%	
24%	19%	14%	10%	5%	
32%	26%	19%	13%	6%	
40%	32%	24%	16%	8%	
48%	38%	29%	19%	10%	
56%	45%	34%	22%	11%	
64%	51%	38%	26%	13%	
72%	58%	43%	29%	14%	
80%	64%	48%	32%	16%	
EBIT Margin					
OpEx Capture (bps)					
50	28.5%	28.9%	29.3%	29.7%	30.1%
175	27.8%	28.6%	29.4%	30.2%	31.0%
300	27.0%	28.2%	29.4%	30.6%	31.8%
425	26.3%	27.9%	29.5%	31.1%	32.7%
550	25.5%	27.5%	29.5%	31.5%	33.5%
675	24.8%	27.2%	29.6%	32.0%	34.4%
800	24.0%	26.8%	29.6%	32.4%	35.2%
925	23.3%	26.5%	29.7%	32.9%	36.1%
1050	22.5%	26.1%	29.7%	33.3%	36.9%
1175	21.8%	25.8%	29.8%	33.8%	37.8%
Delta vs pre AI EBIT Margin (bps)					
-150	-110	-70	-30	10	
-225	-145	-65	15	95	
-300	-180	-60	60	180	
-375	-215	-55	105	265	
-450	-250	-50	150	350	
-525	-285	-45	195	435	
-600	-320	-40	240	520	
-675	-355	-35	285	605	
-750	-390	-30	330	690	
-825	-425	-25	375	775	

Source: Morgan Stanley Research

Debate #5: 'Tokenomics': Should Software Vendors Brace for an AI Optimization Cycle?

In this debate, we examine whether the next phase of AI software adoption shifts investor focus from usage growth to token-level economics, as subsidized inference gives way to more explicit pricing, budget scrutiny, and customer optimization. Related, we assess the extent to which this transition creates risk for vendors exposed to experimental AI consumption, or expands the opportunity for software platforms with deep workflow expertise to provide governance, optimization, and budget-control layers for enterprise AI usage.

Market View: Investors are increasingly focused on whether elevated AI demand has been distorted by subsidized tokens, bundled AI features, and underpriced inference. As the model labs push toward profitability, token consumption is likely to face more explicit pricing, tighter usage limits, and greater customer scrutiny. This likely triggers a sharp optimization cycle, with customers rationalizing prompts, agents, context windows, and model calls much like they optimized cloud spend coming out of the Covid pandemic in 2022-2023.

MS View: We take a more nuanced view, acknowledging that token scrutiny certainly creates risk, but not uniformly across software. We believe the largest potential budget pressure sits with vendors closest to experimental AI usage, where tokens are consumed on prototypes, agent loops, code suggestions, or binaries that never actually make it into production. In those cases, customers may cut back aggressively once usage is metered and ROI is harder to prove. Conversely, for software vendors with deep workflow expertise, this dynamic creates an opportunity to become the optimization layer, helping customers manage token budgets, route usage intelligently, and tie AI consumption to real business outcomes.

Debate Most Relevant For: Infrastructure Software, Application Software, Cybersecurity

Beneficiaries: Application platforms that can optimize / execute the AI workflows on behalf of customers (MSFT, SHOP, INTU, NAVN)

Challenged: FROG

Token Costs for Frontier Intelligence Continue to Rise

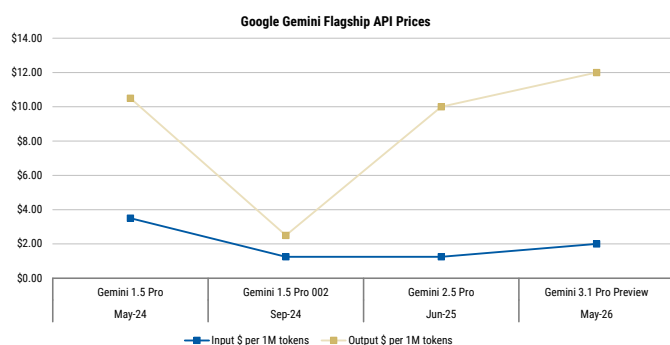
As the model labs continue to release frontier models that provide higher levels of intelligence, the cost of those frontier models also continues to rise. We have thus seen the subsequent rise of API prices across the major labs.

For example, at Google Gemini, the flagship Pro output price per 1 million tokens has risen from \$2.50 to \$12.00 with the Gemini 3.1 Pro Preview launch. This price inflation is also

felt on the budget models as Gemini Flash API output price per 1 million tokens has risen from \$0.30 to \$9.00 with the launch of Gemini 3.5 Flash. To put this into context, Google has been the low cost provider among the leading model providers, where we are also seeing token pricing rise.

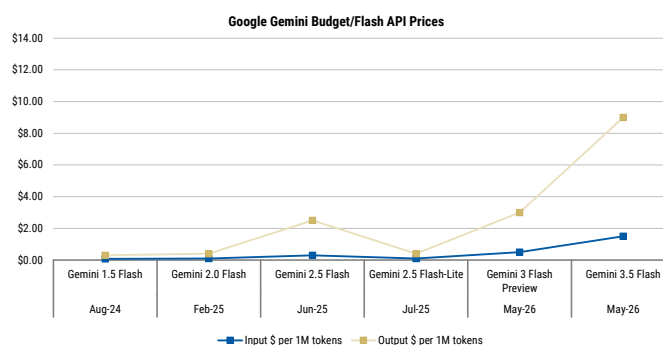
The important distinction here is that frontier pricing is rising because the frontier keeps demanding bigger models and deeper reasoning to complete even harder tasks. [Research from MIT](#) finds that the price to reach a given benchmark level falls roughly 5X to 10X per year. This suggests that tasks that can be completed by AI are seeing pricing come down while new harder tasks are more expensive.

Exhibit 67: Flagship Model Prices Have Increased



Source: Google

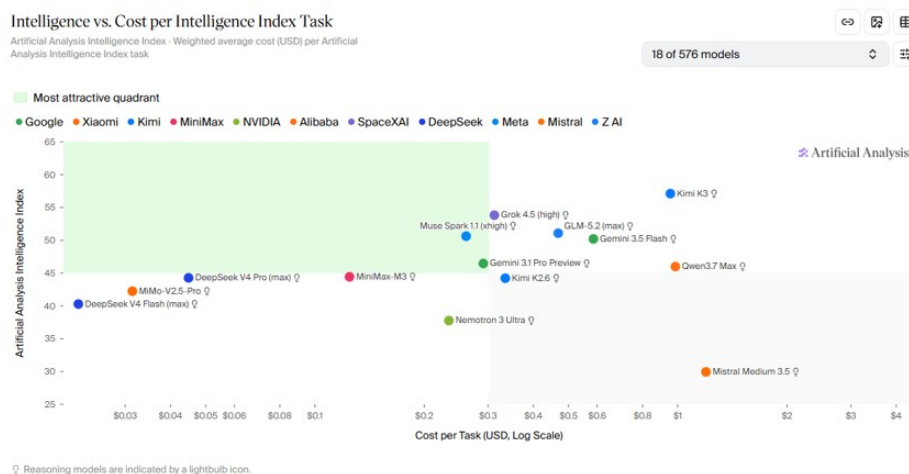
Exhibit 68: Budget Models Have Also Seen Prices Increase



Source: Google

Exhibit 69:

Intelligence Vs. Cost Model Comparison



Source: Artificial Analysis

Cost Rationalization / Model Trade Down Has Become Visible Beyond Just Anecdotes

Since April 2026, we have seen companies publicly say they have exceeded initial budget expectations for their AI spend and are now putting in limits and guardrails to rationalize the spend more and better align incentives with business outcomes instead of tokenmaxxing for the sake of it.

Beyond these anecdotes from companies, we are also starting to see model share shifting

toward open-weight, third-party, and non-Western models, though the signal does not cleanly separate capability gains from cost optimization. [OpenRouter's 100T-token study](#) shows open-weight models reaching roughly one-third of usage by late 2025, while Chinese open-source models averaged ~13% of weekly token volume and reached nearly 30% of total usage in some weeks.

Exhibit 70: Multiple Public Comments from Companies Mentioning Higher Than Expected AI Spend

Company	Initial Public Comment Date	Public Comment / Reported Action
Uber	Apr-26	Reportedly exhausted its 2026 AI/coding budget by April and then put a \$1,500/month per employee per tool cap on agentic coding tools.
Amazon	May-26	Shut down an internal token-use leaderboard and said it tracks AI token usage for costs but does not want tokenmaxxing.
Microsoft	May-26	Reportedly canceled most agentic coding licenses for parts of the company, partly tied to operating-expense control.
Walmart	Jun-26	Put token limits on its internal tool after heavy usage; comments focused on cutting duplicative AI requests and managing higher costs.
AT&T	Jun-26	Reported to be limiting or reining in employee AI use/spending.
Meta	Jun-26	Reported to be limiting or reining in employee AI use/spending.
Coinbase	Jun-26	Reported to have set token caps; Coinbase reportedly uses weekly price caps by role and level.
Pylon	Jun-26	CEO Marty Kausas publicly described Pylon's AI bill jumping from \$400K to \$1.4M/year after crossing 150 seats, and said spend limits were coming.
Workato	Jun-26	Reportedly saw daily AI expenses jump sevenfold after LLM vendor moved to token-based pricing.

Source: Company statements

However, Enterprise Adoption Remains Gated

While the OpenRouter data suggests meaningful model trade down, it is important to keep in mind that the data shows the behavior of self-selecting model-routing users. Enterprise data actually shows a different dynamic playing out. Menlo's enterprise survey shows open-source LLM share fell from 19% to 11%, and Chinese open-source models represented only ~1% of total enterprise LLM API usage. The recent model headlines point in the same direction: Z.ai's GLM-5.2 is designed for long-horizon coding tasks with a 1M-token context window, Microsoft is reportedly exploring a secured version of DeepSeek V4 for Copilot Cowork, and Menlo notes that Airbnb relies heavily on Qwen for user-facing AI features. This divergence likely suggests developers and startups optimize more aggressively around cost, latency, availability, and model routing, while large enterprises remain constrained by security, governance, compliance, and procurement.

Trade-Down Is Not Demand Destruction as Adoption Is Early

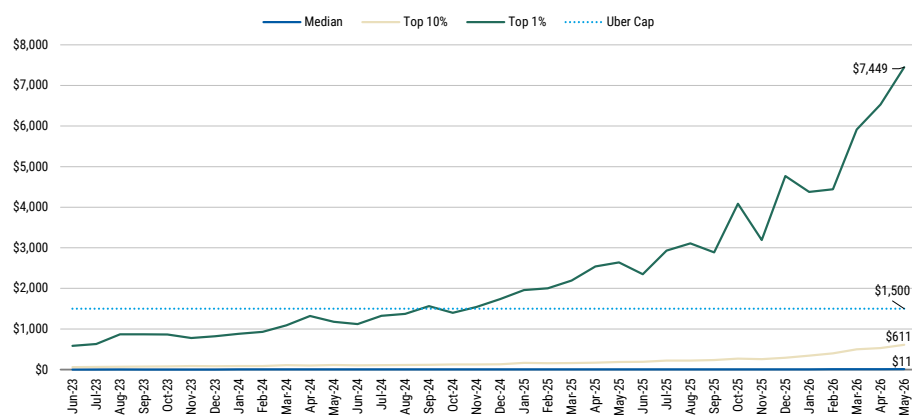
Importantly, the shift toward cheaper models looks more like a recalibration in willingness to pay for AI than a deterioration in underlying demand. Ramp data shows that the top 1% of AI-heavy firms spend \$7.5K per employee per month on AI, the top 10% spend \$611, and the median firm spends only \$11. Ramp also notes that top-1% firms grew spend per employee 14.1% last month, despite evidence that companies are increasingly opting for cheaper models, including DeepSeek.

The top-spender figure still sits below half the typical monthly salary for a software engineer, which suggests enterprise AI budgets remain early relative to the labor pools

they may eventually augment. We can also see this in the Uber case where even the \$1,500 cap on monthly AI spend per employee still puts Uber within the top 10% of companies on Ramp. Furthermore, even at the max AI spending limit of \$1,500 among all of Uber's ~5,000 software engineers would only make up 3% of total R&D spending and 1% of total OpEx. Even if extended to all of Uber's employees (35,000), this would still only make up 4% of OpEx, barely impacting the overall cost structure.

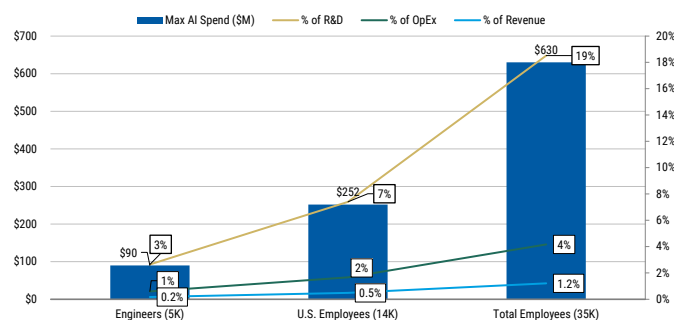
In sum, token discipline does not read as a bear case by itself; it reads as a move toward sustainable compute demand, where customers spend more overall but demand better allocation at the model and workflow level.

Exhibit 71: Recent Uber Cap of AI Spend Still Puts Them Well Within the Top 10% of AI Spenders



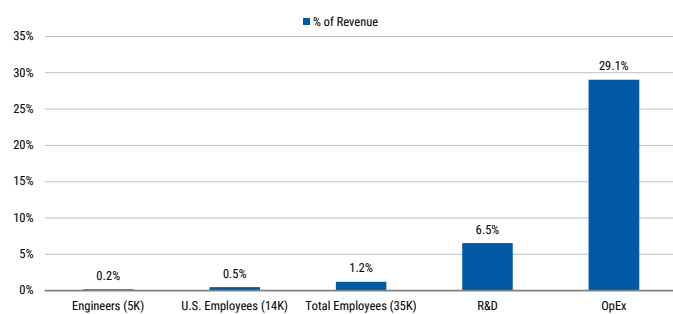
Source: Company data, Morgan Stanley Research

Exhibit 72: Max AI Spend at Uber Still Only Implies ~4% of OpEx



Source: Company data, Morgan Stanley Research

Exhibit 73: Even If All Uber Employees Max Out Their AI Spend, The Total Cost Is Only ~1% of Revenue, Tiny Compared to Overall R&D and OpEx Spend



Source: Company data, Morgan Stanley Research

Subsidies Likely Hitting P&L's of Model Labs...

To us, it makes economic sense that token subsidies will fade as labs and AI application vendors push toward monetization and profitability. GitHub's Copilot shift is a useful marker as the company moved to AI Credits, calculated from input, output, and cached tokens, and stated that long, multi-step agentic coding sessions create materially higher compute and inference demands than the prior premium-request model could sustain. What we can glean from third party estimates around profitability profiles of the labs

point in a similar direction – estimates suggest ~33% gross margin in 2025 for one of the labs, constrained by \$8.4B of inference costs, with inference costs projected to reach \$14.1B in 2026. Others have similarly reportedly lowered their 2025 gross-margin outlook to ~40% after third-party cloud inference costs ran ~23% above plan.

... Driving Customers to Allocate Frontier Demand More Selectively

That margin pressure does not imply frontier models lose relevance. It implies customers will reserve frontier models for workloads where the model cost remains small relative to the value of the work or the cost of failure. The analogy we draw here is that a Formula 1 race car is not needed to go to the grocery store.

The academic cost curve also supports a more nuanced view - the price to achieve a fixed benchmark performance level has declined roughly 5x to 10x per year, while the cost of running frontier models has risen 3x to 18x per year as models become larger and more reasoning-intensive. This bifurcation argues for selective frontier usage rather than broad-based retreat in budget deployment.

Workflows Exposed to Experimentation Could be at Risk

The real optimization risk sits at the experimental layer. Enterprises will question token usage tied to prototypes that never ship, binaries that never get pushed, code suggestions that never get merged, agents that loop without completing work, and exploratory workflows that create activity without accountable output. We have seen governance reactions coming out in the past few months as detailed above.

Workflow Context Becomes the Differentiator, Creating Opportunity for Application Incumbents

As such, we believe the workflow layer becomes more valuable, not less. Microsoft's recent framing reinforces this point, with CEO Satya Nadella arguing for a next phase of AI proliferation built around cheaper models, more user control, and broader trust. While important to hyperscalers, which can enable multi-model routing and lower-cost infrastructure, we believe this framing is similarly important for SaaS applications given these vendors sit where enterprises actually decide whether an AI action maps to a revenue process, support workflow, code path, approval chain, or governed business outcome. Workflow-rich incumbents know the user, permissions, system-of-record state, approval path, risk profile, and measurable result of the task. The more customers scrutinize tokens, the more they need SaaS platforms that can route simple work to cheaper models, reserve frontier models for high-risk tasks, and cap or block low-value experimentation. ***As the control plane shifts from raw token metering to workflow-level allocation, incumbent software vendors that reduce waste while preserving high-value AI usage can turn token scrutiny into a monetization opportunity.***

Privates Ecosystem - Where are VC Dollars Flowing in Software?

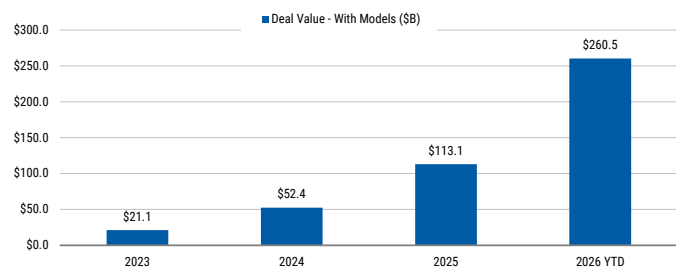
Over the past six years, we have been maintaining a database of private capital raises in the software industry. To get a better sense of where VC funding is flowing in an AI world, we took a closer look at the private capital raised since 2023. Since 2023, we have tracked ~\$450 billion in venture funding across ~1,200 deals.

Key Takeaways:

1) Funding Dollars Excluding the Models Continue to Increase YoY, But Deal Counts Are Down

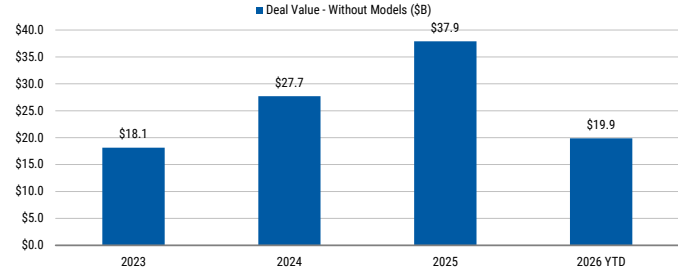
While the model providers account for only ~10% of total deals since 2023, they make up ~80% of the total dollars. If we exclude the model providers, we can see how funding has continued to accelerate since 2023, growing at a ~45% CAGR. However, deal count ex-model providers has declined from a peak of 378 deals in 2023 to 267 in 2025, suggesting larger more strategic raises to early market leaders.

Exhibit 74: Recent Funding Value Has Been Dominated By the Model Providers



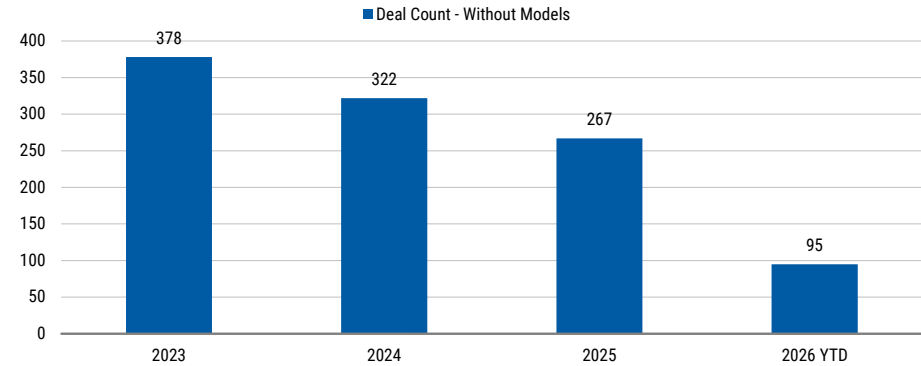
Source: Crunchbase, Axios, Morgan Stanley Research

Exhibit 75: Funding Values Take a Massive Haircut When Excluding the Model Providers



Source: Crunchbase, Axios, Morgan Stanley Research

Exhibit 76: Deal Counts Have Come Down As More Capital Flocks To Fewer But Larger Deals

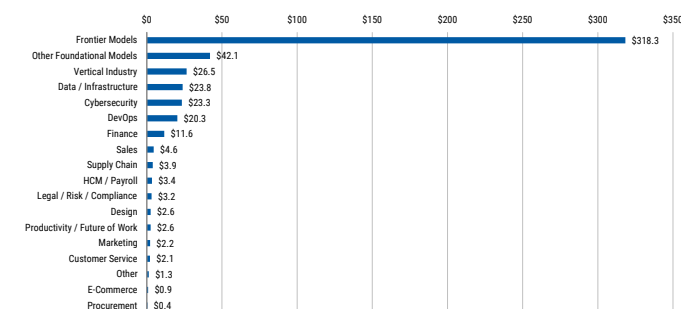


Source: Crunchbase, Axios, Morgan Stanley Research

2) Vertical, Cybersecurity, and Data / Infrastructure Have Received the Most Funding Outside of the Models, Likely Pointing To the Areas Where VCs Have Higher Conviction In Being More Defensible Against the Models

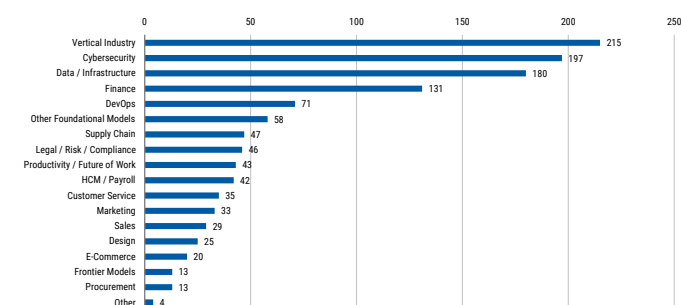
Across both deal count and dollar value, Vertical, Cybersecurity, and Data/Infrastructure have dominated funding since 2023. We believe this is due to VCs believing these parts of software are more defensible and less at risk of encroachment from the model providers. However, this also means the incumbents face more competition from startups than the model providers.

Exhibit 77: Funding Dollars Have Mostly Gone to Vertical, Data/Infrastructure, and Cybersecurity Outside of the Model Providers...



Source: Crunchbase, Axios, Morgan Stanley Research

Exhibit 78: ...With Similar Dynamics On a Deal Count Basis



Source: Crunchbase, Axios, Morgan Stanley Research

3) Continued Funding Momentum in Vertical Across Deal Count & Deal Value

Vertical is the only major non-model category showing both material deal-count acceleration and major dollar acceleration in 2026 YTD. It increased from 15 to 24 deals, and from \$1.5 billion to \$9.6 billion of funding. Its share of non-model deal count rose from 13% to 24%, and its share of non-model deal value jumped from 13% to 46%. The key read-through is that VCs appear to be favoring domain-specific AI applications and vertical platforms rather than generic horizontal software.

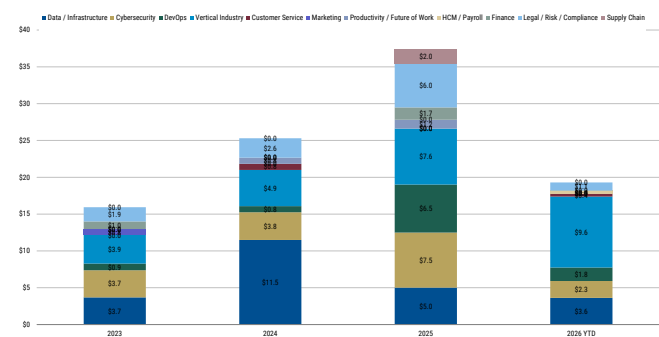
4) Data / Infrastructure Shifting from Volume to Larger Strategic Rounds

Data / Infrastructure has not shown deal-count growth in 2026 YTD as it fell from 19 to 16 deals. But deal value increased from \$1.9 billion to \$3.6 billion. That suggests the category is still highly relevant, but funding is more selective. Investors are backing fewer companies, but with larger rounds. The implication is that infrastructure remains a strong funding theme, but the bar appears higher. Capital is concentrating into platforms viewed as critical to AI compute, data, inference, observability, and developer infrastructure.

5) Finance Accelerating by Deal Count

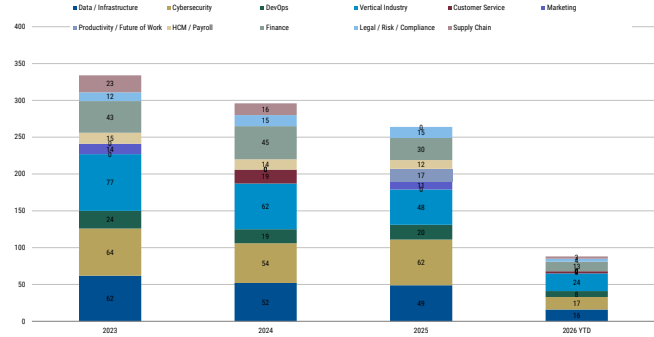
Finance has had mixed results recently as full-year 2025 deal count fell from 45 to 30, but funding value increased from \$2.6 billion to \$6.0 billion. In 2026 YTD, the category is showing renewed breadth, with deal count up from 9 to 13, and value up from \$0.8 billion to \$1.1 billion. The dollars are not accelerating as dramatically as Vertical or Data / Infrastructure, but the deal-count growth is meaningful given that the broader non-model universe is down by count. The read-through is that investor interest remains healthy in verticalized financial workflows, capital markets data, fintech infrastructure, accounting/FP&A automation, and AI-enabled finance operations, but it is more unclear who the breakout early market leaders are, hence the lack of large dollar investments just yet.

Exhibit 79: Deal Value By Sub-Industry



Source: Crunchbase, Axios, Morgan Stanley Research

Exhibit 80: Deal Count By Sub-Industry



Source: Crunchbase, Axios, Morgan Stanley Research

Risk Rewards

Risk Reward – Adobe Inc. (ADBE.O)

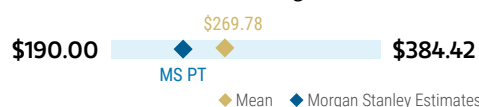
Undergoing Multiple Transitions at Once Creates Heightened Execution Risk

PRICE TARGET \$240.00

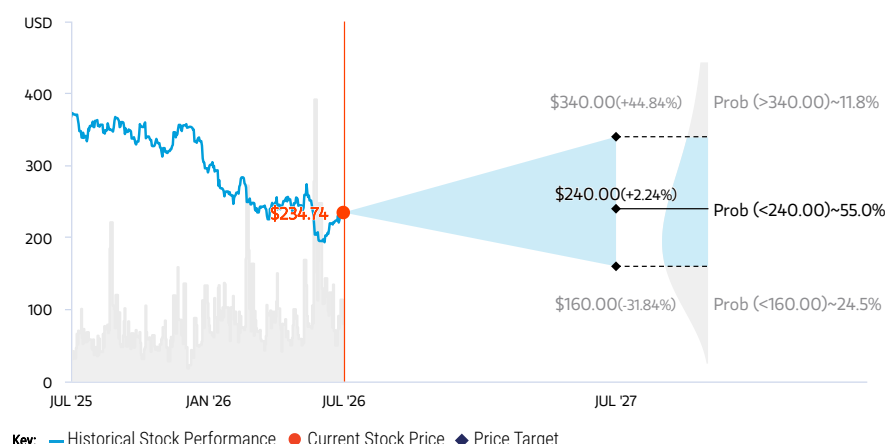
Our \$240 PT is based on a 9x Base Case 2027e EPS of \$27.23. The 9x EPS multiple in FY27e implies a ~0.6x PEG, a discount to SaaS peers and ADBE's historical average

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

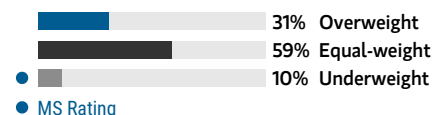


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

UNDERWEIGHT THESIS

- Adobe retains a strong moat in pro creative workflows & enterprise content supply chains, supported by its brand, distribution & workflow-specific product depth. However, consumers, business users & simpler marketers remain vulnerable to AI-native substitution
- Convergence of freemium, leadership & reinvestment transitions raise execution risk as deferred CC pricing, uncertain freemium conversion & simultaneous CEO/CFO transitions reduce visibility into ARR growth re-accel
- Best-in-class margins provide capacity to defend franchise, but see limited incremental leverage optionality. ~10x GAAP P/E discounts risk, though see cleaner growth, leverage & AI monetization optpy elsewhere. Relative UW

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Negative*
Pricing Power: *Negative*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$340.00

12x Bull Case 2027e EPS of \$28.20

Effective conversion of freemium traffic expands the user base and pushes pricing higher, supporting a total revenue CAGR of 12%. Operating margin of ~45% results in FY27 EPS of \$28.20. ADBE trades at 12x EPS, largely inline with mature scaled Software peers, supported by a mid-teens% EPS CAGR, yielding \$340/share.

BASE CASE \$240.00

9x Base Case 2027e EPS of \$27.23

Total revenue grows at 10% CAGR from FY24-FY27. Operating margin of 44.7% results in FY27 EPS of \$27.23 and a FY24-FY27 EPS CAGR of 14%. At a 9x EPS multiple in FY27e, yielding \$240/share, ADBE trades at ~0.6x PEG, a discount to its historical average.

BEAR CASE \$160.00

6x Bear Case 2027e EPS of \$26.32

Competition from AI-natives limits ability to effectively convert freemium traffic to paid ARR, driving further growth deceleration. Margins remain ~45% in FY27 as growth investments moderate, resulting in FY27e EPS of \$26.32. The stock trades at 6x FY27e EPS, which yields \$160/share.

Risk Reward – Adobe Inc. (ADBE.O)

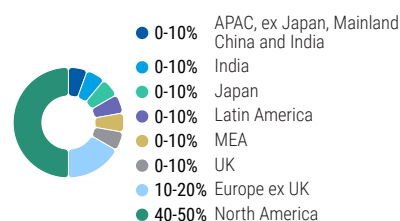
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Net New Digital Media ARR YoY (%)	11.5	10.3	9.6	0.0
EPS YoY (%)	13.6	16.5	11.6	8.9
Digital Experience Revenue YoY (%)	9.0	9.6	10.1	10.1
Total Revenue YoY (%)	10.5	11.7	9.1	8.7
Operating Margin (%)	46.2	45.0	44.7	44.5

INVESTMENT DRIVERS

- Increased customer lifetime value and TAM expansion opportunity
- Growing the customer base through freemium offerings
- Secular data trends around first party data
- Operating leverage and share buybacks

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than anticipated conversion of freemium traffic
- New CEO / CFO meaningfully inflecting profitability through strategic restructuring
- AI proving net-expansive to the Creative franchise

RISKS TO DOWNSIDE

- Difficulty in effectively converting freemium traffic to paid
- Faster cannibalization of the subscriber base / increased competition weighing on growth
- Lower margins from GenAI investment

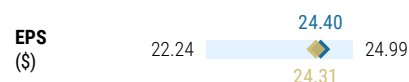
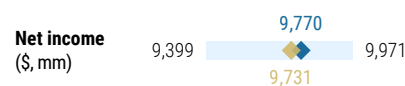
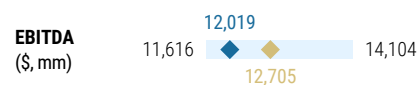
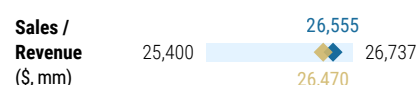
OWNERSHIP POSITIONING

Inst. Owners, % Active	44.9%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

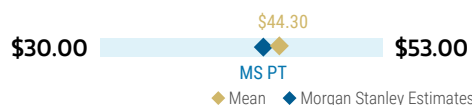
Risk Reward – Samsara Inc (IOT.N)

Proving out the Platform Thesis

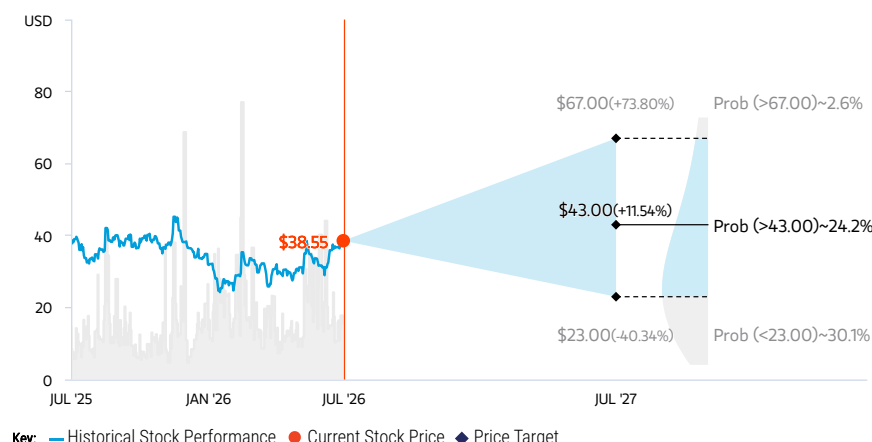
PRICE TARGET \$43.00

We apply a 25x FY33e EV/FCF multiple to our FY33 FCF estimate of ~\$1.86 billion (0.75x 2-years terminal growth-adjusted) and we discount at an 11% weighted average cost of capital.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

\$67.00

32x 2033e FCF

Total Revenue: \$5.9 billion by FY33

Operating Margin of 49% by FY33

Free cash flow of \$2.3 billion by FY33

BASE CASE

\$43.00

25x FY33 FCF

22% revenue CAGR, reflecting a gradually expanding market opportunity.

Total Revenue: \$4.7 billion by FY33

Operating Margin of 45% by FY33

Free cash flow of \$1.86 billion by FY33

BEAR CASE

\$23.00

33x 2033e FCF

Total Revenue: ~\$2.3 billion by FY33

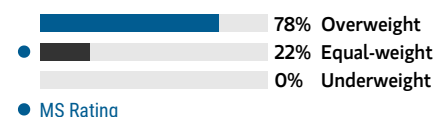
Operating Margin of 43% by FY33

Free cash flow of ~\$1 Billion by FY33

EQUAL-WEIGHT THESIS

Investment thesis for Samsara revolves around its ability to grow its core Connected Operations businesses while also expanding beyond basic fleet management products. Supported by the growing demand for dash cam business, we expect the company continues to expand its customer base while also sustaining strong growth. While we still see a long runway for IOT's Connected Operations Cloud to support continued growth and improving efficiencies, IOT trading at a meaningful premium to peers balances the risk/reward, supporting our EW rating.

Consensus Rating Distribution



Risk Reward Themes

Disruption: *Positive*
New Data Era: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Samsara Inc (IOT.N)

KEY EARNINGS INPUTS

Drivers	Jan 2025	Jan 2026e	Jan 2027e	Jan 2028e
Total Revenue YoY Growth (%)	33.3	29.6	24.1	19.9
Operating Margin (%)	9.1	17.4	20.0	22.6
ARR Growth YoY (%)	32.3	29.6	24.1	19.8

INVESTMENT DRIVERS

- \$100k customer growth
- ARR growth
- Quarterly earnings

GLOBAL REVENUE EXPOSURE



- 0-10% Europe ex UK
- 0-10% Latin America
- 0-10% UK
- 90-100% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Expansion into other IoT adjacencies
- Faster expansion into the equipment and site monitoring
- Global expansion garners strong traction

RISKS TO DOWNSIDE

- Fleet telematics business faces stiff competition
- Equipment and site monitoring expansion stalls

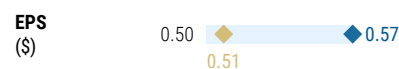
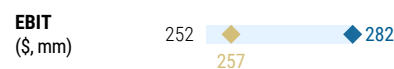
OWNERSHIP POSITIONING

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MS ESTIMATES VS. CONSENSUS

FY Jan 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Salesforce, Inc. (CRM.N)

Durable Moat & Right AI Journey, Balanced by Limited Growth Visibility

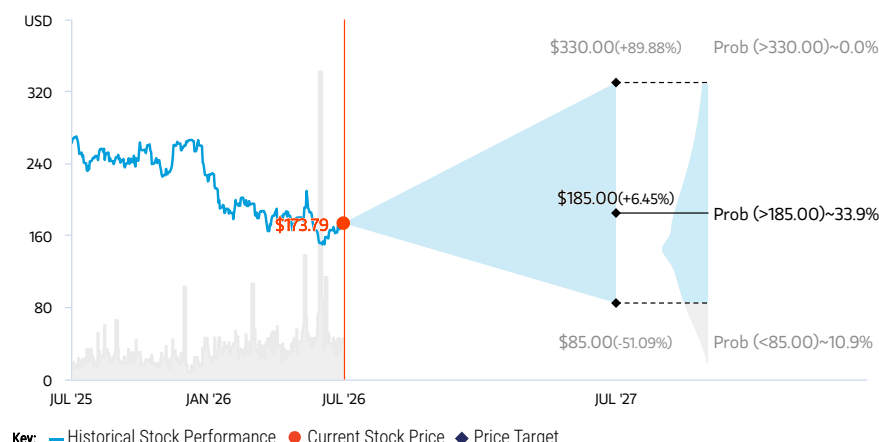
PRICE TARGET \$185.00

Based on a 10x multiple applied to our FY29e FCF per share of ~\$21, discounted back at ~10%, adding back (\$13) net cash per share.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

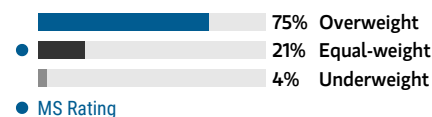


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- Salesforce retains a durable moat across enterprise distribution & SoR strength, while management's willingness to disrupt the legacy seat-based model positions the company well for an agentic world centered on actions & outcomes
- Strong Agentforce adoption & AI activity are being offset by persistent drags across legacy areas (namely Commerce & Tableau), leaving organic growth on a decelerating path and limiting near-term visibility into durable topline acceleration
- Margin expansion provides meaningful longer-term optionality w/room to drive greater leverage once current investment cycle moderates, however, at ~18x GAAP P/E, shares look fairly priced absent notable growth improvement

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption:	Negative
Secular Growth:	Positive
Technology Diffusion:	Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$330.00

14x FY29e FCF of ~\$24B

~15% FY26-29 revenue CAGR, on the back of rapid adoption of Agentforce and Data Cloud and improved renewal rates as CRM becomes more of a strategic tech provider for customers. A larger base of high margin renewal business drives op. margins to ~39% by FY29. A ~20% FCF growth CAGR supports CRM's multiple at 14x EV/FCF in FY28, yielding a forward twelve month \$330 valuation, assuming a ~10% discount rate.

BASE CASE

\$185.00

10x FY29e FCF of ~\$19B

Double-digit revenue CAGR, benefitting from recent M&A. Stability in Sales & Service Clouds with durable growth in Agentforce and AI initiatives support revenue growing at a ~10% CAGR from FY26-29. FCF benefits as op margins grow to ~36% by FY29. We value shares at 10x EV/FCF in FY28 discounted at a ~10% WACC. Our PT implies ~20x GAAP eps, largely inline with scaled Software peers of a similar growth profile.

BEAR CASE

\$85.00

6x FY29e FCF of ~\$15B

Increased competition and legacy portfolio drag on growth. AI native competitors out-innovate driving customers to build in-house solutions, increasing attrition and pressuring topline growth towards the mid-single digits over the next 3 years. Incremental investments limit margin expansion potential despite increasing opex discipline, limiting margin expansion to ~mid 30s by FY29. CRM trades at 6x EV/FCF in FY29, yielding a forward twelve month \$85 valuation, assuming a ~10% discount rate.

Risk Reward – Salesforce, Inc. (CRM.N)

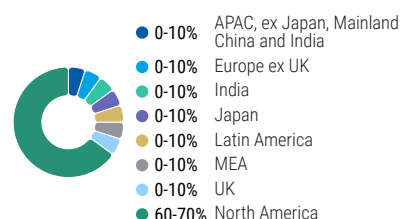
KEY EARNINGS INPUTS

Drivers	Jan 2026	Jan 2027e	Jan 2028e	Jan 2029e
Total Billings YoY Growth (%)	13.8	7.3	0.0	0.0
Current Remaining Performance Obligations YoY (%)	16.2	11.4	0.0	0.0
Current RPO-Base Bookings YoY (%)	14.6	7.9	0.0	0.0
Operating Margin % (%)	34.1	34.3	34.9	35.7

INVESTMENT DRIVERS

- Organic revenue growth sustains near high-teens CAGR
- Balanced revenue growth and margin framework following recent M&A

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Quicker than expected, effective monetization of Gen AI products / headless initiatives
- Announcements of significant new cost cutting initiatives
- Larger buyback authorizations & faster deployment of buybacks

RISKS TO DOWNSIDE

- Agentforce / Headless initiatives fail to stabilize growth
- GenAI investments weigh on margins
- Demand for new CRM front-office solutions crowded out as enterprises utilize alternative platforms

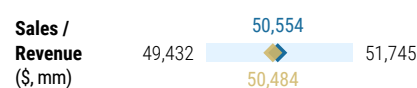
OWNERSHIP POSITIONING

Inst. Owners, % Active	51%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jan 2028e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Intuit (INTU.O)

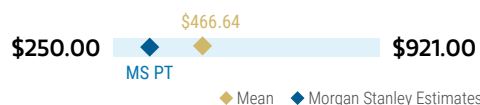
Durable EPS Grower Weighed By Near-Term Overhangs

PRICE TARGET \$335.00

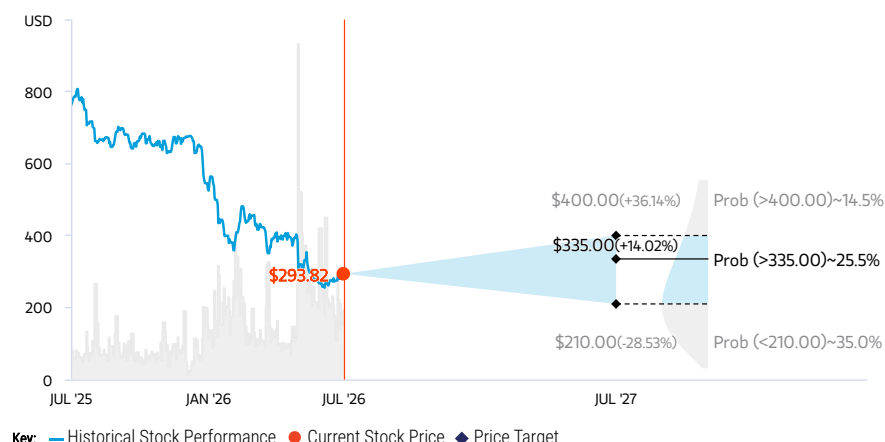
~15x Base Case GAAP CY27e EPS of \$22.42, implying a PEG ratio of 0.8x, below large cap software peers at 1.4x.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

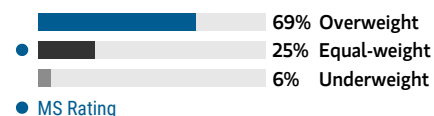


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

While Intuit is in the early days of two compelling product cycles in Mid-Market Accounting and Assisted Tax, we point to three key risks that keep us Equal-weight: 1) Tax Overhang, Upcoming FY27 Guide in Likely a Lose-Lose Situation, and 3) AI Not Inflecting Growth Yet. Despite Intuit's durable double digit revenue and mid-teens EPS growth not fully being priced in with the stock trading well below large cap peers.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Negative*
 Secular Growth: *Positive*
 Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$400.00

~17x Bull Case CY27e EPS of \$23.60.

Monetizing Two Key Product Cycles.

Intuit is able to monetize the rollout of Intuit Enterprise Suite and broader QBO platform, resulting in Quickbooks Online revenue growth of 22% through CY27. TurboTax grows 11% annually through CY27 by gaining share in the Assisted Category, alongside beneficial pricing trends. Total Revenue grows at a CAGR of ~14% while margins expand due to improved monetization, lifting GAAP CY27 EPS to \$23.60. Stock trades to ~17x CY27e EPS, or ~0.8x PEG.

BASE CASE \$335.00

~15x Base Case GAAP CY27e EPS of \$22.42

Focus on Higher Value Solutions Drives Margin Expansion.

QBO add-ons and other high value solutions gain traction alongside new sub adds, bolstering Global Business Solutions Group Revenue to 13% growth through CY27. Consumer grows ~8% annually through CY27. Margins improve to 42% in CY27, resulting in GAAP EPS of \$22.42. Stock trades to ~15x CY27 EPS estimate, implying a PEG of ~0.8x, below large cap software peers.

BEAR CASE \$210.00

~12x Bear Case CY27e EPS of \$18.39

Competition Heats Up Across QBO and TT.

Online proves to be a more competitive market for both tax and small business resulting in price and market share pressure. Competition constrains pricing and units while investments in int'l expansion fail to pay off. Top-line growth of 10% embeds Consumer growth of 5% and SMB growth of 14% thru CY27. Margin expansion is constrained, resulting in CY27e EPS of \$18.39. The stock trades at ~12x CY27e EPS.

Risk Reward – Intuit (INTU.O)

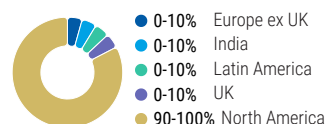
KEY EARNINGS INPUTS

Drivers	Jul 2025	Jul 2026e	Jul 2027e	Jul 2028e
Online Ecosystem Revenue YoY Growth (%)	24.8	22.9	19.7	18.3
Small Business Segment Revenue YoY Growth (%)	18.5	17.9	15.4	13.9
Operating Margin (%)	40.2	41.2	43.2	44.2
QBO Subscriber Growth (%)	5.7	6.1	3.9	3.3

INVESTMENT DRIVERS

- Adoption of TurboTax Live / Full Assist and Intuit Enterprise Suite
- FY Tax Season Results
- Pricing actions

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Accelerating growth at TurboTax Live and Full Assist
- Greater adoption of QBO Advanced and IES
- Further efficiencies lead to greater margin expansion

RISKS TO DOWNSIDE

- Competitive pressures intensify, leading to further share losses at TurboTax
- QBO growth disappoints as adoption of Advanced slows
- A slowing macro environment negatively impacts the more macro sensitive Credit Karma and Mailchimp businesses

OWNERSHIP POSITIONING

Inst. Owners, % Active	52.8%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jul 2026e

Sales / Revenue (\$, mm)	21,315	21,366 21,368	21,472
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EBITDA (\$, mm)	8,233	8,976 9,067	9,637
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Net income (\$, mm)	6,565	6,641 6,629	6,659
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EPS (\$)	23.21	23.82 23.82	23.96
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Source: Refinitiv, Morgan Stanley Research
◆ Mean ◆ Morgan Stanley Estimates

Risk Reward – Workday Inc (WDAY.O)

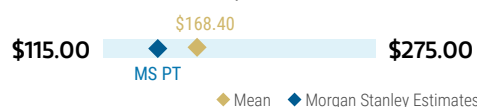
Strong Moat, But AI Journey Will Take Time

PRICE TARGET \$145.00

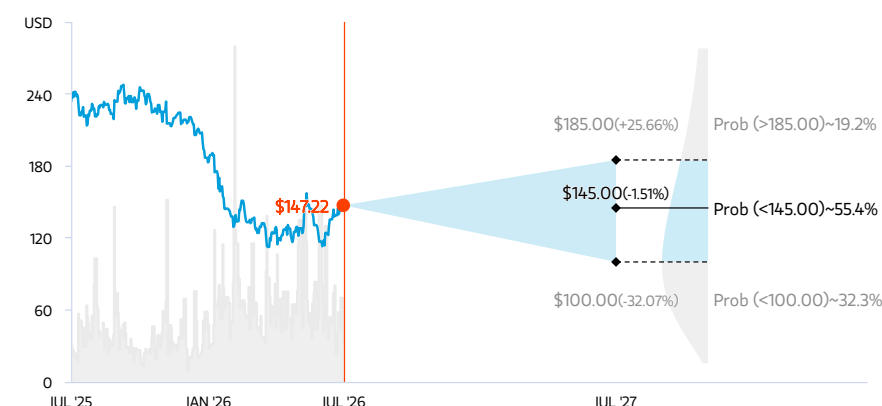
17x Base Case CY27e FCF ex-SBC, more in-line with mature-at-scale peers.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



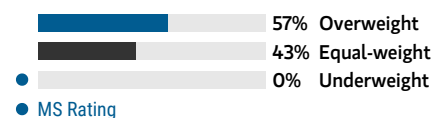
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

UNDERWEIGHT THESIS

Despite a large potential market opportunity, best-in-class retention rate, and a growing product portfolio, we have seen consensus expectations around growth deteriorate over the past few years, leading to investor concerns of continued drags on growth. And now with the advent of AI, there is increased uncertainty around Workday's positioning and growth path going forward. We ultimately view Workday as well positioned given their strong moat, but from a timing perspective think it will take some time before AI starts driving a meaningful growth acceleration, so on a relative basis there are more attractive opportunities elsewhere in our coverage group today.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Negative*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$185.00

Discounted 12x Bull Case CY29e FCF of \$4.4B

Workday's Investments Start to Accelerate Growth

Subscription revenue grows 14% CY24-CY29 CAGR, to reach \$13.4B total revenue. Strong top-line growth helps op. margins improve to ~34% in CY29. WDAY trades at 12x our CY29 FCF estimate of \$4.4B, discounted back at a ~12% discount rate, implying 23x EV/CY27 FCF ex. SBC.

BASE CASE \$145.00

Discounted 9x Base Case CY29e FCF of \$4.4B

Workday's Longer Journey to AI Monetization Delays Subscription Revenue Inflection

Subscription revenue grows 13% through CY29, to reach \$13B total revenue. Stable top-line growth and expanding subscription margins drive op. margins to ~34% in CY29. WDAY trades at 9x our CY29 FCF estimate of \$4.4B, discounted back at a ~12% discount rate, implying 17x EV/CY27 FCF ex. SBC.

BEAR CASE \$100.00

Discounted 7x Bear Case CY29e FCF of \$3.9B

Legacy Vendors Fight Back, Limited Success Outside of HCM Drives Subscription Revenue Deceleration

Subscription revenue grows 12% CY24-CY29 CAGR, to reach \$12.1B total revenue. Op. margins improve to ~33% in CY29. WDAY trades at 7x our CY29 FCF estimate of \$3.9B, discounted back at a ~12% discount rate, implying 15x EV/CY27 FCF ex. SBC.

Risk Reward – Workday Inc (WDAY.O)

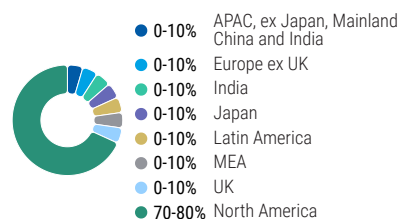
KEY EARNINGS INPUTS

Drivers	Dec 2026	Dec 2027e	Dec 2028e	Dec 2029e
Subscription Billings YoY Growth (%)	15.1	13.7	12.1	11.8
Subscription Revenue YoY Growth (%)	14.4	12.5	11.6	11.0
Operating Margin (%)	29.6	30.5	31.9	33.7
FCF YoY Growth (%)	26.7	14.9	18.6	16.0

INVESTMENT DRIVERS

- AI adoption and monetization
- Mid-market push
- Robust upsell motion
- Margin expansion

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- AI product adoption accelerates
- Greater margin expansion

RISKS TO DOWNSIDE

- Legacy vendors holding onto their bases better
- Lack of operating leverage
- Growth continues to decelerate

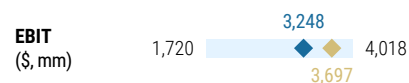
OWNERSHIP POSITIONING

Inst. Owners, % Active	51.3%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – JFrog Ltd. (FROG.O)

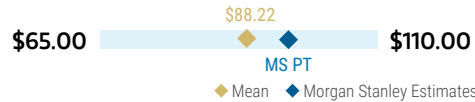
Sticky Core Business with Additional Growth Vectors; Lots of Good News Priced In

PRICE TARGET \$95.00

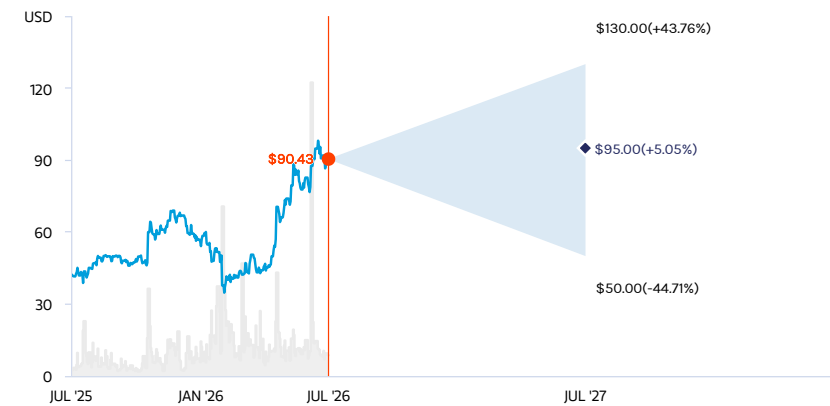
59x CY27e EV/FCF/sh of \$1.51 (\$199M FCF or 26% margin), a premium to DevOps peers at 30x as it is uniquely positioned to benefit from the robust growth in software updates and AI models while not exposed to any potential headcount pressures.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



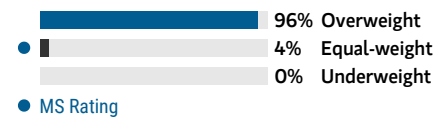
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

As the market leader in binary package management, JFrog looks to leverage its strong market position to automate the software delivery lifecycle enabling customers to accelerate the pace of software-driven innovation. We view JFrog's core market as highly defensible and we see credible avenues for expansion in the areas of security and edge distribution. However, the stock's strong move since March 2026 (up >130%) raises expectations and leaves less margin for error, particularly as we consider that Cloud revenue is set to face tougher YoY compares in the coming quarters and more enterprises signal caution about the explosion in token usage.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$130.00

66x CY27e EV/FCF/sh of \$1.88

Accelerating revenue growth as economy rebounds and significant progress on becoming an end-to-end DevSecOps platform

-Revenue grows to \$830M in CY27, a ~25% 2-yr CAGR

-Op margins improve from 17% in CY25 to 25% by CY27, yielding FCF of \$248M (30% margin) or \$1.88 per share

-Apply a 66x EV/CY27/sh FCF multiple to get to our \$130 PT

BASE CASE

\$95.00

59x CY27e EV/FCF/sh of \$1.51

Expanding its multi-product capabilities

-Revenue grows to \$765M in CY27, a ~21% 2-yr CAGR

-Op margins improve from 17% in CY25 to 21% by CY27, yielding FCF of \$199M (26% margin) or \$1.51 per share

-Apply a 59x EV/CY27 FCF/sh multiple to get to our \$95 PT

BEAR CASE

\$50.00

41x CY27e EV/FCF/sh of \$1.09

Sharp market inflection to the Public Cloud + intensifying competition from large platform rivals lead to stagnating market share

-Revenue grows to \$684M in CY27, a ~17% 2-yr CAGR

-Op margins tick down 1pt to 16% through CY27, yielding FCF of \$144M (21% margin) or \$1.09 per share

-Apply a 41x EV/CY27 FCF multiple to get to our \$50 PT

Risk Reward – JFrog Ltd. (FROG.O)

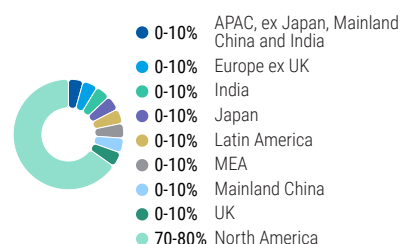
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Billings YoY Growth (%)	22.7	18.8	18.2	15.5
Total Revenue YoY Growth (%)	24.1	18.6	21.2	21.0
Net Revenue Retention Rate (%)	114.5	113.0	113.0	113.0
Customer Count Growth (%)	(9.6)	1.2	1.2	1.2
Operating Margin (%)	17.3	18.2	21.1	22.2

INVESTMENT DRIVERS

- Growth in Customers >\$100k and >\$1M ARR
- Net Dollar Retention Rate
- Cloud Revenue Mix Shift and Enterprise+ Platform Adoption
- Security and AI/MLOps Adoption As Multi-Product Expansion Vectors
- Operating Profitability and FCF Performance

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-for-longer cloud consumption
- Faster security adoption, larger enterprise wins, stronger AI-Native customer growth
- Positive estimate revisions

RISKS TO DOWNSIDE

- Sharper cloud deceleration
- Weaker conversion of usage into commitments
- Competitive pressure from AI coding or security platforms
- Slower enterprise deal conversion
- Operational efficiency does not improve

OWNERSHIP POSITIONING

Inst. Owners, % Active	75.8%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (\$, mm)	630	631	669
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EBIT (\$, mm)	107	115	130
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EPS (\$)	0.93	0.96	1.05
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◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – PagerDuty, Inc. (PD.N)

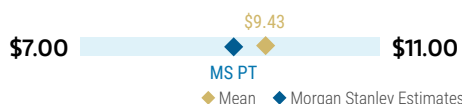
Weak Moat and Extended Journey

PRICE TARGET \$9.00

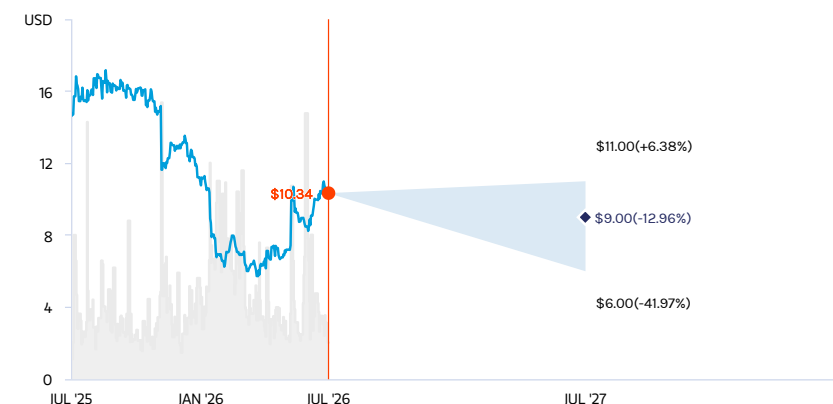
Based on 6.5x CY27 FCF/share. Our price target is supported by 0% CY25-CY27 Revenue CAGR yielding \$496M of revenue in CY27, while operating margin remains at 25% through CY27 yielding \$100M of FCF (20% margin) or \$1.22 FCF/sh, to which we apply a 6.5x multiple to arrive at our \$9 price target, a discount to the SMid-cap median due to PD's below peer growth. Our PT implies 1.3x EV/CY27 Sales.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



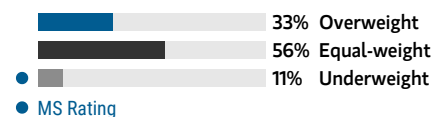
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

PagerDuty screens in the bottom quintile of our Software Evaluation Framework, with a weak Moat score and a middling Journey score. This reinforces our view that persistent ARR pressure, seat compression, and platform-consolidation risk are not fully offset by cheap valuation. More specifically, we see PagerDuty as vulnerable from both above and below: from above, as larger observability, cloud, ITSM, and DevOps platforms increasingly consolidate incident response, AIOps, and automation into broader suites; and from below, as emerging AI-native startups target narrower incident response and remediation workflows with more modern, agentic architectures.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

\$11.00

7.5x CY27e FCF/Share of \$1.34

Expanded Product Portfolio Creates New Upsell Opps Which Drive More Durable Top-Line & Larger Market Opportunity.

- Customer count growth slightly down thru CY27, reaching ~15.5k
- Revenue grows at a 3% CAGR thru CY27, reaching \$518M
- Operating margins improve from 25% in CY25 to 26% in CY27
- FCF of \$110M in CY27 (21% margin), or \$1.34/sh
- 7.5x Multiple CY27 FCF/Share of \$1.34
- \$11 implies 1.6x EV/CY27 Sales

BASE CASE

\$9.00

6.5x CY27e FCF/Share of \$1.22

Recovery Taking Longer to Play Out than Previously Expected.

- Customer count growth slightly down thru CY27, reaching 15.5k
- Revenue grows at a 0% CAGR thru 2027, reaching \$496 million
- Operating margins remain at 25% through CY27
- FCF of \$100M in CY27 (20% margin), or \$1.22/sh
- 6.5x Multiple CY27 FCF/Share of \$1.22
- \$9 PT implies 1.3x EV/CY27 Sales

BEAR CASE

\$6.00

5x CY27e FCF/Share of \$1.09

Competition Weighs on Pricing While Investments in New Products Don't Drive Significant Upsell, Limiting Margin Expansion.

- Customer count growth slightly down thru CY27, reaching ~15.4k
- Revenue declines at a 2% CAGR thru CY27, reaching \$475M
- Operating margins deteriorate from 25% in CY25 to 24% in CY27
- FCF of \$90M in CY27 (19% margin), or \$1.09/sh
- 5x Multiple CY27 FCF/Share of \$1.09
- \$6 implies 1x EV/CY27 Sales

Risk Reward – PagerDuty, Inc. (PD.N)

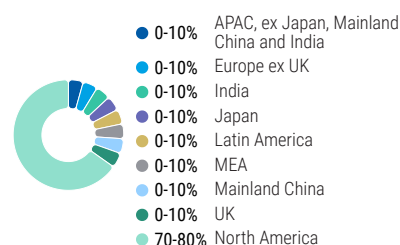
KEY EARNINGS INPUTS

Drivers	Jan 2026	Jan 2027e	Jan 2028e	Jan 2029e
Total Billings YoY Growth (%)	2.2	0.1	0.7	0.9
Total Revenue YoY Growth (%)	5.4	0.0	0.7	0.9
Net Revenue Retention Rate (%)	98.0	97.4	98.3	98.3
Customer Count Growth (%)	1.6	0.5	0.3	0.0

INVESTMENT DRIVERS

- Net revenue retention rate
- Growth in customers >\$100K in ARR
- New customer additions

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Sales productivity increases;
- Growing traction in new products drive more upsell activity and return to 120%+ net revenue retention;
- Traction of AI and consumption-based pricing

RISKS TO DOWNSIDE

- Increased competition from larger, multi-product developer focused software firms;
- Slower adoption of new offerings outside of core on-call management;
- Less than expected penetration of users outside of IT operations.

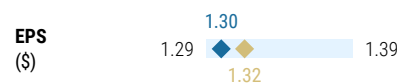
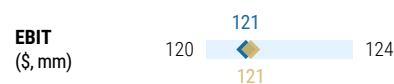
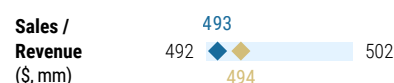
OWNERSHIP POSITIONING

Inst. Owners, % Active	46.3%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jan 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Elastic NV (ESTC.N)

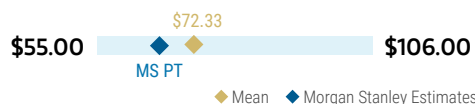
Improved Growth Profile Taking Longer to Emerge

PRICE TARGET \$66.00

We arrive at our \$66 price target by applying a ~13x multiple (0.51x growth-adjusted) to our CY28 FCF/shr estimate of \$5.09. This implies 3.0x EV/CY27 Sales or 0.20x growth-adjusted, which reflects a discount to the DevOps peer median of 4.8x/0.44x.

Consensus Price Target Distribution

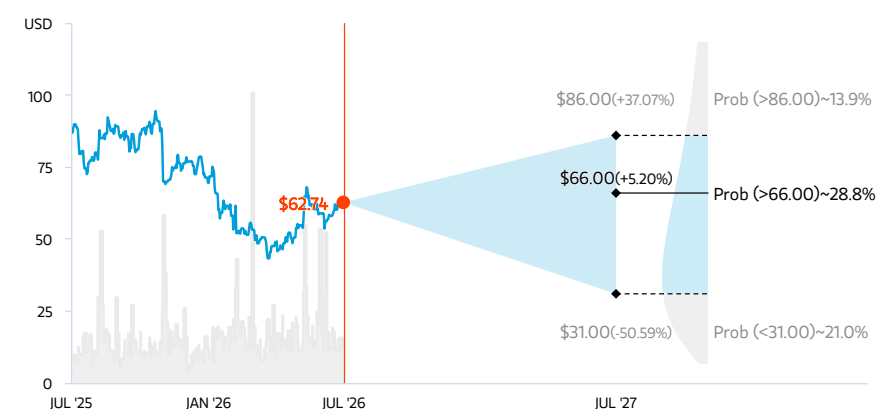
Source: Refinitiv, Morgan Stanley Research



EQUAL-WEIGHT THESIS

Elastic's AI/vector-search-led growth inflection has yet to materialize, and it is not visibly sharing in the AI-driven acceleration that is now increasingly being seen across data-infra peers. Shares are undemanding at 2.9x EV/CY27 sales, but absent clearer AI traction or a broader growth catalyst we see the multiple staying range-bound and risk/reward balanced.

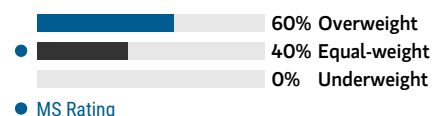
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
 Secular Growth: *Positive*
 Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$86.00	BASE CASE	\$66.00	BEAR CASE	\$31.00
~16x EV/CY28 FCF/shr of \$5.69, disc back		~13x EV/CY28 FCF/shr \$5.09, disc back		~7x EV/CY28 FCF/shr of \$4.16, disc back	
- Revenue grows at a 17% CY25-28 CAGR to \$2.7 billion		- Revenue grows at a 14% CY25-28 CAGR to \$2.5 billion		- Revenue grows at a 9% CY25-28 CAGR to ~\$2.2 billion	
- Operating margins improve from 16.6% in CY25 to 22.2% in CY28		- Operating margins improve from 16.6% in CY25 to 21.4% in CY28		- Operating margins improve from 16.6% in CY25 to ~20.2% in CY28	
- FCF margins expand to 23.1% in CY28, yielding \$5.69/share		- FCF margins expand to 22.3% in CY28, yielding \$5.09/share		- FCF margins expand to 21.1% in CY28, yielding \$4.16/share	
- We apply ~16x EV/CY28 FCF/shr, reflecting ~0.54x growth-adjusted (CY26-CY28), disc back to CY27 at a ~10.5% WACC		- We apply ~13x EV/CY28 FCF, reflecting 0.51x growth-adjusted (CY26-CY28), disc back to CY27 at a 10.5% WACC		- We apply ~7x EV/CY28 FCF/shr, reflecting ~0.32x growth-adjusted (CY26-CY28), disc back to CY27 at a ~10.5% WACC	
- This implies 3.9x EV/CY27 Sales or ~0.22x growth-adjusted		- This implies 3.0x EV/CY27 Sales or 0.20x growth-adjusted		- This implies ~1.3x EV/CY27 Sales or 0.13x growth-adjusted	

Risk Reward – Elastic NV (ESTC.N)

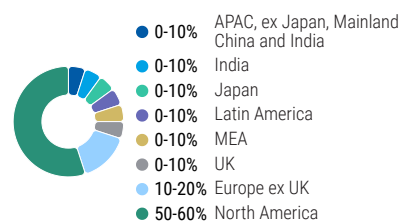
KEY EARNINGS INPUTS

Drivers	Apr 2026	Apr 2027e	Apr 2028e	Apr 2029e
Total Revenues (\$, mm)	1,739	1,993	2,289	2,590
Subscription Revenue (\$, mm)	1,634	1,881	2,170	2,467
Operating Income (\$, mm)	285	378	468	557

INVESTMENT DRIVERS

Use case expansion, upsell via higher pricing tiers, adoption of Elastic Cloud, and conversion of free users.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Elastic drives faster than expected use case expansion in Security and Observability
- The ~5% GenAI tailwind materializes, accelerating sales-led subscription growth
- Adoption of Elastic Cloud grows at a faster rate

RISKS TO DOWNSIDE

- Competition intensifies across observability, SIEM and hyperscalers
- Internal disruption from sales changes or management departures
- New search paradigms arrive through GenAI

OWNERSHIP POSITIONING

Inst. Owners, % Active	54.3%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Apr 2028e

Sales / Revenue (\$, mm)	2,213		2,330
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EBIT (\$, mm)	365		531
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EPS (\$)	3.44		4.45
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◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Rapid7 Inc (RPD.O)

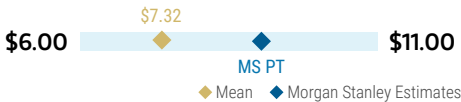
Needs to Prove New Product Innovations Can Gain Traction

PRICE TARGET \$9.00

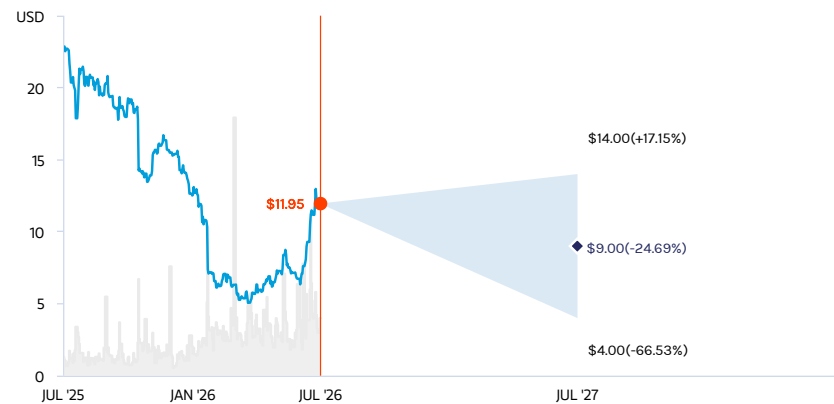
Based off of 5x Base Case 2027e FCF of \$146M. Our Base Case assumes Revenue declines at a -2% CAGR CY25-CY27 to reach \$834M by 2027, while Operating margin deteriorates from 19.4% in 2024 to 15.1% in 2027, yielding FCF of \$146M (17.5% margin). Our \$9 PT implies 0.82x growth-adjusted EV/CY27 Sales.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



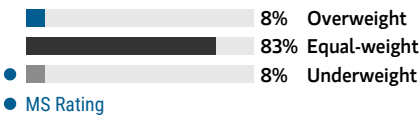
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

Rapid7 has evolved from core Vulnerability Management into broader security ops platform, which includes VM, security analytics, threat intelligence, cloud security and others. While we're enthusiastic on this evolved vision, we think expansion into large but highly competitive markets and increased M&A is likely to limit margin expansion, with operating profitability already below peers. While 14x EV/CY27 Sales valuation is undemanding, more consistent execution is required before seeing a return to double-digit growth again.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Contrarian: Negative
Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$14.00

7x Bull Case 2027e FCF of \$159M

Products Solidify into Leading Next-Gen Security Platform. Market expansion of customer base + improved cross sell of existing customers drives significant product growth. RPD's customer base reaches ~12K in CY27. Cumulative product per customer grows in the mid teens and total revenue reaches \$886M by CY27. Op. margins start to expand to ~16% from CY26e declines, with FCF margin of 16%. 7x EV/CY27 FCF of \$159M yields \$14.

BASE CASE

\$9.00

5x Base Case 2027e FCF of \$146M

Strong Execution in Core Markets. RPD's customer growth is relatively flat in its core markets, staying at ~11K in CY27. RPD continues to increase upsells within its base as cumulative revenue per customer grows mid teens, and total revenue reaches \$834M by CY27. Operating margins move to 15.1% in CY27 and FCF margin to 17.5%. 5x EV/CY27 FCF of \$146M, yields PT of \$9

BEAR CASE

\$4.00

3x Bear Case 2027e FCF of \$106M

Stronger Competition Slows Growth. Competition within core markets from larger vendors displaces RPD's market share. Upsells into the existing customer base slows and total rev. reaches \$787M by CY27. Op. margins deteriorate and FCF margin declines to 13% in CY27. 3x EV/CY27 FCF of \$106M yields \$4 PT.

Risk Reward – Rapid7 Inc (RPD.O)

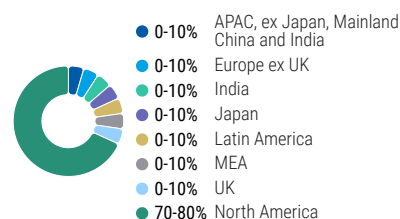
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
ARR Revenue Growth -YoY (%)	0.0	(1.2)	(0.1)	0.2
Billings Growth - YoY (%)	1.0	(0.7)	1.8	0.2
Operating Margin (%)	15.8	13.7	15.1	16.2

INVESTMENT DRIVERS

- VM demand accelerates due to new regulation / growing asset footprint
- New customer wins
- Increased penetration of existing customers.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- VM demand accelerates due to new regulation / growing asset footprint
- New customer wins
- Increased penetration of existing customers.

RISKS TO DOWNSIDE

- Increased competition from large competitors, particularly in new markets.
- Limited growth in markets outside of vulnerability management and limited adoption of new subscription offerings
- Investments in the new product portfolio could drive more muted margin leverage.

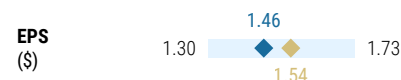
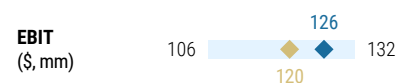
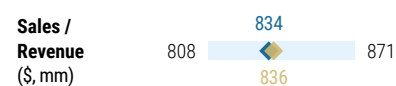
OWNERSHIP POSITIONING

Inst. Owners, % Active	44.9%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Wix.Com Ltd (WIX.O)

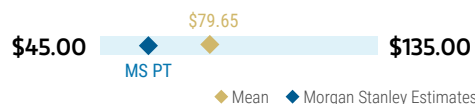
'Vibe' Shift Raises Core Questions on Website Health & Blended Margin Profile

PRICE TARGET \$60.00

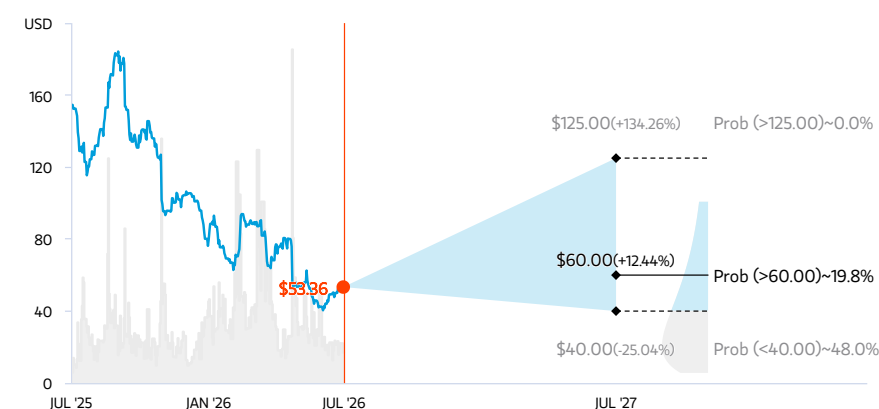
We apply a 3x EV/FCF multiple on 2035 FCF of \$1.4B and discount back at 10.5%. Our PT implies ~3x EV/CY27 FCF (slight discount to customer enablement peers given challenged near-term FCF growth and outsized AI disruption debate).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



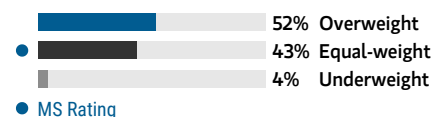
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- Wix retains strong brand, distribution, and installed-base reach, but given its core website product lacks deep SoR or network effect advantages, see the durability of its moat as increasingly debated as AI-native competitors lower creation barriers
- Harmony & Base44 demonstrate progress on Wix's AI journey, yet consolidated growth is not accelerating despite acquired asset strength, raising questions around the health of the core website-building business
- Valuation screens inexpensive at ~3x CY27 FCF, but Base44's compute and S&M intensity is depressing near-term FCF; absent a notable growth acceleration and/or a meaningfully improving margin profile, shares likely remain range-bound

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Negative*
New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$125.00

Growth Accelerates as Investments Yield

Revenue grows at a high teens CAGR to \$2.8B in FY27 as Base44 and Wix Harmony prove additive to ARPU and premium subscriptions. We apply a 9x EV/FCF multiple to \$1.3B in CY35 FCF & discount back which implies ~10x EV/CY27 FCF, largely inline with customer enablement / front office peers.

BASE CASE

\$60.00

AI Journey Comes with Outsized Investments

Revenue grows at a ~mid-teens CAGR to \$2.5M in FY27 as Base44 and Wix Harmony cohorts compound. FCF margins remain <20% as S&M investments weigh on OpEx. We apply a 3x EV/FCF multiple to \$1.4B FCF in CY35 and discount back at 10.5% which implies an EV/FCF multiple of ~3x. 3x is a modest discount to customers enablement peers, warranted given pressured near-term FCF growth and outsized AI disruption debate.

BEAR CASE

\$40.00

AI Competition Stymies Growth

External AI competition weighs on the topline, driving a ~high-single digit growth CAGR to \$2.4B in FY27. Growth investments moderate, though FCF margins still limited to ~20% over the medium-term. We apply a 2X EV/FCF multiple to ~\$750M FCF in CY35 FCF and discount back at 10.5% which implies ~1.0x EV/CY27 FCF, reflecting real terminal value risk.

Risk Reward – Wix.Com Ltd (WIX.O)

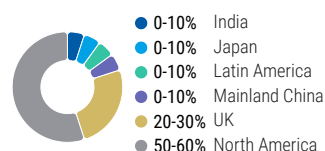
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Collections Growth (YoY) (%)	13.1	0.0	0.0	0.0
Revenue Growth (YoY) (%)	13.2	0.0	0.0	0.0
Premium Subscriptions Growth (YoY) (%)	(1.2)	0.0	0.0	0.0
Non-GAAP Operating Margin (%)	19.1	11.2	14.6	16.0
Unlevered Free Cash Flow Margin (%)	28.8	14.7	18.1	19.9

INVESTMENT DRIVERS

- Increasing ARPU through better attach rates
- Acceleration of new revenue streams like Payments
- Expansion of platform features & functionality
- Recent investment cycle drives operating leverage and cash flow growth in FY23+

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Base44 and Harmony cohorts compound to accelerate revenue growth
- Improved unit economics in Base44 as cohorts mature and scale
- Greater than expected leverage from recent restructuring

RISKS TO DOWNSIDE

- Inability to drive improving paid user mix, annual subscriptions, & better retention in Base44, structurally dampens profitability
- AI native competition drives ARPU pressure in core websites, weighing on growth

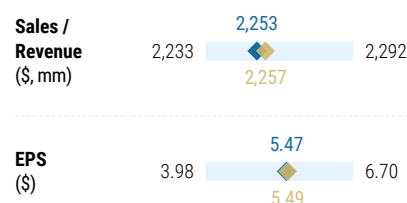
OWNERSHIP POSITIONING

Inst. Owners, % Active	80%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Risk Reward – NICE Ltd. (NICE.O)

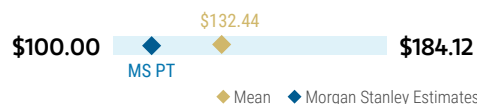
Waiting For The 'Clouds' to Part

PRICE TARGET \$111.00

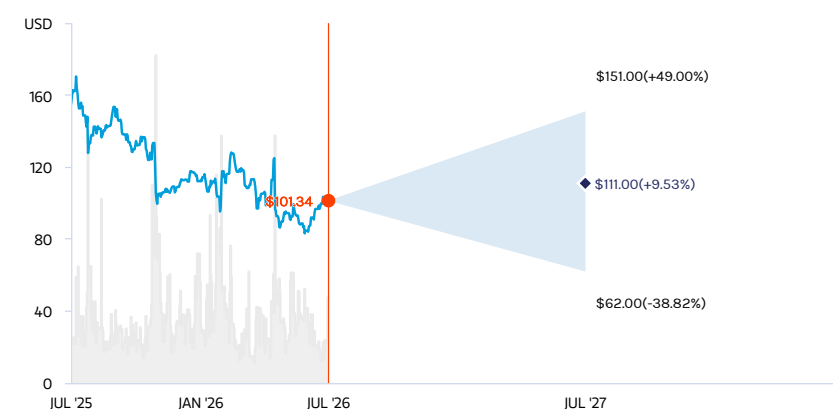
Our price target is based on ~8.5x our FY27e FCF estimate of ~\$689mm. This reflects a discount to Customer Enablement/Front Office software peers (9.3x group median), and assumes accelerating Cloud revenue growth of ~14% CAGR (from '25-'27e).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



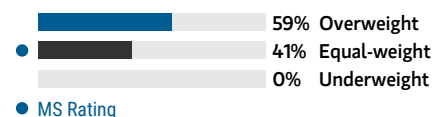
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Cloud contact center market growth remains compelling on the back of increased prioritization of digital transformation initiatives; remains a relatively defensive investment in challenging macro given ROI of solution
- NICE is a leading player in the CCaaS market with limited competitors today able to offer the same feature functionality at scale, and has strong conversational AI capability (Cognigy)
- However, a more gradual path to Cloud re-acceleration, as well as margin/FCF headwinds from associated organic growth investments limit re-rating potential, with multiple staying range-bound and risk/reward balanced.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$151.00

~10.5x FY27e FCF of ~\$790mm

Cloud adoption accelerates; AI monetization supportive. Cloud revenues re-accelerate to high-teens, as AI drives faster cloud adoption in enterprises, complementing stability in core core CCaaS. NICE benefits from attractive economics on AI offerings in out years, as industry remains consolidated and pricing remains stable -- ultimately supporting further GM expansion. Represents ~10.5x FY27e FCF of ~\$790mm, towards the high end of Customer Enablement / Front Office peers on a growth-adj basis.

BASE CASE

\$111.00

~8.5x FY27e FCF of \$689mm

Cloud momentum comes with outsized investments. Enterprises continue to prioritize cloud deployments, supporting low to mid teens cloud revenue growth through '27e. While company shows incremental progress towards accelerating growth, concerns on durability of growth and profitability recovery weigh on multiple and limit re-rating potential. Represents ~8.5x FY27e FCF on our estimate of \$689mm, a slight discount to Customer Enablement / Front Office peers (9.3x group median).

BEAR CASE

\$62.00

~5x FY27e FCF of \$597mm

Cloud disappoints, AI investments weigh on FCF growth. Cloud revenue growth slows to HSD% as industry macro slows cloud transitions despite ROI. Concern grows on seat counts from AI, driving multiple further below peers. Competition in the space (particularly for AI) increases, driving limited GM expansion alongside outsized AI and GTM investment that limit FCF growth. Represents ~5x FY27e bear case FCF of \$597mm, reflecting a discount to the low end of Customer Enablement / Front Office peers.

Risk Reward – NICE Ltd. (NICE.O)

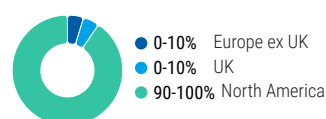
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Revenue Growth Y/Y (%)	7.7	7.9	9.8	12.5
Gross Margin (%)	69.6	67.7	68.5	69.6
Operating Margin (%)	30.8	25.8	26.3	26.7
Billings Growth Y/Y (%)	0.0	0.0	0.0	0.0
FCF Growth Y/Y (%)	(3.5)	(0.7)	(7.4)	11.6

INVESTMENT DRIVERS

- Accelerating contact center migration to cloud.
- Increased prioritization of digital transformation initiatives around customer engagement.
- Growing usage and monetization of AI within software platform offerings.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Cloud accelerates with increased prioritization of contact center upgrades and upsell of AI features
- Profitability recovers faster than expected
- Strategic actions with non-core FCC/Pub safety assets

RISKS TO DOWNSIDE

- Organic cloud revenues decelerate, heightening AI degradation concerns
- Larger than expected AI & GTM investments weigh on FCF growth
- Competition increases as new entrants gain outsized traction

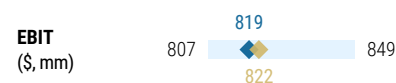
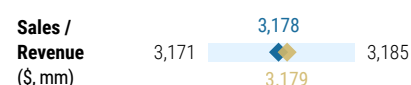
OWNERSHIP POSITIONING

Inst. Owners, % Active	92.4%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Vertex Inc. (VERX.O)

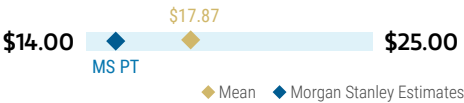
Proprietary Data Moat, But End Market Elongates the AI Journey

PRICE TARGET \$15.00

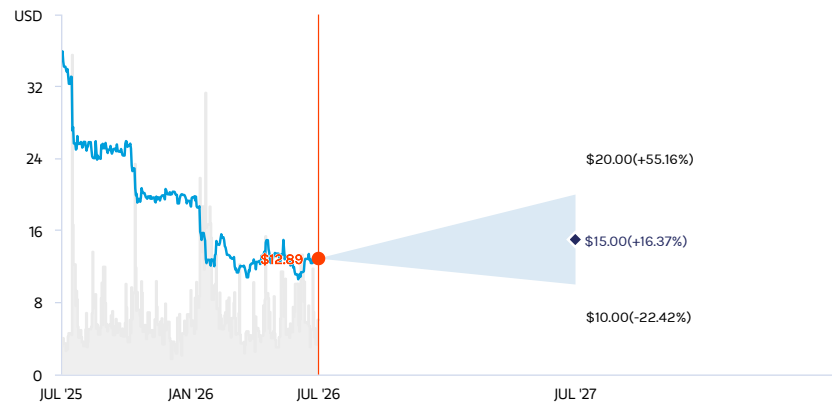
Supported by a 21X CY27 FCF (incl. SBC expense) multiple, which is warranted because it is more in-line with Transition group peers growing in the 10-20% range.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

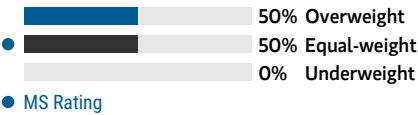


Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target
Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

Vertex is currently undergoing a period of transition. With a new CEO, Vertex is making changes to its leadership team and increasing its focus on new product development. While we are encouraged by these changes, they will take time to flow through to an improving Net Retention Rate (NRR). One of the main reasons why this will take time is just a function of the end-market that Vertex serves. Given tax compliance requires high levels of accuracy, controls, and auditability, it will take time for these risk-averse buyers to get fully comfortable adopting and scaling new AI products in this space.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$20.00

~15X CY27 EBITDA ex-SBC

Combination of Accelerating Growth + Best-In-Class Margins. Vertex's new investments lead to accelerating revenue growth, supporting a 12% CAGR and \$1.2B by CY29. Revamped unit economics allow for margin expansion beyond historical levels as FCF margins improve to ~25% in CY29. Our bull case of \$20 assumes a 13X CY29 FCF multiple on ~\$300M of FCF discounted back at a 12.4% WACC. \$20 implies ~15X CY27 EBITDA ex-SBC.

BASE CASE

\$15.00

~12X CY27 EBITDA ex-SBC

New Investments Improve Growth on the Path to Rule of 40+. Vertex's latest growth investments result in accelerating growth and improved competitive positioning. Revenue grows at a 11% CAGR to reach \$1.1B in CY29. Improving unit economics expand FCF margins from today's levels, reaching ~26% in CY29 to generate ~\$300M FCF. A 9X CY29 FCF multiple, discounted back at 12.4% WACC yields our \$15 PT, which implies 12X CY27 EBITDA ex-SBC and 21X CY27 FCF ex-SBC, in-line with Transition group peers.

BEAR CASE

\$10.00

~7X CY27 EBITDA

Competition Limits Growth and Erodes Differentiation. As Vertex expands into new markets, established competitors prove to be more durable than imagined, limiting growth and margin potential. Revenue grows at a 8% CAGR through CY29 to reach \$1.0B and FCF margin expands to ~28% in CY29. Our bear case of \$10 assumes a 6X CY29 FCF multiple discounted back at a 12.4% WACC and implies 7X CY27 EBITDA ex-SBC, a meaningful discount to peers.

Risk Reward – Vertex Inc. (VERX.O)

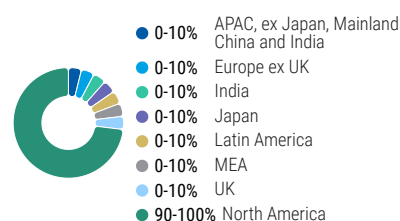
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Revenue Growth (%)	12.2	10.2	11.2	10.9
Total ARR Growth (%)	11.3	10.7	12.2	12.4
Operating Margin (%)	18.3	18.8	21.4	25.0
Adjusted EBITDA Margin (%)	21.6	24.6	27.0	30.2
Free Cash Flow Margin (%)	0.0	0.0	0.0	0.0

INVESTMENT DRIVERS

- ERP migrations to the cloud
- E-invoicing & AI product cycles
- Margin expansion

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- E-invoicing product cycle ramps faster than expected
- Greater capture of ERP customers migrating to the cloud
- Margin expansion accelerates
- AI product adoption accelerates

RISKS TO DOWNSIDE

- Tax / ERP projects get pushed down the priority list
- Expansion growth remains challenged
- Additional investments become necessary to maintain competitive differentiation

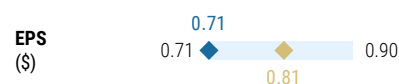
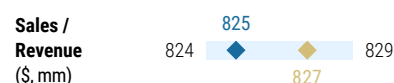
OWNERSHIP POSITIONING

Inst. Owners, % Active	48.3%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Blackline Inc (BL.O)

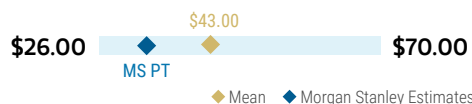
Turnaround Played Out, But AI Acceleration Will Take Time

PRICE TARGET \$33.00

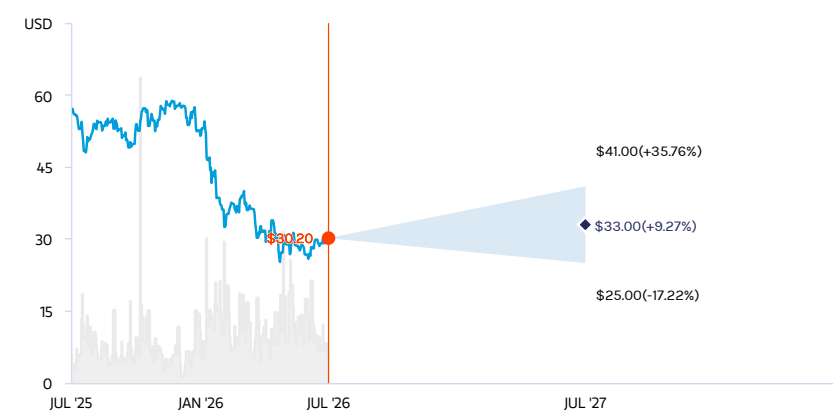
Supported by a 17X CY27 FCF (incl. SBC expense) multiple, which is warranted because it is a slight discount to the Transition group peers growing in the 10-20% range given BlackLine's longer journey.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



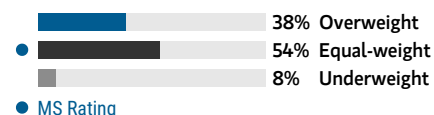
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

While we think BlackLine is well positioned to become the finance operating system for AI within its customer base, this will likely take time due to the end-market that BlackLine serves. We do see a large AI opportunity here to automate existing finance / accounting processes. But, given accounting requires high levels of accuracy, controls, and auditability, it will take time for risk-averse buyers to get fully comfortable adopting and scaling new AI products in this space. While the early data points on Verity AI are encouraging, management has noted it takes a few quarters before an enterprise moves from pilots to more scaled deployments.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: Positive
Special Situation: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$41.00

9X Bull Case FY29e FCF of \$335M

Growth Improves to the Mid-Point of the Target Model. Revenue grows at a 12% CAGR through FY29 to reach \$1.1B compared to the new medium-term target model calling for 13-16% growth. Faster topline growth with best-in-class gross retention drives FCF of \$335M. Our bull case of \$41 assumes a 9X EV/FY29 FCF multiple. \$41 implies ~22X CY27 FCF ex-SBC.

BASE CASE

\$33.00

7X Base Case FY29e FCF of \$330M

Growth Improves to the Low-End of Target Model While Margins Expand. We model a 11% revenue CAGR through FY29 to reach \$1.1B and FCF margins reaching 32% in our base case, driving FCF to \$330M. A 7X EV/FY29 FCF multiple yields our \$33 base case. Our PT of \$33 implies ~17X CY27 FCF ex-SBC.

BEAR CASE

\$25.00

5X Bear Case FY29e FCF of \$310M

Increased Competition from Scaled Platform Vendors. Revenue grows at a 9% CAGR through FY29 to reach ~\$1.0B, with slower growth driving FCF of \$310M. Our bear case of \$25 assumes a 5X EV/FY29 FCF multiple. \$25 implies ~11X CY27 FCF ex-SBC, a meaningful discount to peers.

Risk Reward – Blackline Inc (BL.O)

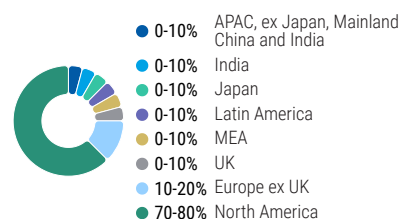
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Revenue (\$, mm)	700	766	850	952
Non-GAAP Operating Margin (%)	22.3	24.2	27.0	30.0
Non-GAAP Diluted EPS (00s)	2.1	2.4	2.8	3.4

INVESTMENT DRIVERS

- Leadership position in a large, greenfield, and underpenetrated market opportunity
- ERP refresh cycle + G2M relationship with SAP
- High margin potential with best in class unit economics
- AI product development, adoption, and monetization

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Strategic optionality
- New product and G2M initiatives accelerate growth
- AI adoption accelerates
- Margins meaningfully expand

RISKS TO DOWNSIDE

- Pricing model transition
- Increased competition from platform vendors
- AI competition

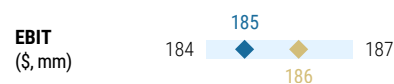
OWNERSHIP POSITIONING

Inst. Owners, % Active	55.7%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – SPS Commerce Inc (SPSC.O)

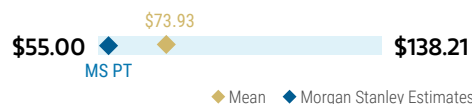
More Questions Than Answers

PRICE TARGET \$57.00

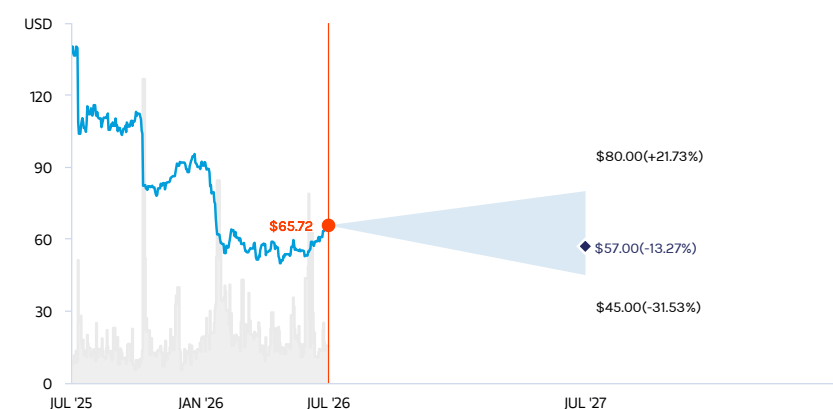
Supported by a 18X CY27 GAAP P/E multiple, which we believe is warranted because it is a slight discount to low-growth peers given the SPS Commerce ranked in the bottom quintile from our Moat & Journey framework.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



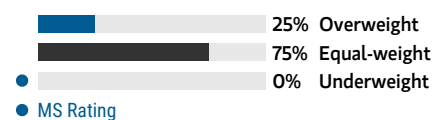
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

As the leading EDI vendor with a large 500K network, SPSC is well positioned to capture share in this \$4B market. However, it will likely take some time before investors garner confidence in the growth path forward as the impacts of AI on EDI remain uncertain, little evidence of successfully expanding outside of EDI, and disappointing recent execution. We see better relative opportunities elsewhere in our coverage.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Contrarian: *Negative*
Self-help: *Positive*
Special Situation: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$80.00

Growth Reaccelerates Sustainably

We model a FY25-FY29 revenue CAGR of 9%, FCF margin of 32% in FY29, apply a 10X multiple against FY29 FCF of \$340M, and discount back at a 10.7% WACC. Our bull case implies 25X CY27 GAAP P/E.

BASE CASE

\$57.00

Growth Remains Constrained

We model a FY25-FY29 revenue CAGR of 7%, FCF margin of 34% in FY29, apply a 7X multiple against FY29 FCF of \$335M, and discount back at a 10.7% WACC. Our price target implies 18X CY27 GAAP P/E.

BEAR CASE

\$45.00

Growth Slows Further

We model a FY25-FY29 revenue CAGR of 4%, FCF margin of 34% in FY29, apply a 6X multiple against FY29 FCF of \$305M, and discount back at a 10.7% WACC. Our bear case implies 14X CY27 GAAP P/E.

Risk Reward – SPS Commerce Inc (SPSC.O)

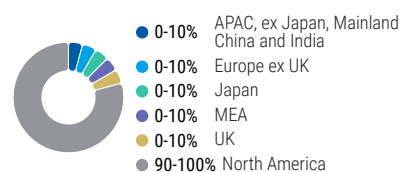
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Revenue (\$, mm)	752	797	855	917
Adj. EBITDA (\$, mm)	231.3	264.0	299.5	339.4
Non-GAAP Diluted EPS (\$)	4.268	4.730	5.545	6.326

INVESTMENT DRIVERS

- Organic growth
- EBITDA margin & growth

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Strategic activity
- Margin expansion from a RIF
- AI monetization

RISKS TO DOWNSIDE

- Market saturation
- Retail end-market deteriorates
- AI competition

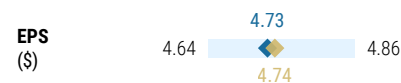
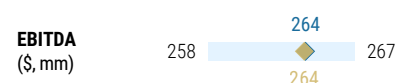
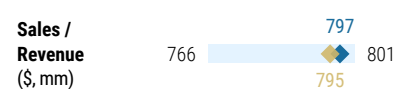
OWNERSHIP POSITIONING

Inst. Owners, % Active	48.1%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Akamai Technologies, Inc., Autodesk, Blackline Inc, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., CoreWeave, DigitalOcean Holdings Inc, Figma Inc, HubSpot, Inc., Intuit, Microsoft, Navan Inc, Nebius Group NV, Netskope, Inc., NICE Ltd., RingCentral Inc, Salesforce, Inc., SAP SE, ServiceNow Inc, Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zebra Technologies Corporation, Zeta Global Holdings Corp.

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Global Stock Ratings Distribution

(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated

below.

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 Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/20/2026)
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	\$45.18
Blackline Inc (BL.O)	E (07/21/2026)	\$30.20
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	\$73.68
Intuit (INTU.O)	E (07/21/2026)	\$293.82
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	\$165.51
Navan Inc (NAVN.O)	O (11/24/2025)	\$27.73
Samsara Inc (IOT.N)	E (03/23/2023)	\$38.55
SPS Commerce Inc (SPSC.O)	U (07/21/2026)	\$65.72
Vertex Inc. (VERX.O)	E (07/21/2026)	\$12.89
Workday Inc (WDAY.O)	U (07/21/2026)	\$147.22
Elizabeth Porter, CFA		
Adobe Inc. (ADBE.O)	U (07/21/2026)	\$234.74
Amplitude Inc. (AMPL.O)	O (01/15/2026)	\$9.83
Autodesk (ADSK.O)	O (08/23/2024)	\$217.80
Figma Inc (FIG.N)	E (08/25/2025)	\$24.02
Five9 Inc (FIVN.O)	E (10/10/2022)	\$25.70
Freshworks Inc (FRSH.O)	E (10/18/2021)	\$11.05
GoDaddy Inc (GDDY.N)	E (07/19/2021)	\$94.84
HubSpot, Inc. (HUBS.N)	O (03/21/2023)	\$231.21
Klaviyo, Inc (KVYO.N)	O (04/29/2026)	\$18.15
LegalZoom.com Inc (LZ.O)	U (07/28/2022)	\$7.70
Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	\$37.78
NICE Ltd. (NICE.O)	E (07/21/2026)	\$101.34
RingCentral Inc (RNG.N)	E (08/08/2023)	\$40.74
Salesforce, Inc. (CRM.N)	E (07/21/2026)	\$173.79
Sprinklr Inc (CXM.N)	E (07/19/2021)	\$5.95
Sprout Social Inc (SPT.O)	E (11/17/2020)	\$8.41
Twilio Inc (TWLO.N)	O (02/24/2025)	\$205.24
Wix.Com Ltd (WIX.O)	E (07/21/2026)	\$53.36
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	\$21.34
ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	\$3.13
Josh Baer, CFA		
Asana Inc (ASAN.N)	U (05/20/2025)	\$7.60
Box Inc (BOX.N)	E (05/21/2024)	\$30.85
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	\$6.26
Commerce.com Inc. (CMRC.O)	++	\$2.99
CoreWeave (CRWV.O)	E (04/22/2025)	\$73.06
Coursera, Inc. (COUR.N)	E (04/22/2026)	\$5.46
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	\$119.09
Docebo Inc. (DCBO.O)	E (05/12/2025)	\$19.48
DocuSign Inc (DOCU.O)	E (01/16/2024)	\$52.30
Lightspeed Commerce Inc. (LSPD.N)	E (02/18/2021)	\$10.37
Microsoft (MSFT.O)	O (01/13/2016)	\$402.29
monday.com Ltd (MNDY.O)	O (08/12/2025)	\$76.75
Nebius Group NV (NBIS.O)	E (01/15/2026)	\$182.62
Sabre Corp (SABR.O)	E (03/16/2021)	\$1.72
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	\$79.46
Shopify Inc (SHOP.O)	O (04/19/2024)	\$124.48
Toast, Inc. (TOST.N)	O (12/16/2021)	\$30.85
Via Transportation Inc (VIA.N)	O (01/20/2026)	\$18.59
Zoom Communications (ZM.O)	E (10/11/2022)	\$90.91

Meta A Marshall

Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	\$135.73
CrowdStrike Holdings Inc (CRWD.O)	O (03/10/2026)	\$198.49
Fortinet Inc. (FTNT.O)	U (09/02/2025)	\$160.36
Gen Digital Inc. (GEN.O)	E (06/07/2024)	\$26.68
Netskope, Inc. (NTSK.O)	O (10/13/2025)	\$13.52
Okta, Inc. (OKTA.O)	O (12/02/2024)	\$148.41
Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	\$348.66
Qualys Inc (QLYS.O)	U (02/09/2021)	\$156.37
Rapid7 Inc (RPD.O)	U (07/21/2026)	\$11.95
SailPoint Inc (SAIL.O)	O (09/02/2025)	\$15.22
SentinelOne, Inc. (S.N)	E (12/02/2024)	\$19.46
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	\$37.76
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	\$47.45
Zscaler Inc (ZS.O)	E (04/22/2026)	\$149.82

Sanjit K Singh

Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	\$123.13
Appian Corp (APPN.O)	E (04/30/2026)	\$26.03
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	\$96.43
C3.ai (AI.N)	U (01/04/2021)	\$8.61
Cloudflare Inc (NET.N)	O (12/02/2024)	\$272.42
Datadog, Inc. (DDOG.O)	O (01/12/2026)	\$263.20
Dynatrace Inc (DT.N)	E (02/13/2024)	\$44.71
Elastic NV (ESTC.N)	E (07/21/2026)	\$62.74
GitLab Inc (GTLB.O)	E (01/12/2026)	\$34.07
IFrog Ltd. (FROG.O)	E (07/21/2026)	\$90.43
MongoDB Inc (MDB.O)	O (04/12/2023)	\$323.36
Oracle Corporation (ORCL.N)	E (01/15/2019)	\$121.38
PagerDuty, Inc. (PD.N)	U (07/21/2026)	\$10.34
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	\$134.85
ServiceNow Inc (NOW.N)	O (09/24/2025)	\$104.70
Snowflake Inc. (SNOW.N)	O (06/24/2025)	\$274.34
UiPath Inc (PATH.N)	E (09/07/2022)	\$12.16

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